

INTRODUCTION TO BRSR REPORTING

ADVANCED BRSR MODULE

Part 1: Introduction to BRSR

Welcome to the **Advanced BRSR Module**.

This is a two-part module built entirely around one subject — the **Business Responsibility and Sustainability Report, or BRSR** — India's most consequential mandatory ESG reporting framework for listed companies today.

This Module Is Built for the Boardroom

Most ESG programmes teach BRSR from the outside in — starting with the format, moving through the sections, and treating compliance as the destination. This module works the other way around. It starts with the question of who is ultimately responsible for BRSR and what that responsibility actually demands.

The answer is you. If you are a Director, an Aspiring Director, a Chief Executive, a Chief Financial Officer, or a member of a Board Committee, BRSR is not a reporting exercise to be delegated to a sustainability team and signed off at the end of the financial year.

Under SEBI regulations, the board of directors carries direct accountability for the disclosures made in the BRSR — for what is disclosed, how it is disclosed, and critically, for what is omitted. That accountability is not a formality. It is enforceable, and it is expanding.

This module does not treat BRSR as a compliance checklist. It treats it as a strategic governance instrument — one that shapes how your organisation is perceived by investors, regulators, lenders, and the broader public, and one that, used well, can surface risks and opportunities that routine financial reporting never would.

What the Two Parts Cover

Part 1 — which you are in now — builds the strategic and governance foundation. By the time you complete these five sessions, you will understand why BRSR exists, how it evolved from more than fifteen years of Indian regulatory history, what it genuinely demands from the board as opposed to management, and how it sits within India's broader ESG regulatory landscape as it stands in 2026.

Part 2 — BRSR Reading and Analysis — goes inside the document itself. It walks you through Section A, Section B, and Section C of the BRSR format, examines all nine principles with their Essential and Leadership Indicators, and builds your ability to read and critically assess a BRSR report with the authority of someone who understands what good disclosure actually looks like — and what hollow compliance looks like when it is dressed up as disclosure.

Together, the two parts take you from the boardroom to the document and back again.

How BRSR Connects to Everything Else in This Course

If you have already worked through other modules in this ESG programme, you will recognise many of the frameworks that BRSR draws from. Its reporting structure aligns with the Global Reporting Initiative standards covered in the GRI Reporting Framework modules. It incorporates climate-related financial disclosures that follow the TCFD approach covered in the Climate Related Disclosures and Supplemental Guidance modules. It references SASB standards from the Sustainability Accounting Standards Board module and maps directly to the UN Sustainable Development Goals from the UN SDGs module.

This is by design. BRSR was built to be India's integrated answer to the global sustainability reporting landscape — taking the best of these international frameworks and translating them into a mandatory, enforceable structure for Indian listed companies. Where this module touches those frameworks, it will acknowledge the connection and move on. It will not re-teach what those modules have already covered. The focus here is exclusively on BRSR — its Indian regulatory context, its governance implications, and its practical demands on the organisations and leaders it applies to.

Why This Module Is Built the Way It Is

This module was built specifically for the advanced practitioner — the executive or board member who already understands what ESG is and now needs to understand

what it demands of them personally, legally, and strategically. It does not begin with definitions. It begins with accountability.

The regulatory landscape for BRSR has changed substantially and rapidly. BRSR Core did not exist as a mandatory requirement until 2023. The assurance glide path was not announced until that year. Value chain ESG disclosures were not yet a comply-or-explain obligation. ESG Rating Providers were not yet regulated by SEBI. All of that has now changed. As of FY 2025-26, the top 500 listed entities are required to undertake reasonable assurance of their BRSR Core disclosures. By FY 2026-27, that requirement extends to the top 1,000. The framework this module addresses is not the framework of a few years ago.

The depth of this module is calibrated for people with fiduciary responsibility. The questions it asks are harder than an introductory ESG programme would ask. The governance implications it examines are more direct. The standard it holds the reader to is the standard a board member should hold themselves to — not awareness, but accountability.

BRSR, understood at the level this module addresses it, is one of the most consequential governance frameworks an Indian board member will engage with in the decade ahead.

Where Things Stand in 2026

It is worth grounding yourself in the current state of play before moving into the sessions.

BRSR is no longer new. The top 1,000 listed entities by market capitalisation have been required to file a comprehensive BRSR as part of their annual reports since FY 2022-23.

BRSR Core — the assured, KPI-driven subset of the full BRSR — has been mandatory since FY 2023-24, starting with the top 150 entities and expanding each year.

The top 250 listed entities are already required to report ESG disclosures for their value chains on a comply-or-explain basis.

And SEBI has moved to regulate ESG Rating Providers operating in India, which directly affects how your company's sustainability performance is scored, ranked, and presented to the investment community.

The era of voluntary ESG storytelling in India is over. What exists now is an era of mandated, independently assured, and investor-scrutinised disclosure — with scope and consequences that will only grow over the next several years. That is the era this module prepares you for.

A Quick Map of the Five Sessions Ahead

| Session 01 — India's ESG Journey and Regulatory Timeline

Traces the full arc of how India arrived at BRSR — from the National Voluntary Guidelines of 2009 through to the regulatory developments of 2025 and 2026. It gives you the historical and regulatory context to understand not just where the framework stands today, but where it is heading and why.

| Session 02 — From BRR to BRSR — The Structural Shift

Examines what actually changed — and what it means. On the surface it looks like an expansion from 59 questions to 140. At a deeper level it represents a shift from qualitative narrative to quantitative, auditable performance data. This session explains that shift, introduces BRSR Lite and BRSR Comprehensive, and orients you to the three-section structure of the full report.

| Session 03 — The Nine Principles — A Boardroom Lens

The philosophical core of Part 1. The nine principles of BRSR, drawn from the National Guidelines on Responsible Business Conduct, are not disclosure topics — they are governance commitments. This session examines each one as a boardroom question, maps them across the E, S and G dimensions and the UN SDGs, and looks at what the Companies Act, 2013 demands of directors in the context of each principle.

| Session 04 — BRSR and Board Governance

Where strategy meets legal accountability. Who is responsible for BRSR? What does SEBI expect of the board as distinct from management? What does independent assurance of BRSR Core actually involve — and what are the consequences when it surfaces gaps? How are institutional investors using BRSR data right now? This session answers all of it.

| Session 05 — Setting the Stage for Part 2

Closes the first part of the module and prepares you for the analytical work ahead. Before you can read a BRSR report with genuine authority, you need to know what you are looking for — what distinguishes rigorous disclosure from technically compliant but strategically empty reporting. Session 05 builds that critical lens before you enter Part 2.

One Final Thought Before You Begin

BRSR is usually described in the language of compliance — mandates, deadlines, glide paths, penalties. That language is accurate. But it captures only part of the picture.

The organisations getting the most from BRSR are not the ones treating it as a reporting obligation to be discharged. They are the ones using the discipline of the

process — gathering data, examining the value chain, testing governance structures against written principles — to find things they did not know about themselves. ESG risks they had not quantified. Governance gaps that were functional but not transparent. A credibility with investors and stakeholders that no marketing effort can replicate.

As a board member or executive, you have the authority to determine which of those two categories your organisation falls into. This module is designed to give you what you need to make that choice deliberately.

| Let us begin.

Session 01

India's ESG Journey & Regulatory Timeline

From the National Voluntary Guidelines of 2009 to the Mandatory Assurance Era, post 2025

What This Session Covers

This session traces India's sustainability reporting journey from its earliest regulatory steps in the late 2000s to the mandated, assured, and expanding framework that exists post 2025.

By the end of it, you will understand not just the sequence of events but the logic behind each step — why India moved when it did, what pressures drove each regulatory intervention, and what the trajectory tells us about where disclosure obligations are heading next.

One important note before we begin: this session does not cover the global history of ESG or the international frameworks — **GRI, TCFD, SASB, PRI, ISSB** — that influenced India's thinking. Those are covered in depth in Modules 22 through 31 of this course. What this session does is zoom in exclusively on India — its regulatory choices, its milestones, and the financial and governance consequences of the path it has taken.

Why India Had to Move — And Why It Moved When It Did

India's engagement with sustainability reporting was not the result of a single policy decision or a moment of regulatory inspiration. It was the product of converging pressures — from global capital markets, from domestic institutional investors, from multinational supply chains, and from the growing evidence that environmental and social risks were materialising as financial ones.

Through the early **2000s**, India's largest listed companies were operating in a disclosure environment that was almost entirely financial. Annual reports, quarterly earnings, statutory filings — all of it centred on profit, loss, and balance sheet. Sustainability, where it was reported at all, lived in voluntary corporate social responsibility sections that were narrative, unverifiable, and largely unread by the investment community.

The problem was that this picture was increasingly out of step with what global investors were asking for. As ESG-integrated investing grew in Europe, North America, and across institutional asset management globally, fund managers began requiring comparable, structured non-financial data from the companies they invested in — including Indian companies. India's capital markets, deeply connected to foreign institutional investment, could not afford to ignore that demand indefinitely.

At the same time, Indian companies embedded in global supply chains were beginning to face a different kind of pressure. Multinational corporations in manufacturing, retail, technology, and consumer goods — particularly those headquartered in jurisdictions with their own ESG disclosure mandates — were requiring their Indian suppliers and partners to demonstrate sustainability performance as a condition of doing business. This was not a future risk. It was a present commercial reality.

And then there was the data on physical climate risk. India is one of the most climate-vulnerable economies in the world — exposed to intensifying monsoons, drought cycles, coastal flooding, heatwaves, and the agricultural disruptions that follow. The financial cost of inaction was not theoretical. It was calculable. And regulators, over time, began calculating it.

These three forces — global capital market expectations, supply chain requirements, and climate risk exposure — are what drove India's regulatory evolution. Understanding them is what makes the timeline legible.

The Timeline: From Voluntary Guidelines to Mandatory Assurance

2008 — The First Market Signal

India's sustainability journey has a specific starting point in the capital markets. In 2008, the S&P ESG India Index was launched jointly by CRISIL, Standard & Poor's, and KLD Research & Analytics — the first investable ESG index for Indian enterprises. It was not a regulatory requirement. It was a market signal: investors were beginning to sort Indian companies by ESG performance, and companies on

the right side of that sorting would attract capital on better terms. For most companies at the time, this went largely unnoticed. But for regulators watching the direction of global capital flows, it registered.

2009 — The National Voluntary Guidelines (NVGs)

The Ministry of Corporate Affairs took the first formal step in 2009 with the issuance of the National Voluntary Guidelines on Social, Environmental and Economic Responsibilities of Business — the NVGs. These guidelines gave Indian businesses a structured, India-specific framework for responsible business conduct, drawing from international principles but calibrated for domestic context. The NVGs were voluntary, carrying no enforcement mechanism and no disclosure mandate. Their significance was not immediate — it was foundational. They established nine areas of responsible business practice that would, over the following decade, form the backbone of everything that came after.

2012 — SEBI's First Mandatory Intervention: The BRR

The Securities and Exchange Board of India made its first mandatory intervention in 2012, requiring the top 100 listed companies by market capitalisation to include a Business Responsibility Report — the BRR — as part of their annual reports. The BRR was structured around the nine principles of the NVGs. This was significant for two reasons: it was mandatory, and it established the principle that sustainability disclosure belonged in the annual report alongside financial disclosure — to the same audience, at the same time. The scope was modest, but the precedent was clear.

2013 — The Companies Act: CSR as Corporate Law

The Companies Act of 2013 introduced what remains one of the most distinctive features of India's corporate governance landscape: the mandatory CSR spending requirement. Companies meeting specific thresholds of net worth, turnover, or net profit were required to spend two percent of their average net profit of the preceding three years on CSR activities. This was a spending mandate, not a disclosure requirement. But it embedded the expectation of social contribution directly into corporate law and required companies to report on how that spending was deployed — for many, their first systematic engagement with social impact measurement.

2016 — Green Bond Guidelines: India's Climate Finance Position

In 2016, SEBI issued guidelines for green bond issuances, making India the second country in the world — after China — to establish national-level guidelines for green bonds. This positioned India as an early mover in sustainable finance and opened the domestic capital market to environmentally-oriented instruments. For executives and boards, the practical implication was direct: companies seeking to access green capital would need to demonstrate credible environmental commitments. The link between sustainability performance and cost of capital was becoming more concrete.

2019 — NGRBC: The Foundational Upgrade

The most significant development before BRSR itself was the revision of the NVGs into the National Guidelines on Responsible Business Conduct — the NGRBC —

issued by the Ministry of Corporate Affairs in 2019. The NGRBC was not simply an update. It was a substantively stronger framework, drawing from the UN Guiding Principles on Business and Human Rights, the UN Sustainable Development Goals, the Paris Agreement, and the core conventions of the International Labour Organisation. The nine principles were rewritten with greater specificity and stronger governance implications. SEBI simultaneously expanded the BRR mandate from the top 100 to the top 1,000 listed companies — a tenfold expansion.

2021 — BRSR Replaces the BRR

On 10 May 2021, SEBI issued the circular introducing the Business Responsibility and Sustainability Report — BRSR — as the mandatory replacement for the BRR. The shift was not cosmetic. Where the BRR had 59 questions, predominantly qualitative and narrative, the BRSR had 140 — of which 98 were mandatory Essential Indicators and 42 were voluntary Leadership Indicators. For the first time, Indian companies were required to disclose quantitative performance data across environmental, social, and governance dimensions: energy consumption, water withdrawal, greenhouse gas emissions, employee safety statistics, supply chain engagement, and more. The BRSR also introduced dual materiality — allowing companies to identify and disclose sustainability topics that were both financially material to the organisation and significant to its stakeholders. BRSR reporting was voluntary for FY 2021-22 and became mandatory from FY 2022-23.

2023 — BRSR Core: Assured, Comparable, Mandatory

In **July 2023**, **SEBI** issued Circular No. **SEBI/HO/CFD/CFD-SEC-2/P/CIR/2023/122** mandating **BRSR Core** — a defined subset of the comprehensive BRSR with specific, quantitative KPIs on GHG emissions intensity, water consumption intensity, energy intensity, waste generation, gender pay parity, job creation in smaller towns, and more. Critically, BRSR Core required independent assurance — the first time assured ESG disclosure became mandatory for Indian listed companies. Self-declared data and independently assured data are different instruments. Assured data has credibility. It can be compared across companies and years. It can be incorporated into investment models and credit assessments with confidence. This was the moment India's ESG disclosure framework graduated from reporting to accountability.

BRSR Core Assurance: The Glide Path

The assurance mandate was introduced progressively to allow companies time to build the internal systems required:

FY 2023-24 — Mandatory BRSR Core with reasonable assurance — Top 150 listed entities

FY 2024-25 — Mandatory BRSR Core with reasonable assurance — Top 250 listed entities

FY 2025-26 — Mandatory BRSR Core with reasonable assurance — Top 500 listed entities

FY 2026-27 — Mandatory BRSR Core with reasonable assurance — Top 1,000 listed entities

As of FY 2025-26, the top 500 listed entities are in scope for mandatory BRSR Core assurance. The full top 1,000 mandate is one financial year away.

Value Chain ESG Disclosures

The 2023 circular also introduced requirements for ESG disclosures covering the value chain — the major upstream and downstream partners that account for 75 percent of a listed entity's purchases or sales by value. The rationale is straightforward: a company's own ESG performance is only part of the picture. If a company's suppliers operate unsafe facilities, pay poverty wages, or discharge pollutants without accountability, the ESG risk does not disappear simply because it sits outside the company's own operations.

Value chain disclosure makes that risk visible.

FY 2024-25 — Value chain ESG disclosures mandatory on comply-or-explain basis — Top 250 entities

FY 2025-26 — Limited assurance of value chain disclosures — mandatory on comply-or-explain basis — Top 250 entities

Regulation of ESG Rating Providers

Also in 2023, SEBI moved to regulate ESG Rating Providers — the agencies that assess and score companies' ESG performance and sell those scores to investors, index providers, and financial institutions. Until this regulation, ESG rating agencies in India operated without a common methodology, without transparency obligations, and without regulatory oversight. The result was significant divergence: the same company could receive materially different ESG scores from different agencies, which created confusion for investors and, in some cases, created incentives for companies to manage their scores rather than their actual performance.

SEBI's framework requires registration, disclosure of methodology, management of conflicts of interest, and adherence to quality standards. For listed companies, the practical implication is that the scores being used to represent your ESG performance to institutional investors are now generated within a regulated framework — which means the quality of your underlying disclosures matters more than it did before.

The Financial Stakes — What the Evidence Shows

The regulatory timeline tells you what India has done. The financial evidence tells you why boards should care about more than compliance.

Rs 7.14 lakh crore

Estimated exposure of Indian companies to climate change impacts over five years, if mitigation measures are not taken — Carbon Disclosure Project India analysis, 2020

USD 274 billion

Annual export risk for Indian companies unable to meet sustainability requirements of global buyers — Standard Chartered study of 400 MNCs, June 2021

These numbers are not cited to create alarm. They are cited because they reframe BRSR from a regulatory obligation into a business continuity question. The board's role in ESG governance is not just about ensuring the report is filed. It is about ensuring that the organisation is managing the underlying risks that the report is supposed to measure.

What the Trajectory Tells Us About Where This Is Going

Reading India's regulatory trajectory from 2008 to 2026, three things are clear.

1. Scope always expands.

Every mandatory requirement in India's ESG history has started with a narrow set of companies and widened over time. The BRR started at 100 companies and grew to 1,000. BRSR Core assurance started at 150 and will reach 1,000 by FY 2026-27. Value chain disclosure started at 250. There is no credible scenario in which the scope of these requirements contracts. Companies outside the current mandatory scope should treat it as a question of when, not whether, they will be included.

2. Assurance is the direction of travel.

India has moved from voluntary disclosure to mandatory disclosure to mandatory assured disclosure in under fifteen years. The introduction of assurance requirements for BRSR Core is not the end of that journey. The increasing alignment of India's framework with international standards — including the ISSB standards now being adopted across major economies — points towards a future in which the distinction between financial and sustainability assurance narrows considerably.

3. The investor community is the real driver.

SEBI did not introduce BRSR, BRSR Core, or value chain disclosure because it was administratively convenient to do so. It introduced them in response to what institutional investors — domestic and foreign — were asking for. As long as investors continue to demand comparable, assured, material ESG data — and there is no sign that demand is weakening — the regulatory framework will continue to move in the direction of providing it.

Session Summary

India's path to **BRSR** spans more than fifteen years and passes through nine distinct regulatory milestones — from the **NVGs** of **2009** to the **BRSR Core** assurance mandate that is expanding through the late **2020s**. Each milestone was driven by a specific combination of market pressure, regulatory intent, and international alignment.

The framework that exists today in **2026** is not a finished product. It is a framework in active expansion — wider in scope, more demanding in its assurance requirements, and more deeply embedded in the investment and supply chain decisions that determine how Indian companies access capital and markets.

For a **board member**, the practical question at the end of this session is not whether your company needs to take **BRSR** seriously. It is whether your company's current governance structures, data systems, and internal accountability mechanisms are adequate for the demands the framework is already placing on you — and for the demands that are still coming.

Session 02 will examine in detail what changed structurally when India moved from **BRR** to **BRSR** — and what that structural shift demands of the organisations within its scope.

ADVANCED BRSR MODULE — PART 1

Session 02

From BRR to BRSR — The Structural Shift

What changed, why it matters, and what the architecture demands of your board

What This Session Covers

Session 01 traced the regulatory journey that brought India to BRSR. This session goes inside the framework itself — examining what actually changed when India moved from the Business Responsibility Report to the Business Responsibility and Sustainability Report, why those changes were structurally significant, and what the architecture of the **BRSR** tells us about what SEBI is asking organisations to do.

By the end of this session you will understand the origins of the Committee that recommended BRSR, the precise differences between BRR and **BRSR**, the two versions of BRSR and when each applies, the three-section structure of the reporting questionnaire, the concept of dual materiality, and how BRSR connects to the global reporting frameworks you have already studied in this course. The nine principles — their content, philosophy, and board-level implications — are covered in Session 03.

The Committee That Built the Bridge

The shift from BRR to BRSR did not happen overnight and it was not solely a **SEBI** decision. It began in November **2018**, when the Ministry of Corporate Affairs constituted a dedicated Committee on Business Responsibility Reporting — tasked with reviewing the existing BRR format and recommending a new reporting structure appropriate to India's evolving corporate governance and sustainability landscape.

The Committee's brief was specific: design a reporting format for both listed and unlisted companies, grounded in the NGRBC's nine principles, that would move Indian companies beyond narrative self-description and toward structured, comparable, and accountability-oriented disclosure.

The Committee's report made several recommendations that shaped everything that followed. The most fundamental was the recommendation to rename the Business Responsibility Report as the Business Responsibility and Sustainability Report — a change that was not merely cosmetic.

Adding 'Sustainability' to the title was a signal: this report was no longer just about how a company behaved responsibly today. It was about whether the company's model, practices, and governance were durable over time.

The Committee also recommended that disclosures be built on ESG parameters rather than the more general language of the NVGs, that organisations be compelled to engage holistically with all stakeholders rather than selectively, and that reporting go beyond regulatory compliance to capture actual business conduct and its consequences. SEBI accepted these recommendations and, in May 2021, issued the circular that made BRSR mandatory.

What Actually Changed: BRR vs BRSR

The easiest way to understand what changed is to compare the two frameworks directly. But the most important thing to understand before looking at the specifics is this: the change was not additive. It was philosophical.

BRR asked companies to describe what they were doing. BRSR asks them to measure what they are achieving.

Attribute	BRR	BRSR
Introduction year	2012	2021
Underlying guidelines	National Voluntary Guidelines (NVGs) — 2011	9 principles of NGRBC — revised 2019
Reporting sections	Five sections: General Information, Financial Details, Other Details, BR Information, Principle-wise Performance	Three sections: A — General Disclosures, B — Management & Process, C — Principle-wise Performance
Format	Single uniform format	Tiered: Essential Indicators (mandatory) + Leadership Indicators (voluntary)
Number of questions	59 questions — mostly qualitative	140 questions: 98 Essential (mandatory) + 42 Leadership (voluntary)
Nature of indicators	Predominantly qualitative — narrative descriptions	Both qualitative and quantitative — actual performance data
Primary reporting values	Integrity and ethics	Accountability, transparency, cross-reporting, comparability across industries, better-defined performance metrics

Attribute	BRR	BRSR
Disclosure channel	Annual Report only	Annual Report + MCA21 portal

The shift from **59 to 140** questions matters less than the shift from qualitative to quantitative. Qualitative disclosure is difficult to compare, difficult to verify, and difficult to hold anyone accountable for.

Quantitative disclosure — GHG emissions in metric tonnes of **CO₂ equivalent**, water withdrawal in kilolitres, lost-time injury frequency rates, pay gap ratios — is comparable across companies, across years, and is auditable.

It is the difference between a company saying 'we are committed to reducing our carbon footprint' and a company disclosing that its Scope 1 and Scope 2 emissions were 45,000 metric tonnes CO₂e in FY 2024-25, down from 52,000 the previous year.

BRSR Lite and BRSR Comprehensive: Two Versions, One Direction

SEBI recognised from the outset that not all companies within scope would be at the same level of readiness. The framework therefore offers two versions.

BRSR Lite

BRSR Lite is designed for companies at an earlier stage of sustainability reporting maturity — typically smaller unlisted companies or entities beginning to build the data collection systems and governance structures that comprehensive reporting requires. It focuses on the most critical and material areas, operating on the principle that reporting requirements should be implemented in a phased manner, allowing less-prepared companies adequate time to build capability by learning from the experience of larger ones.

It is important to be clear about what BRSR Lite is not: it is not a permanent exemption. It is an entry point — a starting configuration that companies are expected to move beyond as their reporting infrastructure matures.

BRSR Comprehensive

The comprehensive **BRSR** is the full framework — 140 questions across three sections, aligned with global reporting standards, with the Essential and Leadership Indicator distinction. This is the version that applies to the top 1,000 listed entities and that forms the basis for BRSR Core assurance requirements. For boards and executives of large listed companies, the comprehensive BRSR is the operative framework.

The Three Sections: What the Framework Actually Asks

The **BRSR** reporting questionnaire is organised into three sections, each with a distinct purpose. Understanding this architecture is essential before you examine any individual **BRSR** report — because where a disclosure sits in the structure tells you what kind of accountability it is meant to establish.

Section A — General Disclosures

Section A establishes the factual foundation of the entity being reported on. It covers the listed entity's basic details — its corporate identity, the products and services it provides, the geographies and markets it operates in, the scale of its operations, and the composition of its workforce including permanent employees, contract workers, and differently-abled employees. It also covers the entity's subsidiaries, associates, and joint ventures, its CSR activities and spending, and its transparency and disclosure compliance mechanisms.

Board lens: *An investor reading a BRSR report uses Section A to understand the scale and scope of the entity whose Section C performance they are evaluating. This section is context — but context that determines how the performance data should be read.*

Section B — Management and Process Disclosures

Section B moves from what the entity is to how the entity is governed on ESG matters. It covers the policies, commitments, and governance processes the organisation has in place across the nine NGRBC principles. Critically, Section B is not satisfied by the existence of policies. It requires companies to demonstrate that policies are not just written but actively implemented — that there are management processes behind the commitments, that responsibilities are assigned, that oversight exists, and that policies are reviewed and updated.

Board lens: *Section B is the section most directly connected to your governance responsibilities. The disclosures it requires reflect the quality of the governance structures you have put in place — or failed to put in place. A company that has a written environmental policy but no process for monitoring compliance will find Section B difficult to complete honestly.*

Section C — Principle-wise Performance Disclosures

Section C is the substantive core of the BRSR. It requires companies to report specific KPIs — both Essential and Leadership Indicators — against each of the nine NGRBC principles. This is where the quantitative data lives: emissions figures, water data, energy consumption, employee safety statistics, community investment, supply chain ESG assessments, and more. Section C is also where the distinction between

Essential and Leadership Indicators is most visible — and where the investment community looks to assess ambition and capability beyond the minimum.

Board lens: *Section C is the section investors, analysts, and ESG rating agencies spend the most time with. The quality of your organisation's Section C disclosures is the primary determinant of how your ESG performance is perceived and scored externally.*

Dual Materiality: The Reporting Philosophy Behind BRSR

One of the most important conceptual contributions of the BRSR framework is the formal recognition of dual materiality as the basis for disclosure decisions.

- **Materiality**, in traditional financial reporting, refers to information that is significant enough to affect an investor's decision. A fact is financially material if a reasonable investor would want to know it. This framing focuses on the company's interests and its investors' interests.
- **Dual materiality** adds a second dimension. Under a dual materiality approach, a company is expected to report on sustainability matters that are significant not only because they affect the company's financial position, but also because they affect — or are affected by — the company's broader stakeholders and the world in which it operates.
- **A company's** impact on a local water table may have no immediate financial consequence for the company. Under dual materiality, it is still reportable, because it is material to the community, to the environment, and to the integrity of the company's relationship with its stakeholders.

For boards, dual materiality has a specific implication: the question of what to disclose cannot be answered purely by asking what affects the share price. It must also be answered by asking what the company's operations are doing to the world around it — and whether the organisation is willing to be transparent about that. This is a more demanding standard than most boards are used to. It is also a more honest one.

How BRSR Connects to the Global Reporting Landscape

The principle-based structure of Section C draws from the Global Reporting Initiative's approach to disclosure — covered in the GRI Reporting Framework modules of this course.

The climate-related disclosures within the environmental principles align with the TCFD framework — covered in the Climate Related Disclosures and Supplemental Guidance modules.

The industry-specific KPI logic reflects SASB's approach — covered in the Sustainability Accounting Standards Board (SASB) module. And the mapping of the nine principles to the UN Sustainable Development Goals — covered in the UN SDGs module — connects BRSR to the global development agenda.

The Objective of BRSR Reporting: What SEBI Is Actually Trying to Achieve

SEBI's stated objective for BRSR is to secure transparent and standardised disclosures by companies on their ESG parameters and sustainability-related risks.

This is an investor protection objective, not purely a sustainability objective. SEBI is the regulator of India's capital markets. Its mandate is to ensure that investors have access to the information they need to make informed decisions. BRSR is an extension of that mandate into non-financial information.

The practical consequence of this framing is that BRSR disclosures are held to the same standards of accuracy, consistency, and comparability that financial disclosures are.

They are public. They are auditable. And as BRSR Core's assurance requirements make clear, they are increasingly subject to independent verification.

For boards, this means that the standard of care you apply to BRSR disclosures should not be different from the standard of care you apply to financial reporting. Both are statements made to the market under your governance responsibility. Both are capable of misleading investors if they are inaccurate or incomplete. And both have consequences when they fail that standard.

Session Summary

The move from **BRR to BRSR** represents a structural transformation in what India asks of its listed companies — from narrative self-description to quantitative, auditable, stakeholder-facing performance disclosure.

The framework's architecture — two versions, three sections, tiered indicators, dual materiality — is not bureaucratic complexity for its own sake.

It is the expression of a specific governance philosophy: that large organisations operating in public markets owe their stakeholders transparent, consistent, and independently verifiable information about their sustainability performance, not just their financial performance.

Understanding that philosophy is what separates boards that treat **BRSR** as a reporting exercise from boards that use it as a governance instrument.

Session 03 takes the framework's nine principles — the content that populates Section C — and examines each one through the lens that matters most in this room: what does each principle demand of a board, and what does honest compliance with it actually look like?

ADVANCED BRSR MODULE — PART 1

Session 03

The Nine Principles — A Boardroom Lens

What each principle demands of a board, the legal foundation, and the SDG alignment

What This Session Covers

The **nine principles** of the **National Guidelines on Responsible Business Conduct** are the philosophical and structural spine of BRSR. Every KPI in Section C, every management process in Section B, every governance commitment in the report traces back to one of these nine principles. Understanding them is not optional for a board member — they define the terms on which your organisation's sustainability performance will be measured, compared, and judged.

This session does something the original BRSR documentation does not. It does not simply list what each principle covers. It asks what each principle demands — specifically, what it demands of a board. It then examines the legal foundation that connects these principles to director duties under the Companies Act, 2013, and maps the principles to the UN Sustainable Development Goals to show how India's corporate governance obligations connect to the global development agenda.

By the end of this session, you will not just know the nine principles. You will know the question that each one places on the boardroom table.

Why Nine Principles — Not Rules

Before examining each principle individually, it is worth understanding why the **NGRBC** framework was built around principles rather than rules.

A rule tells you what you must do. A principle tells you what kind of organisation you must be. Rules can be technically satisfied without any underlying change in behaviour or culture — a company can tick a compliance box without having genuinely addressed the concern the rule was meant to address. Principles resist that evasion. They set a standard of intent and outcome that cannot be met through surface compliance.

This is why the **BRSR's** asks both Essential Indicators — which establish the minimum standard — and Leadership Indicators — which ask how far beyond the minimum your organisation is willing to go.

A company that meets only the Essential Indicators on every principle has technically complied with BRSR. A company that engages seriously with the Leadership Indicators has demonstrated something more: that the principles are shaping its strategic choices, not just its annual report.

For a board, the distinction matters because it determines what kind of governance culture you are creating. Are you building an organisation that asks 'what must we disclose?' or one that asks 'what should we be doing?'

The Nine Principles: A Boardroom Examination

P1 Integrity, Ethics, Transparency and Accountability Governance

What it covers: Businesses should conduct and govern themselves with integrity, and in a manner that is ethical, transparent, and accountable.

This is the governance principle — and it is the most direct test of the board itself. Integrity and accountability are not properties of a sustainability report. They are properties of the systems, culture, and people through which an organisation makes decisions and discloses outcomes.

For BRSR specifically, this principle governs disclosures on anti-corruption policies, conflict of interest management, whistleblower mechanisms, and the completeness of information provided to regulators and investors. A board that approves an annual report knowing it contains selective or misleading ESG disclosures is not in compliance with Principle 1 — regardless of what the Essential Indicators say. The boardroom question this principle places on the table is direct: are your governance structures genuinely designed to produce accountable outcomes, or are they designed to produce the appearance of accountability?

Boardroom question: *Are your governance structures — the composition of the board, the independence of its committees, the quality of your internal controls, the completeness of your disclosures — genuinely designed to produce accountable outcomes?*

P2 Sustainability and Safety in Products and Services

Environmental & Social

What it covers: Businesses should provide goods and services in a manner that is sustainable and safe.

This principle moves from governance to strategy. It asks whether the products and services your organisation provides are designed, produced, and delivered in ways that are sustainable over time — not just profitable in the short term. It includes product safety, lifecycle impact, resource efficiency in production, and the extent to which sustainability considerations are embedded in product development decisions.

For boards of companies in manufacturing, chemicals, food, pharmaceuticals, and consumer products, this principle carries immediate operational weight. For boards in services and financial sectors, it raises questions about whether the services provided enable or undermine sustainable economic activity in the wider economy.

Boardroom question: *Where in your strategic planning does sustainability enter the conversation about your product portfolio? Is it a filter applied after decisions are made — a compliance screen — or is it a design principle that shapes what your organisation chooses to make and sell?*

P3 Well-being of Employees and Value Chain Workers

Social

What it covers: **Businesses should respect and promote the well-being of all employees, including those in their value chains.**

The explicit inclusion of value chain workers — not just direct employees — is one of the most significant features of this principle. It reflects the understanding that a company's labour practices do not end at its own payroll. If a tier-one supplier operates unsafe working conditions or pays wages below subsistence level, the company that sources from that supplier is connected to those outcomes.

This includes contract workers, gig workers, workers in supplier facilities, and workers in downstream distribution and logistics. Boards that have a detailed understanding of their direct employee well-being metrics but no visibility into their supplier workforce are not meeting the intent of this principle.

BRSR Essential Indicators for this principle include employee turnover rates, safety statistics, parental leave uptake, and training hours. Leadership Indicators push further — into retirement benefit coverage, worker-led health and safety committees, and supply chain labour audits.

Boardroom question: *Does your governance of human capital extend to the full scope of labour your business depends on? Boards that have detailed visibility into their direct employee metrics but no visibility into their supplier workforce are not meeting the intent of this principle.*

P4 Responsiveness to Stakeholders

Social & Governance

What it covers: Businesses should respect the interests of and be responsive to all their stakeholders.

Stakeholder responsiveness is a governance discipline as much as a social one. It requires organisations to identify who their stakeholders are — not just shareholders and customers, but employees, communities, suppliers, regulators, and the natural environment — to understand their interests and concerns, and to demonstrate that those interests are reflected in decision-making.

A board that receives information filtered entirely through management, that has no direct mechanism for hearing from communities affected by the company's operations, or that defines stakeholder engagement as an investor relations function is not meeting the standard this principle sets.

BRSR disclosures under this principle include details of stakeholder identification processes, the channels through which stakeholders communicate concerns, and the processes by which those concerns are addressed. The quality of these disclosures is a direct reflection of the quality of the board's stakeholder governance.

Boardroom question: *Who counts as a stakeholder in your board's deliberations, and how do you know? A board that has no direct mechanism for hearing from communities affected by the company's operations is not meeting the standard this principle sets.*

P5 Respect and Promotion of Human Rights

Social

What it covers: Businesses should respect and promote human rights.

Human rights is the principle that most boards are least comfortable with — partly because it sounds large and abstract, and partly because its application can be uncomfortable. The NGRBC's framing of this principle is drawn directly from the UN Guiding Principles on Business and Human Rights, which establish that companies have a responsibility to respect human rights regardless of whether governments in their operating jurisdictions are enforcing those rights.

Forced or child labour in raw material supply chains, unsafe working conditions in contract manufacturing facilities, land acquisition processes that displace communities without free, prior, and informed consent, discrimination in hiring or promotion — these are documented risk categories for Indian companies operating across diverse geographies and supply chains.

A board that has not conducted, or commissioned, a human rights risk assessment of its operations and value chain cannot credibly claim to be meeting this principle. And from a reputational and investor risk perspective, undisclosed human rights exposures are among the most damaging ESG failures a company can experience.

Boardroom question: *Where in your operations and supply chain are human rights most at risk? A board that has not conducted a human rights risk assessment of its value chain cannot credibly claim to be meeting this principle.*

P6 Protection and Restoration of the Environment

Environmental

What it covers: Businesses should respect and make efforts to protect and restore the environment.

The word 'restore' is significant. This principle does not simply ask companies to minimise their environmental damage. It asks them to actively contribute to restoration. This is a higher standard than environmental compliance, and it is the standard against which BRSR Core's most quantitative KPIs are measured.

BRSR Essential Indicators for this principle cover energy consumption, renewable energy sourcing, water management, greenhouse gas emissions (Scope 1 and Scope 2 as mandatory; Scope 3 as a Leadership Indicator), waste generation and management, and biodiversity impact. These are the metrics that BRSR Core assurance applies most rigorously to — the numbers that will be independently verified and that ESG rating agencies use to rank your company's environmental performance.

Boardroom question: *What is your organisation's net environmental position? Not just what are your emissions, but what are you doing to reduce them? Not just how much water do you withdraw, but how much do you return, and in what condition? Not just how much waste do you generate, but what proportion is recycled, recovered, or safely disposed of?*

P7 Responsible Policy Engagement and Advocacy

Governance

What it covers: Businesses should engage with and support good governance, and be responsible in their policy advocacy.

This is the principle that most companies handle with the least transparency — and the one that, in the current environment of heightened scrutiny of corporate political influence, carries the most reputational risk when handled poorly.

The tension between public ESG commitments and private policy advocacy — increasingly documented and increasingly reported by NGOs, journalists, and ESG researchers — is one of the fastest-growing sources of reputational risk in the global ESG landscape. Boards that have not reviewed their organisation's policy engagement activities against their BRSR disclosures are carrying an unexamined risk.

Boardroom question: *When your organisation engages with government, regulators, or industry bodies — whether directly or through trade associations — are those engagements transparent, consistent with your stated ESG commitments, and in the public interest? Or does your organisation advocate, through lobbying, for policies that contradict what it discloses publicly on climate, labour, or governance?*

P8 Inclusive Growth and Equitable Development

Social

What it covers: Businesses should promote inclusive growth and equitable development.

This is the most distinctly Indian principle in character — reflecting India's development context and the role that large listed companies play in the broader economic ecosystem. It asks whether the business model itself creates value that is broadly distributed — across geographies, income levels, and communities — or whether it concentrates value among shareholders while externalising costs onto workers, suppliers, and communities.

The boardroom questions this principle raises are concrete: How many jobs does your organisation support directly and indirectly? What proportion of your supply chain spend reaches small and medium enterprises, women-led businesses, or businesses in rural or underserved geographies? What community development programmes does the organisation support, and are they designed around community need or around marketing value?

This is also the principle most directly connected to India's mandatory CSR requirements. The Companies Act's two percent CSR mandate is a floor, not a ceiling. Boards that treat CSR compliance as the entirety of their Principle 8 obligation are significantly underestimating what the principle asks.

Boardroom question: *What is the economic footprint of your organisation beyond its financial statements? What proportion of your supply chain spend reaches small and medium enterprises or businesses in underserved geographies? The two percent CSR mandate is a floor — what is your organisation doing above it?*

P9 Responsible Consumer Engagement

Social

What it covers: **Businesses should engage with and provide value to their consumers in a responsible manner.**

Consumer responsibility covers the full arc of the company's relationship with the people who use its products or services — from honest marketing and accurate product labelling, to responsive grievance redress, to the protection of consumer data and privacy, to ensuring that essential services are not disrupted or withheld.

In the current regulatory environment — with SEBI and the Competition Commission of India both paying increased attention to consumer-facing corporate conduct, and with India's Digital Personal Data Protection Act bringing data privacy into the legal

mainstream — Principle 9 has acquired a sharper regulatory edge than it had when BRSR was first introduced.

Boardroom question: *Does your organisation's consumer engagement strategy reflect the same governance standards you would apply to your investor communications? Are your product claims accurate and verifiable? Are your data practices transparent and lawful? When consumers raise concerns, are they heard and addressed — or processed and dismissed?*

The ESG Mapping of the Nine Principles

The nine principles do not divide neatly into three — three Environmental, three Social, three Governance. The actual mapping reflects the interconnected nature of ESG:

1. Governance

Principles 1 and 7 — integrity and accountability in conduct; responsible policy engagement.

2. Environmental

Principle 6 — protection and restoration of the environment.

3. Social

Principles 3, 5, 8, and 9 — employee well-being, human rights, inclusive growth, consumer responsibility.

4. Environmental & Social (dual)

Principle 2 — sustainable and safe products and services.

5. Social & Governance (dual)

Principle 4 — stakeholder responsiveness has both a social dimension (who is heard) and a governance dimension (how the board structures listening).

Five or six principles sit primarily in the Social dimension. This distribution reflects where the NGRBC's framers believed the largest accountability gaps existed in Indian corporate conduct. It is also a signal to boards: BRSR is not primarily a climate reporting framework. Climate sits within it, but the framework's centre of gravity is human — employees, communities, consumers, and stakeholders.

The Companies Act, 2013 — The Legal Foundation of Board Accountability

The nine principles of BRSR do not exist in a legal vacuum. Their governance implications are underwritten by the fiduciary duties that the Companies Act, 2013 places on every director of an Indian company.

The **Companies Act of 2013** was a significant departure from the Act of 1956 that preceded it. **The 1956 Act** did not contain a dedicated section for directors' duties. The 2013 Act introduced Section 166, which consolidates the fiduciary duties of a director into seven sub-sections, with explicit penalties for violations.

From a corporate governance perspective, the duties under Section 166 can be summarised across four dimensions — each connecting directly to BRSR:

1. **Loyalty** — A director must act in the best interest of the company. In the context of BRSR, a director who allows inaccurate or misleading sustainability disclosures to pass through the board is not acting in the company's best interest — because those disclosures expose the company to regulatory, legal, and reputational risk.
2. **Care** — A director bears the responsibility to be careful and attentive. In the context of BRSR, care means engaging with the substance of sustainability disclosures rather than rubber-stamping a document prepared by management — asking whether data has been verified, whether methodology is consistent year on year, and whether disclosures are complete.
3. **Disclosure** — A director is required to disclose all material information of the company to stakeholders. The dual materiality principle of BRSR — requiring disclosure of both financially material and stakeholder-significant information — is directly aligned with this duty. A director who withholds or obscures material sustainability information is in breach of this duty.
4. **Conflict of Interest** — A director must avoid any activity that conflicts with the company's interests. In the context of BRSR, this extends to conflicts between the company's stated ESG commitments and the personal or commercial interests of board members — for example, a director with significant interests in a business that the company is required to assess as a value chain partner.

The critical point for boards is this: Section 166 does not carve out an exemption for non-financial information.

The duties established by Section 166 apply to BRSR disclosures with the same force as they apply to financial disclosures. Directors who treat BRSR as a management exercise rather than a board accountability exercise are misunderstanding both the framework and their legal obligations.

Alignment with the UN Sustainable Development Goals

The nine principles of BRSR were designed in alignment with the UN's 17 Sustainable Development Goals — the global development framework adopted by all UN member states in 2015 and targeted for achievement by 2030. The revision of the NVGs into the NGRBC in 2019 was explicitly driven by India's commitment to the SDG agenda. Understanding this alignment is not an academic exercise. It is the key that connects what a listed Indian company discloses in its BRSR to the language,

frameworks, and expectations of global capital markets, development finance institutions, and multilateral lenders.

The broad principle-to-SDG alignments are:

- **Principle 1 — Integrity & Ethics:** SDG 16 — Peace, Justice and Strong Institutions
- **Principle 2 — Sustainable Products:** SDG 12 — Responsible Consumption and Production
- **Principle 3 — Employee Well-being:** SDG 3 (Good Health), SDG 4 (Quality Education), SDG 5 (Gender Equality), SDG 8 (Decent Work)
- **Principle 4 — Stakeholder Responsiveness:** SDG 17 — Partnerships for the Goals
- **Principle 5 — Human Rights:** SDG 10 (Reduced Inequalities), SDG 16 (Justice and Strong Institutions)
- **Principle 6 — Environment:** SDG 6 (Clean Water), SDG 7 (Clean Energy), SDG 13 (Climate Action), SDG 14 (Life Below Water), SDG 15 (Life on Land)
- **Principle 7 — Policy Engagement:** SDG 16 (Strong Institutions), SDG 17 (Partnerships)
- **Principle 8 — Inclusive Growth:** **SDG 1 (No Poverty), SDG 8** (Decent Work), SDG 9 (Industry & Innovation), SDG 10 (Reduced Inequalities)
- **Principle 9 — Consumer Responsibility:** SDG 12 (Responsible Consumption), SDG 16 (Strong Institutions)

The mapping between the nine principles and the **17 SDGs** is detailed and cross-cutting — most principles connect to multiple SDGs, and most SDGs are addressed by multiple principles. This is by design: the NGRBC was built to ensure that responsible business conduct in India contributes measurably to the global development agenda, not just to domestic regulatory compliance.

What Each Alignment Means in Practice Looking at the alignments individually reveals why the SDG connection matters beyond symbolism.

Principle 1 maps to SDG 16 — Peace, Justice and Strong Institutions. SDG 16 calls on governments and organisations to build accountable and transparent institutions at all levels. When a company discloses its anti-corruption policies, its whistleblower mechanisms, and its governance structures under Principle 1, it is contributing directly to SDG 16.

For global investors with SDG-linked mandates — including sovereign wealth funds, development finance institutions, and green bond investors — this connection is a tangible input to their assessment of the company's contribution to the goals. Principle 2 maps to SDG 12 — Responsible Consumption and Production.

SDG 12 targets sustainable management of natural resources and reduction of waste across production and supply chains. A company that discloses its product lifecycle impact, its resource efficiency in production, and the sustainability credentials of its goods under Principle 2 is providing data directly relevant to SDG 12 reporting. Global supply chain partners — particularly those in jurisdictions with

their own SDG reporting obligations — increasingly require this data from their Indian suppliers.

Principle 3 connects to four SDGs — SDG 3 (Good Health and Well-being), SDG 4 (Quality Education), SDG 5 (Gender Equality), and SDG 8 (Decent Work and Economic Growth). This breadth reflects the comprehensive scope of Principle 3: employee safety data maps to SDG 3, training and skills development maps to SDG 4, gender diversity and equal pay maps to SDG 5, and fair wages and employment quality across the value chain maps to SDG 8.

For boards, this means that strong performance on Principle 3 speaks to four different SDG-linked investor screens simultaneously. Principle 4 maps to SDG 17 — Partnerships for the Goals. SDG 17 recognises that the 2030 agenda cannot be achieved by governments alone — it requires partnerships between the public sector, private sector, and civil society.

A company that actively identifies and responds to its stakeholders, that reports transparently on its engagement processes, and that integrates stakeholder input into its decision-making is demonstrating the kind of multi-stakeholder partnership that SDG 17 calls for. Principle 5 maps to SDG 10 (Reduced Inequalities) and SDG 16.

Human rights violations in corporate supply chains — forced labour, discriminatory practices, unsafe working conditions — are among the most direct contributors to inequality. A company that conducts and discloses human rights due diligence is contributing to SDG 10.

And because SDG 16 covers not just institutional accountability but also access to justice and protection from exploitation, Principle 5's human rights commitments map there too. Principle 6 connects to five SDGs — SDG 6 (Clean Water), SDG 7 (Affordable and Clean Energy), SDG 13 (Climate Action), SDG 14 (Life Below Water), and SDG 15 (Life on Land). This is the most SDG-connected principle in the framework, reflecting the breadth of environmental responsibility.

For boards, this means that the environmental KPIs in BRSR Core — on water consumption, energy intensity, GHG emissions, and biodiversity impact — are simultaneously the data points most scrutinised by climate-focused investors, green bond verifiers, and SDG-aligned institutional funds.

A company with strong Principle 6 disclosures is speaking to five different SDG investment screens at once. Principle 7 maps to SDG 16 and SDG 17. Transparent and responsible policy engagement — ensuring that a company's lobbying and advocacy activities are consistent with its public ESG commitments — is directly relevant to SDG 16's call for strong institutions, and to SDG 17's vision of a collaborative, multi-stakeholder approach to global challenges.

Investors who review policy engagement disclosures under Principle 7 are, in part, assessing whether a company's private political behaviour is aligned with its public SDG commitments. Principle 8 maps to SDG 1 (No Poverty), SDG 8 (Decent Work and Economic Growth), SDG 9 (Industry, Innovation and Infrastructure), and SDG 10 (Reduced Inequalities).

This is the principle most directly connected to India's development context. A company that creates employment in smaller towns, that sources from small and

medium enterprises, that invests in community development beyond its CSR compliance floor, and that supports inclusive economic participation is contributing across four of the most economically significant SDGs.

Development finance institutions — which lend to corporates as well as governments — assess Principle 8 performance as a direct measure of development impact. Principle 9 maps to SDG 12 (Responsible Consumption and Production) and SDG 16. Consumer protection, data privacy, honest marketing, and responsive grievance mechanisms all contribute to SDG 12's vision of sustainable consumption and to SDG 16's emphasis on accountability and access to justice.

For companies in consumer-facing sectors, strong Principle 9 disclosures connect directly to sustainability criteria used by ESG-rated consumer sector funds. Why This Matters for Boards in 2026 The SDG alignment of BRSR's nine principles has three specific implications for boards that go beyond compliance awareness.

First, it is the bridge to global capital. A growing proportion of global institutional capital — from pension funds, sovereign wealth funds, development finance institutions, and ESG-labelled funds — is allocated using SDG-linked criteria. These investors do not assess Indian companies using India-specific ESG frameworks.

They use the SDGs as a common global language. A company whose board understands how its BRSR disclosures map to specific SDG targets can communicate its sustainability performance in terms that these investors already use and already understand. A company whose board does not understand this mapping is leaving a significant element of its investor communication to chance. Second, it is a supply chain requirement.

Indian companies that supply to multinationals headquartered in the European Union, the United Kingdom, or other jurisdictions with mandatory SDG or sustainability reporting requirements are increasingly required to provide SDG-relevant data as a condition of the commercial relationship.

The BRSR's SDG alignment means that a company reporting comprehensively under BRSR is already generating much of the data its global customers need. But only if the board understands which BRSR disclosures map to which SDG targets — and can present that mapping clearly. Third, it signals the direction of regulatory travel.

The SDGs were designed as a 2015–2030 agenda. As 2030 approaches, the pressure on governments, regulators, and corporations to demonstrate measurable progress is intensifying.

India's BRSR framework, with its explicit SDG alignment, positions Indian listed companies within that global accountability narrative. Boards that engage seriously with the SDG dimension of BRSR today are preparing for a regulatory and investment environment in which that alignment will be scrutinised more closely, not less, in the years ahead.

Session Summary

The nine principles of BRSR are not a checklist.

They are a governance framework — a structured articulation of the standard of conduct that **SEBI, the MCA, and India's broader** regulatory and investment community expect of large listed companies and their boards.

Each principle places a specific question on the boardroom table. The quality of a company's **BRSR** disclosures is ultimately a function of how seriously those questions are asked, and how honestly they are answered.

The legal duties of directors under **Section 166 of the Companies Act, 2013** ensure that the asking and answering of those questions is not optional — it is a fiduciary obligation.

The SDG alignment places the same questions in a global context: the governance, social, and environmental standards India is asking of its companies are the same standards the world is asking of corporations everywhere.

Boards that engage with the nine principles seriously are not just managing regulatory risk. They are positioning their organisations for the direction in which global capital, global supply chains, and global regulation are all moving.

Session 04 moves from the principles to the board itself — examining the specific governance accountability, liability, and strategic responsibilities that BRSR places on directors, and what institutional investors and ESG rating agencies are actually looking for when they assess your organisation's disclosure.

Session 04

BRSR and Board Governance

Accountability, assurance, ESG ratings, and what institutional investors are actually looking for

What This Session Covers

The previous three sessions built the foundation — the regulatory history, the structural architecture of BRSR, and the nine principles that define its substantive scope. This session turns to the question those sessions were building toward: what does all of this mean for the board specifically?

BRSR is sometimes described as a management responsibility — something the CFO's office or the sustainability team handles, with the board reviewing and approving the final document. That description is incomplete and, in some respects, legally inaccurate. This session examines the board's actual accountability under the BRSR framework — who is responsible, what they are responsible for, what the assurance process demands of the board, and how the investment community is using BRSR disclosures to assess the organisations and leaders behind them.

Who Is Responsible for BRSR — The Legal Position

The question of who is legally responsible for BRSR disclosures does not have a complicated answer. The BRSR is filed as part of the Annual Report of a listed entity. Under SEBI's Listing Obligations and Disclosure Requirements (LODR) Regulations, the Annual Report is a board document. It is approved by the board of directors before it is published. The disclosures it contains — financial and non-financial — are made under the authority and responsibility of the board.

This means that every disclosure in the BRSR — every KPI, every policy statement, every management process description — is a disclosure for which the board collectively bears responsibility. The Chief Financial Officer, the Managing Director, and the Company Secretary each have specific roles in preparing and certifying the Annual Report, but those certifications do not transfer the board's accountability. They add to it.

Under Section 166 of the Companies Act, 2013, directors are required to act with care, loyalty, and a duty of disclosure. These duties apply to the BRSR with the same force as they apply to the financial statements. A director who signs off on an Annual Report containing materially inaccurate or misleading BRSR disclosures is not insulated from accountability by the fact that the disclosures were prepared by management.

Boards cannot treat BRSR as a document to be received and approved without scrutiny. They must be in a position to ask informed questions about the data, the

methodology, the completeness of the disclosures, and the consistency of what is reported with what the organisation actually does.

What SEBI Expects of the Board — Versus Management

SEBI's BRSR framework draws a meaningful distinction between what it expects of the board and what it expects of management — a distinction that is most clearly visible in Section B of the BRSR, the Management and Process Disclosures section.

Section B does not ask management to describe what the board has decided in general terms. It asks the organisation to demonstrate, for each of the nine NGRBC principles, that governance structures exist — that policies have been approved at the appropriate level, that oversight responsibilities have been assigned, that review mechanisms are in place, and that the board or a board committee has visibility over ESG-related risks and performance.

What this means in practice is that the quality of Section B disclosures is a direct function of the governance architecture the board has built. If the board has established a dedicated ESG or sustainability committee, that will be visible in Section B. If the board has approved a formal ESG policy that is reviewed annually, that will be visible. If the board has no formal oversight mechanism for ESG — if sustainability is managed entirely within management without board-level governance — that too will be visible, and the absence will be noted by analysts and investors who read BRSR reports carefully.

SEBI's expectation is not that boards become operational managers of sustainability. It is that boards demonstrate they have governance structures that are proportionate to the ESG risks and opportunities their organisations face. For a large listed company — particularly one in the extractive, manufacturing, or financial sectors — those risks are material, and the governance structures should reflect that materiality.

BRSR Core and the Assurance Mandate — What It Means for the Board

The introduction of mandatory assurance for BRSR Core disclosures is the single most significant governance development in Indian ESG reporting since BRSR itself was mandated. It changes the nature of the board's responsibility in a specific and important way.

Before assurance was mandatory, a board approving BRSR disclosures was approving a self-declared document. The data had been collected and compiled internally, reviewed by management, and signed off by the board. The accuracy of

the data depended entirely on the quality of the organisation's internal systems and the honesty of its reporting. There was no external check.

With mandatory assurance, an independent assurance provider examines the BRSR Core KPIs, tests the underlying data and methodology, and provides an opinion on whether the disclosures fairly represent the organisation's actual performance. That opinion — and the process of obtaining it — changes the board's position in two ways.

First, it creates an external accountability mechanism. If the assurance process reveals that disclosed data is inaccurate, inconsistently measured, or unsupported by adequate internal records, that finding becomes part of the assurance engagement. The board cannot simply accept a clean assurance opinion on disclosures it knows to be questionable.

Second, it creates an incentive for the board to invest in the data infrastructure that assurance requires. An organisation that has not built robust internal systems for collecting, verifying, and reporting ESG data will find the assurance process difficult. Boards that wait until the assurance mandate applies to their entity to begin building those systems are leaving themselves insufficient time.

Reasonable Assurance vs Limited Assurance

SEBI's mandate for BRSR Core specifies reasonable assurance — a standard that is more demanding than the alternative, and important to understand precisely.

Limited assurance is a lower standard of engagement. The assurance provider performs analytical procedures and inquiries, and concludes that nothing has come to their attention that would indicate the disclosures are materially misstated. It is a negative conclusion — the provider is saying they found no problems, not that they confirmed accuracy.

Reasonable assurance is a higher standard. The assurance provider gathers sufficient appropriate evidence to form a positive conclusion — that the disclosures are, in all material respects, fairly presented. This requires more extensive testing of underlying data, more rigorous examination of methodology, and a deeper engagement with the organisation's internal reporting systems.

For the board: the evidence trail behind your BRSR Core KPIs must be robust enough to withstand external examination. Estimates that cannot be supported, methodologies that are inconsistent year-on-year, or data that cannot be traced back to source records will not survive a reasonable assurance engagement.

Assurance Provider Requirements — The Board's Specific Obligations

SEBI's framework places two specific obligations on the board with respect to the selection and engagement of assurance providers. These are not delegable to management — they are board-level responsibilities.

Expertise

The board must satisfy itself that the selected assurance provider possesses the necessary expertise to conduct reasonable assurance of BRSR Core disclosures. This is not a routine audit appointment. ESG assurance requires specific technical competence — in sustainability data systems, in the measurement methodologies underpinning the KPIs, and in the BRSR Core framework itself. The board should not appoint its statutory auditor by default without assessing whether that firm has the relevant capability.

Conflict of Interest

The board must verify that there is no conflict of interest between the listed entity — or any of its group entities — and the assurance provider. SEBI's framework requires that the assurance provider, or any of its associates, must not sell products to, or provide non-audit or non-assurance services including consulting, to the listed entity or its group entities. The logic is the same as the independence requirement for financial auditors: an assurance provider with a commercial relationship with the entity it is assuring cannot be relied upon to provide an objective opinion.

BRSR Core — What Is Being Assured

To understand what the assurance mandate means in governance terms, it helps to be precise about what BRSR Core actually covers — because these are the specific KPIs the assurance provider will examine, and the specific metrics on which the board's disclosures will be tested.

BRSR Core is a subset of the comprehensive **BRSR**, mandated through **SEBI Circular No. SEBI/HO/CFD/CFD-SEC-2/P/CIR/2023/122** issued in **July 2023**, following recommendations by the ESG Advisory Committee and public consultation.

It focuses on **nine ESG attributes with KPIs** tailored for the Indian and emerging market context. For value chain disclosures, the scope covers the major upstream and downstream partners accounting for **75%** of the entity's purchases or sales by value.

The additional **KPIs** identified specifically for assurance under BRSR Core include job creation in small towns, business openness, and gross wages paid to women. Intensity ratios across energy, water, and emissions have been adjusted for purchasing power parity to enhance global comparability — making Indian companies' performance more directly comparable to international peers.

The framework allows for industry-specific adjustments to the base methodology — but any such adjustments must be disclosed. A company cannot quietly apply a non-standard methodology to a KPI without explaining that it has done so and why. For boards, this means that any deviation from the base methodology is a board-level disclosure decision, not a technical choice to be made quietly by the reporting team.

ESG Rating Providers — How Your Disclosures Become Your Score

Alongside the assurance mandate, SEBI has moved to regulate ESG Rating Providers operating in India — a development that directly connects the quality of a company's BRSR disclosures to how that company is perceived and valued by the investment community.

What ESG Rating Providers Do

ESG Rating Providers are agencies that assess companies' ESG performance and produce scores, ratings, or rankings used by institutional investors, index providers, lenders, and financial institutions in their investment, lending, and allocation decisions. In India, providers operating in this space include domestic agencies as well as the Indian operations of global rating firms.

Before SEBI's regulation, ESG rating agencies in India operated without a common methodology, without transparency obligations, and without regulatory oversight. This produced a problem that IOSCO — the International Organization of Securities Commissions — identified and flagged globally: significant divergence in ESG scores for the same company across different rating agencies, driven by differences in methodology, data sources, and weighting systems. IOSCO emphasised the necessity for clarity and harmonisation concerning ESG definitions, and for transparency in the methodologies used to produce ratings and data products.

In response, SEBI issued a consultation paper on ESG Rating Providers, proposing regulations aimed at establishing standardisation in the Indian market. Following this consultation process, SEBI moved to finalise regulations for ESG Rating Providers — requiring registration with SEBI, transparent disclosure of rating methodologies, management of conflicts of interest, and adherence to defined quality standards. The intent of this regulatory framework is to bring to ESG ratings the same baseline of transparency and accountability that applies to credit rating agencies.

What This Means for Your BRSR Disclosures

For boards, the regulation of ESG Rating Providers has a specific practical implication: the scores being used to represent your organisation's ESG performance to investors are now generated within a regulated, methodology-disclosed framework — which means the quality, completeness, and accuracy of your underlying BRSR disclosures matter more than they did before the regulation.

Under a regulated framework with disclosed methodologies, the primary input to your ESG score is your public disclosure — principally your BRSR. Before regulated methodologies, a company could, in theory, manage its ESG score through selective engagement with rating agencies — providing supplementary data to some, or simply benefiting from the fact that inconsistent methodologies made comparison difficult. Under the current regulated framework, that approach no longer works. A company with incomplete, inconsistently measured, or strategically selective BRSR disclosures will receive an ESG score that reflects those gaps.

That score feeds into index inclusion decisions, into institutional investor portfolio construction, into lending terms from ESG-conscious lenders, and into the

reputational assessments that counterparties, suppliers, and customers increasingly conduct before entering significant commercial relationships.

The board's role is to ensure that the disclosures driving that score are accurate, complete, and honestly representative of the organisation's actual ESG performance — not the best possible presentation of it.

How Institutional Investors Use BRSR Data

Understanding how institutional investors actually use BRSR data is important for boards because it clarifies the stakes. BRSR is not a disclosure that disappears into a regulatory filing system and is never read. It is actively used — and the sophistication with which it is used is increasing.

Institutional investors — domestic mutual funds, insurance companies, pension funds, and foreign institutional investors — use ESG data in several ways. BRSR is the primary source of standardised, comparable ESG data for Indian listed companies.

1. Portfolio screening

Investors with ESG mandates use BRSR data to screen companies in or out of portfolios based on minimum ESG standards. A company with no disclosed GHG emissions data, no safety statistics, and no human rights policy may be excluded from ESG-oriented funds regardless of its financial performance.

2. Engagement

Investors use BRSR disclosures as the basis for engagement conversations with boards and management — raising questions about specific performance gaps, requesting commitments on future targets, or flagging inconsistencies between disclosed policies and disclosed outcomes.

3. Risk assessment

The quantitative KPIs in BRSR Core — on emissions intensity, water intensity, safety performance, and supply chain coverage — are used by analysts to assess ESG-related financial risks that may not be visible in the financial statements. A company with deteriorating safety statistics or rising water intensity in a water-stressed geography is carrying risks that BRSR data makes visible.

4. Stewardship

Under SEBI's Stewardship Code, institutional investors are expected to monitor and engage with companies on material ESG matters. BRSR disclosures are a key instrument through which that monitoring is conducted — providing the standardised, comparable, and increasingly assured data that institutional shareholders use to assess ESG performance. Boards should expect that large institutional shareholders are reading the BRSR with increasing attention, and that gaps or deteriorations in disclosed performance will prompt direct engagement.

The overall direction of institutional investor behaviour — in India and globally — is toward deeper integration of ESG data into investment decisions. Boards that understand this are not just managing compliance. They are managing a relationship with the capital markets that their organisation depends on.

Practical Governance Questions Every Board Should Be Asking

Drawing together the accountability, assurance, and investor dimensions of this session, these are the questions that every board of a listed entity within BRSR scope should be in a position to answer:

1. On accountability:

Has the board formally assigned responsibility for BRSR governance — to a board committee, an individual director, or a combination? Is there a clear line of accountability from the data collection systems in operations through to the final BRSR disclosure?

2. On data quality:

What internal controls exist over the ESG data that feeds the BRSR? Have those controls been reviewed? Are the measurement methodologies consistent with the previous year's disclosures? If there have been methodology changes, have they been disclosed?

3. On assurance readiness:

If your entity is within the BRSR Core assurance scope now, or will be in the next financial year — has the board appointed a qualified assurance provider? Has the conflict of interest requirement been assessed? Is management's data infrastructure adequate to support a reasonable assurance engagement?

4. On the ESG score:

Does the board know what ESG score your organisation carries with the major rating providers? Does the board understand the primary inputs to that score? Are there known gaps between your actual ESG performance and what is being captured in your disclosures?

5. On investor engagement:

Has the board received feedback from institutional investors on the quality of BRSR disclosures? Are there specific principles or KPIs that investors have flagged as areas for improvement?

Session Summary

The board's role in BRSR is not peripheral and it is not purely one of approval. It is one of governance accountability — for the accuracy of disclosures made in the organisation's name, for the adequacy of the governance structures that produce those disclosures, and for the quality of the assurance process that validates them.

The introduction of mandatory assurance for **BRSR Core**, the regulation of ESG Rating Providers, and the increasing sophistication of institutional investor engagement have collectively raised the stakes for boards that approach BRSR as an administrative exercise. The framework is designed to be transparent about the difference between organisations that take their ESG governance seriously and those that do not — and the investment community is increasingly equipped to read that difference.

Session 05 closes **Part 1** by building the analytical lens you will carry into **Part 2** — preparing you to read, interrogate, and assess a **BRSR** report with the judgement of a board member who understands both what the framework demands and what credible disclosure looks like.

BRSR_READING & ANALYSIS

ADVANCED BRSR MODULE — PART 2

Session 00

The Five Questions — Start With the Output

BRSR Core • Assessment or Assurance • Value Chain • The governance framework for every session that follows

What This Session Does

You have completed Part 1. You understand why BRSR exists, how it evolved, what the nine principles demand of a board, and what the investment community expects from the disclosures you approve. That foundation was built deliberately — because Part 2 asks something different of you.

Part 2 is not about learning more content. It is about developing a skill. The skill of reading a BRSR report as someone who is accountable for it.

This session does not start with Section A, indicators, or tables. It starts with the output — the five governance questions that every BRSR review should answer, and that every session in Part 2 will help you answer better. Before you touch a single indicator, you need to know what you are ultimately looking for.

The Five Governance Questions

These five questions are the spine of Part 2. Every session will end by returning to them. By the time you have read nine sets of principle-wise indicators through this lens, asking these five questions will be instinctive — not effortful.

Is this report honest?

Not just technically accurate — honest. Does it represent the organisation's actual ESG performance, including weaknesses and gaps, or does it present a selective picture designed to minimise unfavourable disclosures? Honesty shows up in the relationship between what Section B says the organisation is committed to and what Section C shows it has actually achieved.

Is this report consistent?

Do the numbers in different sections of the same report add up? Is the methodology for calculating emissions, water intensity, or safety statistics the same as last year — and if not, has the change been disclosed and explained? Consistency is the most testable dimension of BRSR quality.

Is this report improving?

Is the organisation's ESG performance trajectory moving in the right direction across the principles that matter most for its sector? Where performance is flat or deteriorating, is there a credible explanation and a visible remediation plan?

Is this report comparable?

How does this organisation's performance compare to peers in the same sector? BRSR's standardised format, and the Industry Standards issued by the Industry Standards Forum in December 2024, exist precisely to enable comparison. A board that never benchmarks its BRSR performance against industry peers is using only half the instrument.

Is this report complete?

Are the mandatory Essential Indicators all present — or are some blank without explanation? Are Leadership Indicators engaged with, or uniformly skipped? Is the assessment or assurance coverage as broad as the organisation's position on the glide path requires?

The BRSR Core — What It Is and Why It Is the Heart of Part 2

The **BRSR Core** is a subset of the comprehensive BRSR.

It was introduced by **SEBI** through Circular No. **SEBI/HO/CFD/CFD-SEC-2/P/CIR/2023/122** on **12 July 2023**, following recommendations by the ESG Advisory Committee and public consultation.

BRSR Core consists of a defined set of Key Performance Indicators across nine ESG attributes — the same nine attributes that correspond to the nine NGRBC principles. These KPIs are not chosen arbitrarily. They were designed to reflect what is measurable, comparable, and most material to the Indian and emerging market context. Three additional KPIs were specifically identified for BRSR Core coverage: job creation in small towns,

openness of business, and gross wages paid to women. These reflect India's specific development and economic context.

Intensity ratios are a central feature of BRSR Core reporting. All intensity ratios are to be calculated on both an absolute basis and on a Purchasing Power Parity adjusted basis, using the latest PPP conversion rate published by the IMF for India. The same rate must be used for both the current and previous financial years, and the rate used must be disclosed in the BRSR. For manufacturing entities, output-based intensity uses Total Production as the denominator. For service entities, it uses Full-Time Equivalent employees. These methodology choices are not discretionary — they are the standards set by the Industry Standards Forum in guidance issued in December 2024, which listed entities are expected to follow for FY 2024-25 onwards.

BRSR Core Assessment or Assurance — Updated as of March 2025

The original BRSR Core framework required listed entities to obtain 'reasonable assurance' of their BRSR Core disclosures. As of SEBI Circular No. SEBI/HO/CFD/CFD-PoD-1/P/CIR/2025/42 dated 28 March 2025, the framework has been updated significantly.

Listed entities may now choose between two options for verifying their BRSR Core disclosures:

Option 1 — Assurance

Conducted by an independent assurance provider using globally accepted assurance standards on sustainability or non-financial reporting — including ICAI's SSAE 3000 and SSAE 3410, or the IAASB's ISSA 5000.

Option 2 — Assessment

Conducted as per standards developed by the Industry Standards Forum in consultation with SEBI. Assessment is designed to be profession-agnostic — the provider need not be a Chartered Accountant — with the objective of reducing compliance cost and broadening the pool of eligible providers.

The choice between assessment and assurance is a governance matter that the board should be aware of and involved in — since the board approves the annual report in which these disclosures appear. It should be made with a clear understanding of what each standard demands, and documented accordingly. A board that delegates this choice entirely to management without understanding the implications is not meeting its oversight obligation.

Provider Requirements — Unchanged

Regardless of whether assessment or assurance is chosen, two requirements for the provider remain in force:

Expertise: The board must satisfy itself that the selected provider possesses the necessary technical competence in sustainability data systems and the nine ESG attributes. SEBI has clarified that the provider need not be a Chartered Accountant, but must be demonstrably qualified for the engagement.

Conflict of Interest: The board must verify that neither the provider nor any of its associates sells products to, or provides consulting, internal audit, risk management, or investment banking services to the listed entity or its group entities. This change matters for boards in a specific way — the choice of provider is not just an administrative appointment, it is a governance decision with accountability implications. Activities in the nature of audit or assurance — such as certification, tax audit, system audit, and tax filings — do not automatically breach independence, but activities such as risk management, consulting, internal audit, and investment banking services do. The audit committee must verify this closely.

The Glide Path — Own Entity Disclosures

The glide path for BRSR Core assessment or assurance on a listed entity's own disclosures remains as originally specified:

FY 2023-24 — Top 150 listed entities by market capitalisation

FY 2024-25 — Top 250 listed entities

FY 2025-26 — Top 500 listed entities ◀ **Current**

FY 2026-27 — Top 1,000 listed entities

As of **FY 2025-26**, the top **500** listed entities are within scope for mandatory BRSR Core assessment or assurance. The **top 1,000** mandate is one financial year away.

Value Chain ESG Disclosures — Significantly Updated as of March 2025

The value chain disclosure framework has been revised substantially from what was originally specified in the July 2023 circular. Every board member needs to understand the current position.

Who Is a Value Chain Partner — Revised Definition

Previously, the value chain was defined as the top upstream and downstream partners cumulatively comprising 75% of the entity's purchases and sales by value. The revised definition changes the primary criterion: a value chain partner is now any upstream or downstream partner that individually contributes 2% or more of the listed entity's total purchases and sales by value. A listed entity may then limit its disclosures to cover 75% of total purchases and sales by value.

Timeline — Voluntary Until FY 2026-27

Following the Expert Committee's recommendations, the approach for value chain ESG disclosures has been changed from comply-or-explain to voluntary until the mandatory date.

FY 2024-25 — Value chain ESG disclosures — voluntary

FY 2025-26 — Voluntary. Prior year (FY 2024-25) comparative data also voluntary ◀ Current

FY 2026-27 — Mandatory assessment or assurance of value chain disclosures — top 250 entities

This is a significant deferral from what was originally announced. The reason was practical — the compliance burden on value chain partners was identified as excessive at the scale originally proposed, and the data systems required to collect and report the relevant ESG data were not yet in place. Listed entities must report BRSR Core KPIs for their value chain partners to the extent attributable to their business with each partner, with all assumptions and estimates transparently disclosed. The direction of travel remains unchanged — value chain ESG accountability is coming — but the timeline has been extended to allow listed entities and their value chain partners adequate time to build the required data systems.

The Industry Standards Forum — A New Element in the Ecosystem

As of **December 2024**, a new body is relevant to how **BRSR Core** disclosures are prepared. The Industry Standards Forum — comprising **ASSOCHAM, FICCI, and CII**, developed in consultation with SEBI — issued the Industry Standards on Reporting of BRSR Core. These standards are applicable from **FY 2024-25** onwards.

The standards cover two areas: **Part A** addresses general requirements including intensity calculations and the spend-based approach for estimating environmental footprints where primary data is unavailable; **Part B** provides detailed guidance across all nine ESG attributes.

For boards, the existence of ISF standards means the question ‘are we reporting correctly?’ now has a published reference answer. They are the reference standard that listed entities are expected to follow in preparing **BRSR Core disclosures from FY 2024-25** onwards.

A board reviewing **BRSR** Core disclosures can ask management: are these disclosures prepared in line with the ISF Industry Standards?

The KPIs within BRSR Core are drawn from the Essential Indicators of each principle in Section C, with specific KPIs highlighted as the core set requiring assessment or assurance.

The practical implication for boards is direct: the quality of your Section C Essential Indicator disclosures is the primary input to your BRSR Core assessment or assurance.

An organisation that completes the Essential Indicators with rigour, with consistent methodology, and with traceable data trails is an organisation that can sustain scrutiny.

An organisation that treats Essential Indicators as narrative exercises will find that scrutiny revealing. If the ISF standards are not being followed, that is a governance gap.

How Part 2 Is Structured Around the Five Questions

Each session in Part 2 follows a consistent structure — content followed by the five governance questions applied to that session's material. Here is what each session delivers:

| **Session 01 — How to Read a BRSR — The Analytical Methodology**

Intensity vs absolute. Trajectory reading. Peer benchmarking. Greenwashing recognition. The skill layer that makes all indicator knowledge applicable.

| **Session 02 — Section A — Reading Context as Governance Data**

All seven parts of Section A — entity identity through transparency compliance. How context shapes Section C.

| **Session 03 — Section B — The Governance Architecture Session**

Dedicated entirely to the governance accountability section. The board's own ESG architecture — documented, tested, and examined.

| **Session 04 — Section C + Principles 1 & 2**

Section C methodology, then integrity/ethics and sustainable products in full indicator detail.

| **Session 05 — Principle 3 — Employee & Value Chain Well-being**

Standalone. 21 indicators. POSH Act board liability. The people risk session.

| **Session 06 — Principles 4 & 5 — Stakeholders and Human Rights**

Stakeholder governance, human rights due diligence, remuneration ratios, and DPDPA cross-reference.

| **Session 07 — Principle 6 — Environment**

Standalone. 18 indicators. The heart of BRSR Core assessment or assurance. Energy, water, emissions, waste, biodiversity.

| **Session 08 — Principles 7, 8 & 9**

Policy engagement, inclusive growth, and consumer responsibility — with DPDPA and Green Credits.

| **Session 09 — Putting It Together — Live BRSR Analysis**

Apply everything. Walk through a real BRSR. Practice the board review. Build the instinct.

| **Session 10 — Module Wrap-Up — Governance, Not Compliance**

The five questions revisited. The regulatory horizon. The closing distinction.

One Final Thought Before Session 1

The five questions introduced today are not a checklist. A checklist is something you complete and set aside.

These five questions are a lens — something you look through every time a BRSR lands in front of you.

The executives and board members who get the most from this module are the ones who internalise these questions before they start reading indicators.

Because once you have them, every piece of indicator knowledge in **Sessions 1 through 08** has somewhere to live.

It connects to a question. It helps you answer something.

It makes you a more effective governor of your organisation's **ESG accountability**.

| **That is the purpose of Part 2. Let us begin.**

Session 01

How to Read a BRSR — The Analytical Methodology

Four tools every board member needs before reading a single indicator

What This Session Does

There is a significant difference between reading a BRSR and reading it well. Reading it means going through the sections, noting what is present, and approving the document.

Reading it well means applying a consistent analytical lens — asking questions of the data, testing it for internal coherence, comparing it against prior years and industry peers, and recognising the patterns that distinguish credible disclosure from disclosure designed to satisfy the minimum requirement.

This session teaches that analytical lens before you encounter a single indicator. **Sections A, B, and C** are covered in the sessions that follow.

But the methodology you apply to those sections is taught here — because indicator knowledge without analytical methodology produces executives who know what **BRSR asks**, not executives who can judge whether a **BRSR** answers it honestly.

By the end of this session, you will have four reading tools: intensity versus absolute analysis, trajectory reading, internal consistency checking, and greenwashing recognition. Every indicator session in Part 2 will draw on all four.

The Evidence Base — What Real BRSR Data Reveals

Before introducing the methodology, it is worth grounding this session in what is actually known about BRSR disclosure quality in India, because the methodology exists precisely to address real patterns, not hypothetical ones.

In **October 2024**, **CFA Institute**, the National Stock Exchange of India, and CFA Society India published a joint analysis of BRSR disclosures from 300 of the top 1,000 listed companies — representing approximately 70% of India's total market capitalisation. While companies have made meaningful progress, the report found that inconsistencies in data quality and reporting standards persist.

Separately, NSE reviewed BRSR submissions from listed companies for FY 2022-23 and issued a guidance circular identifying a number of variations and lack of uniformity in the disclosures. Specific patterns flagged included: companies reporting energy consumption in rupees instead of the required units of Joules or multiples;

inconsistencies in scale across comparable companies; incomplete reporting on multiple Essential Indicators; and non-standardised formats that made cross-company comparison difficult.

An analysis by XBRL International of over 1,000 BRSR reports submitted to NSE identified data quality issues including incorrect scales, inconsistent units, and incomplete reporting as recurring challenges across a large and diverse sample of India's most prominent listed companies.

This evidence matters for board members because it establishes that BRSR reading requires active critical judgement — not passive consumption. The four tools in this session are the response to these observed patterns.

Tool 1 — Intensity Versus Absolute Numbers

The most fundamental distinction in BRSR reading is between intensity metrics and absolute metrics. Understanding the difference — and when each can tell a misleading story — is the foundation of environmental data analysis.

Absolute numbers measure the total quantum of something: total energy consumed in gigajoules, total water withdrawn in kilolitres, total GHG emissions in metric tonnes of CO₂ equivalent. Absolute numbers matter because they represent the actual scale of environmental impact.

Intensity metrics measure the same quantities relative to a denominator — typically revenue in rupees or turnover, output in units of production, or employees. BRSR Core requires intensity ratios for energy, water, and GHG emissions on both a revenue basis and a Purchasing Power Parity adjusted revenue basis.

Intensity and absolute numbers can tell opposite stories about the same company in the same year. A board that reads only one of them is reading half the picture.

Consider this scenario: a company's **GHG** emissions per rupee of revenue decline by **12%** year on year — an improvement on the intensity metric. In the same year, its absolute **GHG** emissions increase by 8% — because the company grew significantly. The intensity improvement is real.

The absolute increase is also real. But the story is incomplete without both. A board that reads only the intensity figure sees a company improving its emissions efficiency. A board that reads both sees a company that is growing faster than it is decarbonising.

The **NSE-CFA** Institute analysis found that intensity measures vary significantly across sectors in ways that reflect both genuine operational differences and the choice of denominator. Within sectors, variations in how companies define and apply their denominators make direct comparison unreliable without scrutiny.

What boards should ask about intensity data:

What is the denominator being used — revenue, production volume, or employees? Is it the same denominator as last year?

Has revenue changed significantly this year, which would affect the ratio even if the underlying environmental performance is unchanged?

What does the absolute figure show alongside the intensity figure? If intensity improved but absolute quantity increased, what is the trajectory, and is it acceptable given the organisation's stated environmental commitments?

Tool 2 — Trajectory Reading

A single year's **BRSR** data tells you where a company is. Two or more years' data tells you where it is going. The trajectory is often more revealing than the position.

BRSR requires disclosure for the current financial year and the previous financial year across most Essential Indicators. This means every board reviewing a BRSR has at minimum a two-year window. Used actively, this window answers questions that a single-year snapshot cannot.

What genuine improvement looks like

Incremental, explainable progress across consecutive years. A company genuinely reducing its Lost Time Injury Frequency Rate typically does so through sustained investment in safety systems — not through a single-year step-change. A company genuinely improving its gender pay ratio does so through consistent hiring and compensation practices over multiple years. Genuine **ESG** improvements require operational change. Operational change takes time and produces explanations.

What should prompt scrutiny

Step-changes without explanation. A dramatic improvement in a single year, across multiple unrelated indicators, without any corresponding explanation of what changed operationally, is a pattern that deserves questions before the board approves the report.

Also worth scrutiny: indicators that remain perfectly flat year on year, across principles that should show natural variation. A company reporting identical safety incident counts, identical training hours, and identical well-being coverage percentages for two consecutive years in a growing organisation has likely not updated its data — it has carried forward the prior year's figures.

The methodology change problem

When a company changes its measurement methodology for an indicator between one year and the next, the prior year comparative figure should typically be restated to reflect the new methodology, with the restatement clearly disclosed. The absence of a restatement note when a methodology has demonstrably changed is a disclosure gap. The NSE guidance circular specifically flagged inconsistencies in how companies present prior year data.

A trajectory of small, consistent improvements with clear explanations is a more credible governance signal than a single year of dramatic improvement with no explanation.

Tool 3 — Internal Consistency Checking

A **BRSR report** is a single document — but it is assembled from data collected across multiple departments, systems, and in many cases, multiple geographic locations. Internally inconsistent data is the clearest signal that the data governance underlying the **BRSR** is weak.

The test is simple in principle: claims made in one section of the **BRSR** should be consistent with, and traceable to, data disclosed in other sections.

The headcount cross-check

Section A Part IV discloses the number of permanent employees, contract workers, and differently-abled employees. These numbers are the denominator for multiple **Section C** calculations — safety statistics in Principle 3 use hours worked, which depends on headcount; well-being coverage percentages, training coverage percentages, and remuneration ratio data all use workforce numbers. If the Section A headcount and the workforce denominator used in Section C calculations produce different implied headcounts, one of them is wrong.

The policy-performance gap

Section B asks companies to confirm that policies exist, have been board-approved, and that management processes implement them. Section C provides the performance data that either validates or contradicts those policy claims. A company that discloses a comprehensive water conservation policy in Section B but shows flat or increasing water intensity in Section C has a policy-performance gap. A company that discloses a human rights policy covering its entire supply chain in Section B but reports zero human rights training for value chain partners in Principle 5 Leadership Indicators raises a material question about whether the policy is being implemented in practice — and that question belongs in the board meeting before the BRSR is approved.

The reporting boundary question

Section A Part I asks companies to declare their reporting boundary — standalone or consolidated. A company that reports on a standalone basis excludes subsidiaries. If those subsidiaries have poor environmental performance, poor safety records, or poor labour practices, the standalone BRSR will not capture them. A change in reporting boundary from consolidated to standalone between two years — without explanation — is a disclosure that should trigger board questions before the report is approved.

The unit problem

The NSE guidance circular found instances where companies reported energy in rupees instead of the required units of Joules or multiples — a finding reinforced by

the Altometa analysis of FY **2022-23 BRSR** data. The **XBRL** International review of over **1,000 BRSR** reports separately identified incorrect scales, inconsistent units, and incomplete reporting as recurring issues — including emissions reported in grams instead of metric tonnes of CO₂ equivalent. A figure reported in the wrong unit is not comparable to any other figure. Boards should ask: are our BRSR figures in the correct units as specified by the BRSR format and the ISF Industry Standards?

Internal inconsistency is not always dishonesty — it is often a symptom of fragmented data collection. But the governance implication is the same: a BRSR with internal inconsistencies has not been adequately reviewed before it was approved.

Tool 4 — Greenwashing Recognition

Greenwashing in BRSR disclosures is not primarily about false statements. It is primarily about selective emphasis, strategic omission, and qualitative assertion substituting for quantitative data. The patterns are recognisable once you know what to look for.

Pattern 1 — Qualitative language without quantitative support.

Statements such as 'the company has made significant progress in reducing its environmental impact' or 'we remain committed to the well-being of our workforce' are assertions. They make a claim without providing data. In a document that requires quantitative disclosure, qualitative assertions in place of numbers signal that the numbers do not support the narrative.

Pattern 2 — Selective indicator completion.

A company that consistently completes the Essential Indicators for principles where its performance is strong, and leaves them incomplete or vague for principles where performance is poor, is producing a selectively accurate document. The BRSR format requires the same rigour across all nine principles. Selective compliance is a pattern boards should recognise and question.

Pattern 3 — The denominator-gaming problem.

Intensity metrics can be influenced through denominator choice. A company that switches from a production-volume denominator to a revenue denominator in a high-inflation year will show apparent intensity improvements that reflect price changes rather than environmental improvement. The ISF Industry Standards exist in part to reduce this by standardising the PPP-adjusted revenue denominator — but the board still needs to understand what the denominator choice means for the numbers it is reviewing.

Pattern 4 — Dramatic year-on-year improvements without operational explanation.

When a BRSR shows large improvements across multiple principles in a single year, without corresponding change in management systems, investment, or operations, and without any explanation of what drove the improvement, the board should ask management for the operational explanation before approving the report. Genuine improvements require genuine operational change.

Pattern 5 — The Leadership Indicator skip.

Leadership Indicators are voluntary — companies are not required to complete them. But the pattern of which Leadership Indicators a company completes and which it skips is itself informative. A company that skips every Leadership Indicator under Principle 6 while claiming in Section B that environmental stewardship is a strategic priority has disclosed a contradiction. The Leadership Indicators a company engages with reveal where its ESG ambition actually lies — and the ones it systematically avoids reveal where it does not.

It is worth noting what greenwashing in BRSR is not, at this stage: it is not primarily a legal problem under current Indian regulation, though SEBI's framework for green debt securities does introduce specific greenwashing prohibitions in that context. In the BRSR context, greenwashing is first a governance problem. A board that approves BRSR disclosures containing these patterns has either not read the report with sufficient attention, or has read it and decided the patterns are acceptable. Neither is a defensible governance position.

Applying the Four Tools Together — The Reading Sequence

When a board member opens a **BRSR**, the four tools do not operate sequentially — they operate in parallel. But for learning purposes, there is a useful sequence.

Start with Section A to establish context.

- Who is this entity?
- What is its sector?
- What is its reporting boundary?
- How large is its workforce?

This context shapes how you read everything that follows.

A manufacturing company with a large workforce is a different analytical subject than a financial services company — the relevant indicators, the meaningful intensity denominators, and the appropriate peer comparisons are all different.

Read Section B as a governance architecture map. For each principle, Section B tells you what the organisation claims about its policies and processes. Note each claim. You will test these claims against Section C data.

Read Section C principle by principle, applying all four tools. For each principle: examine the trajectory, check intensity versus absolute figures where both are

present, test internal consistency with Sections A and B, and watch for the greenwashing patterns.

Apply the five governance questions at the end. After reading the full report, return to **Session 0's framework**:

Is this report *honest, consistent, improving, comparable, and complete*? The answers emerge from the systematic application of the four tools.

What This Means in the Boardroom

The analytical methodology in this session is not designed for a desk exercise. It is designed for the board meeting where the BRSR is being approved.

A board member who has applied this methodology before the meeting can arrive with specific questions — not general questions about whether the BRSR is good, but specific questions about a discrepancy between Section A headcount and Section C safety denominators, or about a step-change in emissions intensity with no operational explanation, or about why the reporting boundary changed from consolidated to standalone without explanation.

These are the questions that distinguish board governance of ESG from board approval of ESG. The methodology in this session is what makes them possible.

In **Sessions 02 through 08**, every indicator will be examined through this lens. The tools are introduced here, once. From here on, they are used everywhere.

The Five Governance Questions — Applied to This Session

1. **Is this report honest?** — The four tools exist to test honesty. Qualitative assertions without data, selective completion, and unexplained improvements are honesty signals.
2. **Is this report consistent?** — Internal consistency checking is Tool 3. Section A headcount versus Section C denominators. Section B policy claims versus Section C performance data.
3. **Is this report improving?** — Trajectory reading is Tool 2. Incremental, explainable improvement across consecutive years is the credible pattern.
4. **Is this report comparable?** — Intensity versus absolute analysis (Tool 1) and unit consistency are the prerequisites for peer comparison. A report with non-standard units or changing denominators cannot be meaningfully compared.
5. **Is this report complete?** — Selective indicator completion (greenwashing Pattern 2) directly tests completeness. Every blank Essential Indicator is a question waiting to be asked.

Session 02

Section A — Reading Context as Governance Data

Parts I through VII — the foundation every Section C figure depends on

What This Session Does

Section A is the part of the BRSR that most board members read last, if they read it at all. It contains no ESG performance data — no emissions figures, no safety statistics, no human rights disclosures. On the surface, it looks administrative: the company's name, its CIN, its registered address, its employee headcount. It is easy to treat Section A as the legal boilerplate before the real content begins.

That is a mistake.

Section A is not where performance is disclosed. It is where the context for reading all performance is established. The reporting boundary choice made in Section A determines what gets included and excluded from every Section C figure. The headcount disclosed in Section A is the denominator for safety statistics, training coverage percentages, and well-being metrics throughout Section C. The assurance provider named in Section A tells you something about the rigour of the verification behind the numbers you are about to read.

A board member who reads Section A inattentively is reading the rest of the BRSR without the context needed to evaluate it properly.

Section A has seven parts. This session covers all seven — not as a list of data fields to be noted, but as governance data to be read with an analytical lens.

Part I — Details of the Listed Entity

Legal identity, contact information, reporting parameters — and three items that carry real governance weight

Part I is the formal identification section of the BRSR. It contains fifteen data items covering the legal identity, contact information, and key disclosure parameters of the listed entity.

Most of these items are factual and stable — the Corporate Identity Number issued by the Registrar of Companies, the entity name as it appears on the Certificate of Incorporation, the year of incorporation, the registered and corporate addresses, the stock exchanges where shares are listed, the paid-up capital, and the contact details of the person responsible for BRSR queries. These items exist to provide the reader with unambiguous identification of the reporting entity.

Three items that carry governance significance:

Item 9 — Financial year for which reporting is being done.

This establishes the reporting period. For most listed entities this is April to March. Performance data in Section C must be consistently aligned to this period. Where a company has changed its financial year at some point in its history, the prior year comparatives in BRSR tables need to be interpreted accordingly.

Item 13 — Reporting boundary.

This is the single most consequential disclosure in Part I. The BRSR asks whether disclosures are made on a standalone basis — covering only the listed entity — or on a consolidated basis — covering the entity and all entities forming part of its consolidated financial statements, taken together. The implications of this choice run through the entire BRSR. A company with a large and operationally significant subsidiary structure — factories, mines, logistics networks — reporting on a standalone basis is producing a BRSR that captures only a portion of its actual ESG footprint. A shift from consolidated to standalone reporting between two consecutive BRSRs without explanation warrants a specific board question before the report is approved. For boards of conglomerates and holding companies, the first question to ask about the BRSR boundary is whether it is the right one given the organisation's actual structure.

Items 14 and 15 — Name of assurance or assessment provider and type obtained.

These two items were added to the BRSR format to make the assessment or assurance engagement visible at the front of the report. For entities within the BRSR Core assessment or assurance glide path — the top 500 listed entities as of FY 2025-26 — these items are mandatory. For entities not yet in scope, they remain relevant if assurance has been obtained voluntarily. What boards should look for: Is the named provider the same as last year? Has the type changed from the previous year? Unexplained changes in either the provider or the type of engagement warrant board-level inquiry. A provider that was unable to give a clean opinion is one that would not typically be reappointed — so a change in provider deserves a specific explanation from management before the board approves the new engagement.

Is the reporting boundary the same as last year? If it has changed from consolidated to standalone, what is the reason — and what operations or subsidiaries are now excluded from the BRSR?

Is the assurance or assessment provider the same as last year? If not, what changed? Did the previous provider raise concerns?

Part II — Products and Services

Sector context, NIC codes, and the 90% threshold — establishing which Section C indicators matter most

Part II asks the listed entity to describe its business activities and the products and services it sells, covering those activities and products accounting for 90% of the entity's turnover.

The format requires two tables. The first asks for a description of main business activities, the specific business activities within each, and the percentage of turnover each contributes. The Guidance Note specifies that business activities should align with those disclosed in Form MGT-7 — the annual return filed with the Registrar of Companies under the Companies Act. The second table asks for products and services accounting for 90% of turnover, with the National Industrial Classification code for each and its percentage contribution to total turnover. Where a company sells branded products or services, it must identify each brand separately and disclose each brand's turnover contribution.

Why Part II matters for reading Section C:

Part II establishes the sector context for the entire BRSR. This is where the BRSR reader calibrates their lens before reading Section C. A company whose principal business is thermal power generation will be read very differently from one whose principal activity is software services — not because one is more important than the other, but because the materiality of different ESG indicators varies significantly by sector. Energy intensity, water consumption, air emissions, and waste generation are highly material for a power company. Human capital development, data privacy, and cybersecurity are highly material for a software company. Part II gives the reader the sector map that determines which Section C indicators deserve the deepest scrutiny.

The 90% threshold is important to understand. It means that products or services contributing less than 10% of turnover in aggregate are not required to be individually disclosed. For a highly diversified company, a portion of its operations may not be visible in Part II. Boards should sense-check whether the disclosed activities genuinely represent the substantive operations of the organisation.

The NIC code requirement enables cross-company comparison within sectors. NIC codes are a standardised industrial classification system, and the National Industrial Classification is available via the Ministry of Statistics and Programme Implementation website. Their presence in BRSR reports allows researchers, investors, and ESG rating providers to identify sector peers. Incorrect or approximate NIC codes impair that comparability.

Part III — Operations

Geographic footprint, markets served, and export exposure — the spatial frame for ESG accountability

Part III asks the listed entity to disclose three things: the number of locations where plants and offices are situated, the markets it serves, and the contribution of exports to total turnover.

Location data — plants and offices:

The BRSR asks companies to disclose the number of plants and offices at national locations and at international locations separately. The Guidance Note specifies that all national and international locations where the entity manages different kinds of operations should be included. This data establishes the geographic scope of operations and, by extension, the geographic scope of ESG responsibilities.

For boards, location data serves a specific analytical function: it provides the geographic frame for Part VI CSR details and for Principle 8 in Section C. A company with operations in

backward districts or in ecologically sensitive geographies has distinct obligations and risks that are only interpretable if you know where it operates.

Markets served and export contribution:

Part III asks for the number of states served nationally and the number of countries served internationally, and the percentage contribution of exports to total turnover. A company with significant export revenues is exposed to the ESG requirements of its international customers — who are increasingly requiring their Indian suppliers to provide BRSR-equivalent data as a condition of commercial relationships. The export percentage contextualises the entity's exposure to global ESG standards and international investor expectations.

Types of customers:

Part III also asks for a brief description of the types of customers the entity serves — retail consumers, industrial customers, institutional buyers, government bodies, or a mix. This framing matters for Principle 9 in Section C. A company that primarily serves retail consumers has a very different set of consumer responsibility obligations than one whose customers are exclusively industrial buyers.

Part IV — Employees

The most analytically significant section of Section A — the denominator for almost everything in Section C

Part IV is the most analytically significant section of Section A. The data it discloses is not just context — it is the denominator for multiple critical Section C calculations and the baseline against which workforce-related ESG performance is measured.

Employees and workers — the main headcount table:

Part IV covers three categories of workforce disclosure. The BRSR uses the categories of employees and workers without providing detailed definitions within Section A itself. In practice, employees are generally understood to cover those in managerial, supervisory, and professional roles; workers are generally understood to cover those in manual, unskilled, skilled, technical, and operational roles. Both categories are further divided into permanent and other than permanent — covering contract, temporary, and casual workforce. For each category, total numbers, male count and percentage, and female count and percentage are required.

The governance significance of this breakdown: the male-female split in the workforce — particularly in the permanent workforce — is the baseline against which leadership representation, pay parity, and equal opportunity claims in Section B and Section C will be tested. A company with a workforce that is 12% female cannot credibly claim gender parity in its ESG narrative without addressing the representation gap. The board approving the BRSR should be aware of both numbers.

Differently abled employees and workers:

The BRSR requires separate disclosure of differently abled employees and workers, broken down by permanent and non-permanent, and by male and female. The Guidance Note specifies that differently abled persons should be identified using the definition in the Rights of Persons with Disabilities Act, 2016.

The CFA Institute-NSE joint analysis of 300 listed companies found that representation of differently abled individuals in the workforce was below 0.5% — compared to their share of approximately 2.2% in the national population. This data, drawn from Part IV disclosures across hundreds of BRSR reports, illustrates precisely why this disclosure matters: it provides a measurable benchmark for inclusion that can be tracked and compared.

Participation, inclusion, and representation of women:

Part IV includes a specific table for the representation of women on the Board of Directors and among Key Management Personnel — total numbers and female numbers with percentages. The Companies Act 2013 Section 2(51) defines Key Management Personnel to include the Chief Executive Officer or Managing Director or Manager, the Company Secretary, the whole-time director, the Chief Financial Officer, and such other officers as may be prescribed. This table captures representation at the governance and leadership level, which is frequently very different from representation in the general workforce.

Turnover rate for permanent employees and workers:

Part IV requires disclosure of the turnover rate for permanent employees and workers separately, across three consecutive financial years. The formula is specified in the Guidance Note: the number of persons who left employment in the financial year, divided by the average number employed in that category, multiplied by 100. Persons leaving include those who left voluntarily, by dismissal, termination, retirement, or death in service.

The three-year window for turnover data is notable — it is one of the few places in Section A where trend data across three years is explicitly required. Rising turnover rates across multiple years are a workforce governance signal that warrants board attention, particularly when read alongside the well-being coverage percentages in Principle 3 of Section C. A company with high and rising turnover and low well-being coverage has a people governance problem that is visible in the data, if the board chooses to see it.

The Guidance Note further specifies that if there is any significant change in the number of employees or workers from the beginning to the end of the reporting period, the reasons for that change should be indicated. This matters for context — a significant mid-year reduction in headcount affects both the absolute workforce figures and the annualised turnover calculation.

Is the male-female split in the permanent workforce consistent with what the board receives in HR governance reports through the year?

What is the turnover trajectory across the three years disclosed? Is it rising, and if so, is there a management explanation?

Is the differently abled representation figure improving year on year, and does it reflect any deliberate inclusion programme?

The Section A Cross-Reference Map

Section A data does not exist in isolation. Every data point disclosed in Section A has consequences for how Section C data should be read. These are the most important cross-references:

Part I — Reporting Boundary → All of Section C If standalone, all Section C figures cover only the listed entity. If consolidated, the group. An analyst comparing two companies' GHG intensity must first verify both use the same boundary.

Part IV — Headcount → Principle 3 Section C Safety statistics (LTIFR), well-being coverage %, training coverage %, and parental leave data all use Part IV workforce numbers as denominators.

Part IV — Headcount → Principle 5 Section C Remuneration ratio data and pay parity analysis use the employee and worker categories established in Part IV.

Part II — Sector / NIC Code → Principle 6 Section C Materiality and benchmarks for energy intensity, water consumption, and GHG emissions are sector-specific. Part II establishes which sector lens to apply.

Part III — Export % → Principles 7, 8, 9 context Significant export exposure means value chain and consumer responsibility obligations extend beyond India's regulatory perimeter.

Part IV — Board female % → Principle 3 + Principle 5 Leadership gender representation claimed in Section B and C should be consistent with the KMP and Board data in Part IV.

The Five Governance Questions — Applied to Section A

Is this report honest? — Section A is difficult to manipulate directly — most items are legally verifiable. But the reporting boundary choice is a disclosure decision that can narrow the scope of what is reported, and it is a choice the board should have made consciously and transparently.

Is this report consistent? — Is the reporting boundary the same as last year? Are headcount figures consistent with what management has reported to the board through the year? Is the assurance or assessment provider the same, and if not, why?

Is this report improving? — For Section A, improvement means increasing inclusion: rising female representation in the workforce and at board and KMP level, rising representation of differently abled persons, and declining turnover rates across the three-year window.

Is this report comparable? — Consistent NIC codes, consistent reporting boundaries, and consistent headcount definitions are the prerequisites for peer comparison. Changes in any of these without explanation break comparability.

Is this report complete? — Section A has seven parts and all items across all seven parts are mandatory disclosures. Blank fields without explanation are disclosure gaps. The assurance or assessment provider name and type are particularly important: for entities within the glide path, these are not optional. This session has covered Parts I through IV; Parts V, VI, and VII are covered in Session 03.

Session 03

Section A (Parts V–VII) + Section B — The Governance Architecture Session

Where the board's own governance is documented — and tested

What This Session Does

Session 02 established the analytical foundation of Section A — the entity identity, sector context, operational footprint, and workforce data that contextualise every Section C figure.

This session **completes Section A** with **Parts V, VI, and VII**, then moves to the most board-relevant section of the entire **BRSR: Section B**.

Section B is where the board's own governance architecture is documented. It is the section where a listed entity must demonstrate — principle by principle — that policies exist, that those policies have been approved at the appropriate level, that management processes implement them, and that there is board or committee-level oversight.

For the board approving the BRSR, Section B describes what the board itself has built. It is the section that most directly reflects back on those doing the approving.

Completing Section A — Parts V, VI, and VII

Part V — Holding, Subsidiary and Associate Companies (Including Joint Ventures)

Corporate structure, participation in BR initiatives — and what a column of 'No' answers means

Part V asks the listed entity to disclose the names of all its holding companies, subsidiary companies, associate companies, and joint ventures, along with four columns of information for each: the name, the type of relationship, the percentage of shares held by the listed entity, and whether the entity participates in the Business Responsibility initiatives of the listed entity.

The definitions used here are drawn directly from the Companies Act, 2013:

Associate company [Section 2(6), Companies Act 2013]

A company in which another company has significant influence — defined as control of at least 20% of total voting power, or control of or participation in business decisions under an agreement — but which is not a subsidiary company. A joint venture company is included within this definition.

Holding company [Section 2(46), Companies Act 2013]

A company of which other companies are subsidiary companies.

Subsidiary company [Section 2(87), Companies Act 2013]

A company in which the holding company controls the composition of the Board of Directors, or exercises or controls more than one-half of the total voting power either at its own or together with one or more of its subsidiary companies.

The governance question this disclosure raises:

The 'Does the entity participate in the Business Responsibility initiatives of the listed entity?' column is the analytically significant data point in Part V. A Yes/No answer for each group entity tells the reader whether the ESG framework of the listed entity actually extends through its corporate structure — or whether it stops at the legal boundary of the listed entity itself.

For boards of companies with significant subsidiary or associate networks, a column of No answers in Part V is a disclosure that deserves a governance conversation. It signals that subsidiaries and associates are operating outside the ESG framework of the listed entity. When combined with a standalone reporting boundary in Part I, this pattern means the listed entity's BRSR may represent only a fraction of the actual group-level ESG footprint.

The question a board member should bring to this table: of the entities listed here, which ones contribute materially to the group's revenue and operations — and for those, does a 'No' in the participation column reflect a deliberate governance decision, or simply an absence of governance?

Part VI — CSR Details

CSR applicability, the Section 135 threshold, and cross-referencing against Principle 8

Part VI asks three questions: whether CSR is applicable to the entity under Section 135 of the Companies Act, 2013, and if yes, the entity's turnover and net worth.

The CSR obligation under Section 135 of the Companies Act, 2013 applies to every company having net worth of rupees five hundred crore or more, or turnover of rupees one thousand crore or more, or a net profit of rupees five crore or more during any financial year. Companies meeting any one of these thresholds are required to constitute a Corporate Social Responsibility Committee of the Board, consisting of three or more directors, out of which at least one director shall be an independent director.

Part VI's analytical value comes from cross-referencing: Part III discloses the geographic footprint, including operations in backward districts. Section C Principle 8 discloses the actual beneficiaries, projects, and amounts of CSR spending. A company with a large CSR obligation disclosed in Part VI but minimal or narrowly targeted CSR activity in Principle 8 has a governance gap that is visible across sections. The turnover figure in Part VI also provides the financial scale context for intensity ratio interpretation throughout Section C.

Part VII — Transparency and Disclosures Compliances

Grievance mechanisms, material issues, and what high pending-to-filed ratios reveal

Part VII covers two related disclosures: a grievance and complaints table covering all stakeholder groups, and a material issues identification table.

The grievance and complaints table:

This table asks for the number of complaints filed and pending resolution, across the current and previous financial years, for each stakeholder group: communities, investors (other than shareholders), shareholders, employees and workers, customers, value chain partners, and others. For each group, it asks whether a grievance redressal mechanism is in place, and if yes, for a web link to the policy.

The governance significance is in the relationship between three data points: whether a mechanism exists, how many complaints were filed, and how many were pending at close of year. A company that says it has a grievance redressal mechanism but shows a high ratio of pending-to-filed complaints has a mechanism that may exist on paper but is not functioning in practice.

The stakeholder groups broadly correspond to the most relevant principles: communities align most closely with Principle 8, shareholders and investors with Principle 1, employees and workers with Principle 3, customers with Principle 9, and value chain partners with Principles 2 and 5. Inconsistencies between grievance data in Part VII and complaint data in Section C should trigger board questions.

The material issues table:

The material issues table asks the entity to identify material responsible business conduct and sustainability issues relating to environmental and social matters that present a risk or an opportunity, the rationale for identifying them, the approach to adapting or mitigating risks, and the financial implications. The Guidance Note defines sustainability — per the National Guidelines on Responsible Business Conduct — as the outcome achieved by balancing the social, environmental, and economic impacts of business.

For boards, the material issues table is one of the most strategically significant disclosures in the BRSR. It is where the entity's own view of its material ESG risks and opportunities is stated. The board reviewing this disclosure should test whether the issues identified are genuinely the most material for the sector and operating context — and whether the financial implications are honest assessments or minimised disclosures. The Guidance Note specifies that financial implications should be disclosed qualitatively, without forward-looking quantitative figures. For previous years, quantitative disclosure of financial impact is permitted.

Section B — Management and Process Disclosures

Section B is aimed at helping businesses demonstrate the structures, policies, and processes put in place towards adopting the NGRBC Principles and their Core Elements. It is where the governance architecture is documented for all nine principles simultaneously.

Section B is structured around twelve disclosure questions. The first six sit within a Policy and Management Processes sub-section. Questions 7 through 12 address governance, leadership, and oversight. The same twelve questions apply across all nine principles — creating a 12 × 9 matrix of governance disclosures that maps the organisation's ESG governance comprehensively.

The Twelve Questions — What Each One Really Asks

Question 1 — Policy existence and board approval

Three sub-questions: (a) Whether the entity's policies cover each principle and its core elements of the NGRBCs. (b) Has the policy been approved by the Board? (c) Web link of the policies, if available. A Yes to 1(a) without a Yes to 1(b) means a policy exists but was not board-approved — management has created it, but the board has not adopted it as a governance commitment. The web link in 1(c) is an accountability mechanism: a policy that is publicly accessible is a policy the company can be held to.

Question 2 — Policy translated into procedures

Whether the entity has translated the policy into procedures. A policy is a statement of intent. A procedure is an operational instruction — who does what, when, and how. A company with a Yes to Question 1(a) and a No to Question 2 has a policy that exists on paper without a delivery mechanism. This is one of the most common forms of hollow compliance in BRSR disclosures.

Question 3 — Policies extended to value chain partners

Do the listed policies extend to the entity's value chain partners? A consistent No to Question 3 across multiple principles signals that the governance framework has not been extended to supply chain relationships. Given BRSR Core's value chain disclosure requirements, this is increasingly a governance exposure.

Question 4 — National and international codes and standards

Name the national and international codes, certifications, labels, and standards adopted by the entity and mapped to each principle. The BRSR gives illustrative examples including Forest Stewardship Council, Fairtrade, Rainforest Alliance, Trustea, SA 8000, OHSAS, ISO, and BIS standards. A company with multiple

certifications is demonstrating externally verified governance commitments. Absence is informative but not automatically disqualifying.

Question 5 — Specific commitments, goals, and targets

Specific commitments, goals, and targets set by the entity with defined timelines, if any. The Guidance Note specifies that disclosures should include: baseline and context, entities covered, expected result in quantitative or qualitative terms, expected timeline, and whether goals are mandatory or voluntary with relevant legislation if mandatory. A company that sets no targets has avoided accountability entirely.

Question 6 — Performance against commitments

Performance of the entity against the specific commitments, goals, and targets, with reasons in cases where they have not been met. The Guidance Note specifies that changes in goal timelines, partial achievements, and delays should be specifically indicated with reasons where possible. Questions 5 and 6 together are the BRSR's accountability mechanism: Question 5 is what was promised; Question 6 is what was delivered.

Question 7 — Director's statement on ESG

A statement by the director responsible for the **Business Responsibility report**, highlighting ESG-related challenges, targets, and achievements. The Guidance Note specifies that it should include the overall vision and strategy for managing significant environmental and social impacts; strategic priorities; broader trends influencing sustainability; key events, achievements, and failures during the period; views on performance against targets; and the outlook on challenges. A director's statement that acknowledges genuine failures is credible. One that lists only achievements is not.

Question 8 — Highest authority for implementation and oversight

Details of the highest authority responsible for implementation and oversight of the **Business Responsibility policies**. The Guidance Note specifies this could be a director of the board, a committee of the board, senior management personnel, or a committee of employees. Where a committee is the authority, its composition must be disclosed including names, designations, and for directors: DIN and category (Chair, Executive Director, Non-Executive Director, or Independent Director). This is where board governance of ESG becomes visible.

Question 9 — Board committee for sustainability

Does the entity have a specified Committee of the Board or Director responsible for decision-making on sustainability-related issues? Where a Committee of the Board is responsible, its composition must be disclosed. Questions 8 and 9 together reveal whether ESG governance sits at management level or board level. **The test:** does what is disclosed here match what board members know about how ESG is actually governed in this organisation?

Question 10 — Review of NGRBCs by the company

A table asking for each principle: whether performance against policies was reviewed by a **Director, Committee of the Board**, or any other committee — and with what frequency: annually, half-yearly, quarterly, or other. A second row covers statutory compliance review and rectification of non-compliances. Question 10 makes the review cadence visible. Blank cells mean no visible review process.

Question 11 — Independent assessment of policies

Has the entity carried out independent assessment or evaluation of the working of its policies by an external agency? If yes, the name of the agency. This question asks whether the governance architecture has been externally tested — not just whether policies exist, but whether an independent body has evaluated whether those policies are working. A Yes with a named agency is a stronger governance signal than a Yes without a name.

Question 12 — Reasons for non-coverage of principles

If the answer to Question 1(a) is No — not all principles are covered by a policy — the entity must state reasons. The BRSR provides five options: the entity does not consider the principle material to its business; the entity is not yet in a position to formulate and implement policies; it does not have the financial, human, or technical resources; it is planned for the next financial year; or any other reason. The 'not material' reason is legitimate for some principles in some sectors — but a manufacturing company claiming Principle 6 (Environment) is not material is making a claim that will face scrutiny.

Reading Section B as a Board Member — The Four Tests

A board member reading Section B should apply four tests to the disclosures it contains.

Test 1 — Does this describe reality?

Section B is about governance structures. The board approving Section B disclosures should be able to verify, from their own experience as board members, whether what is described matches what actually happens. A Section B that describes a Board ESG Committee that board members have no experience of sitting in is describing something that does not exist. A Section B that names a director as the highest authority for ESG implementation without that director's awareness is a false disclosure.

Test 2 — Is the governance at the right level?

For a listed entity of significant size and ESG exposure, governance structures that stop at senior management level — without board or board committee oversight — are inadequate. The questions that matter: does the board or a board committee review ESG performance, with what frequency, and are the right people in the room?

Test 3 — Does Section B connect to Section C?

Every policy claimed in Section B should produce performance data in Section C. A company with a comprehensive environmental policy in Section B but flat or worsening environmental KPIs in Section C has a policy-implementation gap. A company with a human rights policy in Section B but no evidence of human rights training or due diligence in Section C Principle 5 has the same gap. The connection between Section B governance claims and Section C performance data is the most important cross-reference in the entire BRSR.

Test 4 — Are the gaps explained or hidden?

Where the answer to a Section B question is No — no policy, no board approval, no procedures, no external assessment — the disclosure is complete only if there is an honest reason. Question 12's reasons are available for legitimate use, but every No in the Section B matrix should have a deliberate explanation, not a default.

The Five Governance Questions — Applied to Section A (Parts V–VII) and Section B

Is this report honest? — Part V's participation column tests honesty about the ESG governance perimeter. The director's statement in Question 7 tests whether the ESG narrative is an honest account of performance and challenges. Question 6's performance against commitments tests whether targets set were met or quietly adjusted.

Is this report consistent? — Part VII's grievance data should be consistent with complaint and grievance data in Section C Principles 3 and 9. Section B's governance architecture claims should be consistent with what board governance records actually show.

Is this report improving? — Has the review frequency in Question 10 increased? Has the number of principles with board-approved policies grown from the previous year? Is the outstanding target list from Question 5 getting shorter?

Is this report comparable? — Section B structure is standardised across all BRSR-filing entities. The same twelve questions across nine principles allow peer comparison of governance architecture — policy coverage, board approval rates, review frequency, and external assessment.

Is this report complete? — Question 12's reasons table should be completed wherever Question 1(a) shows a No. The director statement in Question 7 should be substantive. Every blank cell in the Section B matrix is a disclosure gap that should have an explanation.

Session 04

Section C Introduction + Principles 1 & 2

Ethics, integrity, and sustainable products — where governance meets measurable performance

What This Session Does

Sessions 00 through 03 built the analytical tools and context — the five governance questions, the reading methodology, the seven parts of **Section A**, and the governance architecture of **Section B**. This session begins the substantive work of Part 2: reading **Section C**.

Section C is where the nine principles of the **NGRBC** translate into actual, measurable performance data. For entities within the **BRSR** Core glide path, the Essential Indicators of Section C are the data that get assessed or assured. This session opens with how Section C works, then covers **Principles 1 and 2** in full.

How Section C Works

Section C is titled **Principle-wise Performance Disclosure**. Its stated purpose is to help entities demonstrate their performance in integrating the **NGRBC** Principles and Core Elements with key processes and decisions.

The nine principles are:

- P1** — Businesses should conduct and govern themselves with integrity, and in a manner that is Ethical, Transparent and Accountable.
- P2** — Businesses should provide goods and services in a manner that is sustainable and safe.
- P3** — Businesses should respect and promote the well-being of all employees, including those in their value chains.
- P4** — Businesses should respect the interests of and be responsive to all its stakeholders.
- P5** — Businesses should respect and promote human rights.
- P6** — Businesses should respect and make efforts to protect and restore the environment.

P7 — Businesses, when engaging in influencing public and regulatory policy, should do so in a manner that is responsible and transparent.

P8 — Businesses should promote inclusive growth and equitable development.

P9 — Businesses should engage with and provide value to their consumers in a responsible manner.

For each principle, indicators are categorised into two tiers. Essential Indicators are expected to be disclosed by every entity mandated to file the **BRSR** — they are mandatory. Leadership Indicators may be voluntarily disclosed by entities that aspire to progress to a higher level in their quest to be socially, environmentally, and ethically responsible.

A company that skips Leadership Indicators entirely across all nine principles is operating at the compliance floor. That pattern is itself a governance signal about ESG ambition and board expectations.

Reading Section C — The Analytical Approach Applied

Before examining Principles 1 and 2, it is worth anchoring the analytical tools from Session 01 to Section C specifically.

1. **Trajectory:** Most Section C indicators require data for the current and previous financial year. The two-year window is your trajectory signal. Is performance improving, stable, or deteriorating?
2. **Policy-performance alignment:** Section B disclosed what policies exist and whether they have been board-approved. Section C's indicators are where those policies produce — or fail to produce — measurable outcomes. A principle where Section B shows strong governance but Section C shows weak performance data has a policy-implementation gap
3. **Completeness:** Every Essential Indicator is mandatory. A blank field with no 'not applicable' explanation is a missing disclosure.

4. **The BRSR Core connection:** For entities within the assessment or assurance glide path, the BRSR Core KPIs are a subset of the Section C Essential Indicators. Data quality, consistency of methodology, and traceability to source records matter most for these KPIs.

Principle 1

Businesses should conduct and govern themselves with integrity, and in a manner that is Ethical, Transparent and Accountable

9 Essential Indicators · 2 Leadership Indicators

Principle 1 covers the ethics, governance, and accountability dimension of the BRSR. It is the principle most directly connected to what boards do — governing with integrity, managing conflicts of interest, maintaining anti-corruption mechanisms, and ensuring the organisation's conduct with regulators, suppliers, and business partners reflects its stated values.

Essential Indicators

Essential 1 — Training and awareness on the NGRBC Principles

Percentage coverage by training and awareness programmes on any of the Principles during the financial year, broken down by segment: Board of Directors, Key Managerial Personnel, employees other than the Board and KMPs, and workers. The table requires the total number of programmes held, topics and principles covered and their impact, and the percentage of persons in each category covered.

What this reveals: A company that trains its Board and KMPs but not its workers has a governance culture that exists at the top but has not been embedded in operations. Both patterns — high worker coverage with low board coverage, and the reverse — are readable in the data. The board approving this indicator should be able to verify the percentages against internal HR records.

Essential 2 — Fines, penalties, and non-monetary actions

Details of fines, penalties, punishments, compounding fees, and settlement amounts paid in proceedings by the entity or by its directors or KMPs with regulators, law enforcement agencies, or judicial institutions during the financial year. Disclosures are required on the basis of materiality as specified in Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015. The table covers monetary actions — penalty/fine, settlement, compounding fee — and non-monetary actions — imprisonment and punishment. For each matter: the NGRBC Principle involved, the regulator or judicial institution, the amount in INR for monetary items, a brief of the case, and whether an appeal has been preferred.

What this reveals: The NGRBC Principle column for each matter is particularly significant: it shows which principle the violation relates to, enabling cross-reference with the governance

claims in Section B. A company with regulatory findings under Principle 1 that simultaneously claims a robust anti-corruption culture in Section B has a credibility question to answer.

Essential 3 — Details of appeals or revisions

Of the instances disclosed in Indicator 2, details of any appeal or revision preferred in cases where monetary or non-monetary action has been appealed.

Essential 4 — Anti-corruption or anti-bribery policy

Whether the entity has an anti-corruption or anti-bribery policy, with brief details and a web link if available. The Guidance Note specifies that the disclosure may include: risk assessment procedures and internal controls; the mechanism to deal with complaints on bribery and corruption; and coverage of training on anti-corruption issues.

What this reveals: A Yes without a web link is a weaker disclosure than a Yes with a publicly accessible policy. A web link makes the policy a public commitment. The three Guidance Note elements — risk assessment, complaint mechanism, training coverage — should all be present for the disclosure to be substantive rather than formulaic.

Essential 5 — Disciplinary action for bribery and corruption

Number of Directors, KMPs, employees, and workers against whom disciplinary action was taken by any law enforcement agency for charges of bribery or corruption, for current and previous financial years, broken down by category.

What this reveals: Zero across all categories year on year is the expected outcome for most companies. Context matters: a company with multiple incidents at worker level that are declining is demonstrating enforcement of its anti-corruption culture. An incident at Director or KMP level requires a board-level discussion about the adequacy of the governance framework.

Essential 6 — Complaints on conflict of interest

Number of complaints received in relation to issues of conflict of interest of Directors, and separately of KMPs, for the current and previous financial years.

What this reveals: This indicator is read alongside Leadership Indicator 2, which asks whether the entity has formal processes to manage Board conflict of interest. Zero complaints combined with no formal processes may mean no conflicts arose — or may mean no mechanism exists through which complaints would be surfaced.

Essential 7 — Corrective actions on penalties and corruption

Details of any corrective action taken or underway on issues related to fines, penalties, or actions by regulators, law enforcement, or judicial institutions on cases of corruption and conflicts of interest.

What this reveals: This is the accountability follow-through for Indicators 2 and 5. A company with regulatory findings but no corrective action disclosure has a governance gap. The board should verify this before approving the BRSR.

Essential 8 — Accounts payable days

Number of days of accounts payable, calculated as (Accounts payable × 365) divided by Cost of goods and services procured, for current and previous financial years.

What this reveals: Accounts payable days is the BRSR's measure of how long a company takes to pay its suppliers. A high and rising figure — particularly for a large company dealing with smaller suppliers — is an indicator of payment practices that connect to Principle 1's ethical conduct commitments and to Principle 8's inclusive growth commitments regarding MSME suppliers. The formula is standardised, enabling direct peer comparison.

Essential 9 — Openness of business

Concentration of purchases and sales with trading houses, dealers, and related parties, along with loans and advances and investments with related parties. Covers: purchases from trading houses as a percentage of total purchases, number of trading houses, purchases from top 10 trading houses as a percentage of purchases from trading houses; sales to dealers/distributors as a percentage of total sales, number of dealers, sales to top 10 dealers as a percentage; and share of related party transactions in purchases, sales, loans and advances, and investments.

What this reveals: Openness of business is one of the specific KPIs identified for BRSR Core assessment or assurance. High concentration of related party transactions — purchases with related parties as a high percentage of total purchases, or sales to related parties as a high percentage of total sales — raises transparency and accountability questions under Principle 1. Boards should cross-reference this indicator against related party transaction disclosures in the annual financial statements.

Leadership Indicators

Leadership 1 — Value chain awareness programmes

Awareness programmes conducted for value chain partners on any of the Principles during the financial year: total number of programmes, topics covered, and percentage of value chain partners covered by value of business done with such partners. This indicator extends the governance culture question in Essential Indicator 1 to the supply chain.

Leadership 2 — Board conflict of interest management

Whether the entity has processes in place to avoid or manage conflict of interests involving members of the Board, with details of such processes. The Guidance Note defines conflict of interest as a situation where an individual is confronted with choosing between the requirements of their function and their own private interests. The entity should disclose whether processes exist to ensure that conflicts involving Board members and KMPs are avoided or managed. This indicator is the governance architecture companion to Essential Indicator 6.

Principle 2

Businesses should provide goods and services in a manner that is sustainable and safe

Principle 2 covers the **4 Essential Indicators** · **5 Leadership Indicators**

product and service sustainability dimension of the BRSR — how the entity manages the environmental and social impacts of what it produces and sells. It asks about investment in sustainable technologies, sustainable sourcing, product end-of-life management, and Extended Producer Responsibility. The Leadership Indicator set is notably larger relative to

the Essential set — reflecting the principle's emphasis on voluntary ambition in sustainable product design.

Essential Indicators

Essential 1 — R&D and capital expenditure in sustainability technologies

Percentage of R&D and capital expenditure investments in specific technologies to improve the environmental and social impacts of products and processes, relative to total R&D and capex investments made by the entity, for current and previous financial years. The table is split into R&D and Capex rows, with a third column for details of improvements achieved.

What this reveals: This measures whether investment in innovation and infrastructure is directed toward sustainability improvement. Is the percentage rising or declining? Critically — does the third column provide specific, verifiable details of what the investments achieved, or qualitative assertions without supporting data?

Essential 2 — Sustainable sourcing

Whether the entity has procedures in place for sustainable sourcing, and if yes, what percentage of inputs were sourced sustainably. The Guidance Note defines sustainable sourcing as the integration of social, ethical, and environmental performance factors into supplier selection. The disclosure should indicate what proportion of inputs, by quantity or value, are sourced from suppliers covered by sustainable sourcing programmes and/or certified to standards such as SA 8000, ISO 14001, OHSAS 18001, or labels like Rainforest Alliance, Rugmark, or RSPO.

What this reveals: A Yes with a low percentage suggests the policy exists but has not been scaled. A Yes with a high percentage but no external certification basis raises questions about how the company is defining 'sustainable.' The Guidance Note's reference to specific external standards and labels sets a credibility benchmark.

Essential 3 — Product reclaim processes

Description of processes to safely reclaim products for reusing, recycling, and disposing at end of life, covering: (a) plastics including packaging, (b) e-waste, (c) hazardous waste, and (d) other waste. The Guidance Note defines: reclaiming as collecting products and their packaging materials at the end of their useful lives, for reusing, recycling, or safe disposal; recycling as reprocessing of products or components of products, to make new materials; disposal as any operation that is not recovery, with safe disposal explicitly excluding uncontrolled waste disposal such as open burning and dumping.

What this reveals: The qualitative nature of this indicator makes it easier to complete with hollow language. A response that describes a policy without specifying volumes actually reclaimed, mechanisms used, or third-party contractors involved is not a complete disclosure. Boards should look for specificity and connection to the quantitative waste data in Principle 6.

Essential 4 — Extended Producer Responsibility

Whether Extended Producer Responsibility is applicable to the entity's activities, and if yes, whether the waste collection plan is in line with the EPR plan submitted to Pollution Control Boards. The Guidance Note defines EPR as the responsibility of a producer for the environmentally sound management of a product until the end of its life. The Uniform Framework for Extended Producers Responsibility, issued by the Ministry of Environment,

Forest and Climate Change, places responsibility on producers, importers, and brand owners to establish a system for collecting back plastic waste and to submit a collection plan to the relevant Pollution Control Board.

What this reveals: EPR applicability is sector-specific — primarily applying to producers, importers, and brand owners of plastics, e-waste, and certain other product categories. A Yes to EPR applicability without substantive disclosure of plan compliance is an incomplete response. Where EPR is not applicable, that non-applicability should be stated explicitly rather than left blank.

Leadership Indicators

Leadership 1 — Life Cycle Assessments

Whether the entity has conducted Life Cycle Perspective or Assessments for any of its products or services, with details of: the NIC code and name of each product or service, its percentage of turnover, the boundary for which the LCA was conducted, whether conducted by an independent external agency, whether results were communicated in the public domain. The Guidance Note defines product life cycle as all stages of a product from extraction or acquisition of raw materials through manufacturing and processing, distribution and transportation, use and reuse, recycling and disposal. LCA boundaries: cradle-to-grave is the full life cycle from resource extraction to disposal; cradle-to-cradle is a variant where end-of-life disposal is a recycling process; cradle-to-gate covers only from resource extraction to the factory gate. An independently conducted LCA with publicly communicated results is the highest level of product sustainability rigour.

Leadership 2 — Social and environmental risks from products

Whether there are significant social or environmental concerns or risks arising from production or disposal of the entity's products or services, as identified through LCA or any other means, with a description and action taken to mitigate.

Leadership 3 — Recycled or reused input material

Percentage of recycled or reused input material to total material by value used in production or service delivery. The Guidance Note formula: $(\text{total recycled} + \text{reused input material used} \times 100)$ divided by total input material used. The entity may use total weight or total volume.

Leadership 4 — Products and packaging reclaimed at end of life

Amount in metric tonnes of products and packaging reclaimed at end of life — reused, recycled, and safely disposed — for plastics including packaging, e-waste, hazardous waste, and other waste, for current and previous financial years.

Leadership 5 — Reclaimed products as percentage of sales

Reclaimed products and their packaging materials as a percentage of products sold for each product category. The Guidance Note formula: products and packaging reclaimed within the reporting period, divided by products sold within the reporting period.

The Five Governance Questions — Applied to Principles 1 and 2

Is this report honest? — For Principle 1: does the fines and penalties disclosure reflect what is publicly known about the entity's regulatory history? Do the anti-corruption policy and training coverage claims match what actually operates in the organisation? **For Principle 2:** does the sustainable sourcing percentage have a credible external basis, or is it self-defined?

Is this report consistent? — For Principle 1: are the conflict of interest complaint numbers consistent with board governance records? Does the accounts payable days figure align with what the financial statements disclose? **For Principle 2:** does the R&D and capex sustainability percentage connect to verifiable projects?

Is this report improving? — For Principle 1: is the accounts payable days figure declining? Are training coverage percentages rising across all segments? **For Principle 2:** is the sustainable sourcing percentage growing? Are reclaimed material volumes increasing year on year?

Is this report comparable? — The accounts payable days formula is standardised — $(\text{Accounts payable} \times 365) / \text{Cost of goods procured}$ — enabling direct peer comparison. R&D and capex percentages and sustainable sourcing percentages are both expressed in standard form.

Is this report complete? — For Principle 1: all 9 Essential Indicators are mandatory. The fines and penalties table and the openness of business table are **BRSR Core** assessed or assured items — they must be complete.

For Principle 2: all 4 Essential Indicators are mandatory. Where **EPR** is not applicable, that non-applicability should be explicitly stated.

Session 05

Principle 3 — Employee Well-being

21 indicators · the POSH Act intersection · four governance threads

What This Session Does

Principle 3 is the most indicator-dense single principle in the BRSR. It has 15 Essential Indicators and 6 Leadership Indicators — 21 in total.

That density reflects the breadth of what well-being means in the BRSR framework: not just physical safety, but financial security through retirement benefits, equal access for differently abled employees, parental support, grievance redressal, union recognition, training, career development, health and safety systems, and complaint handling.

For boards, Principle 3 is also where legal obligations from outside the BRSR — specifically the **Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013** — intersect directly with BRSR disclosure. This session treats that intersection explicitly.

Principle 3 — Businesses should respect and promote the well-being of all employees, including those in their value chains

15 Essential Indicators · 6 Leadership Indicators

Essential Indicators

Essential 1 — Well-being coverage and spending

Three mandatory parts. (a) Details of well-being measures for employees; (b) the same for workers. Both tables cover permanent and other-than-permanent categories, by male, female, and total, showing total headcount and number and percentage covered by: health insurance, accident insurance, maternity benefits, paternity benefits, and day care facilities. The Guidance Note clarifies that entities may add columns for additional benefits. (c) Spending on well-being measures as a percentage of total revenue of the company, for current and previous financial years, covering all employees and workers including permanent and other-than-permanent.

What this reveals: Well-being coverage is read first for gaps in the other-than-permanent segment, where coverage is often substantially lower. Paternity and day care coverage percentages show whether well-being policy extends equitably to male employees and working

parents. The spending-as-percentage-of-revenue figure provides a single trajectory metric across years.

Essential 2 — Retirement benefits

Details for current and previous financial years covering Provident Fund, Gratuity, ESI, and other benefits. For each: number and percentage of employees covered, number and percentage of workers covered, and whether amounts are deducted and deposited with the relevant authority.

What this reveals: PF, Gratuity, and ESI are statutory obligations under Indian law — coverage below 100% for those to whom they legally apply is a legal compliance gap. The 'deducted and deposited with the authority' column is the key accountability check: deduction without deposit is a specific form of non-compliance that boards must flag immediately.

Essential 3 — Accessibility of workplaces

Whether premises and offices are accessible to differently abled employees and workers, as per the requirements of the Rights of Persons with Disabilities Act, 2016. If not, whether steps are being taken. The Guidance Note defines accessibility as covering both physical accessibility — wheelchair ramps, braille signage, and accessible restrooms — and digital accessibility, where information and communication technology is accessible to all and compatible with assistive technology devices.

What this reveals: A No without a credible remediation plan is an incomplete disclosure. The Rights of Persons with Disabilities Act, 2016 imposes its own statutory accessibility obligations — the BRSR disclosure here is aligned with, not separate from, that legal framework.

Essential 4 — Equal opportunity policy

Whether the entity has an equal opportunity policy as per the Rights of Persons with Disabilities Act, 2016, with a web link to the policy if available.

What this reveals: Read alongside Indicator 3 and the differently abled workforce data in Section A Part IV, this shows whether the entity has formalised its inclusion commitment for persons with disabilities. A Yes with a web link is a public commitment. A Yes without a link is a weaker disclosure.

Essential 5 — Return to work and retention rates for parental leave

Return to work and retention rates for permanent employees and workers who took parental leave, by male, female, and total. The Guidance Note defines parental leave as maternity and paternity leave. Return to work rate formula: $(\text{total number who returned to work after parental leave in the reporting period} \times 100) / (\text{total number due to return to work after parental leave in the reporting period})$. Retention rate formula: $(\text{total number retained 12 months after returning to work following parental leave} \times 100) / (\text{total number returning from parental leave in the prior reporting period})$.

What this reveals: A high female return-to-work rate but low retention rate indicates that women return but leave within a year — meaning the post-leave work environment, not the leave policy, is the attrition driver. A significantly lower female return-to-work rate than male signals that the workplace culture is not supportive of women returning. Both patterns are distinct, actionable governance signals.

Essential 6 — Grievance mechanism for employees and workers

Whether a mechanism is available to receive and redress grievances for four categories: permanent workers, other-than-permanent workers, permanent employees, and other-than-permanent employees. If yes, details of the mechanism in brief.

What this reveals: The BRSR's explicit coverage of all four categories — including other-than-permanent workers — makes gaps visible. A Yes for permanent categories and No for other-than-permanent is a disclosure that should prompt a board conversation about whether the well-being commitment extends to the entire actual workforce.

Essential 7 — Union membership

Membership of employees and workers in associations or unions recognised by the listed entity: total in each category, number and percentage who are members, for current and previous financial years, covering permanent employees and permanent workers.

What this reveals: Union membership data shows what percentage of the workforce has organised representation. Read alongside Indicator 6's grievance mechanism data, it shows whether grievance channels are union-based or internal-procedural. A workforce with low union membership and weak internal grievance mechanisms has limited formal recourse — a governance risk under Principle 3's well-being commitment.

Essential 8 — Training given to employees and workers

Details of training for employees and workers separately, by male, female, and total: total trained, number and percentage trained on health and safety measures, and number and percentage trained on skill upgradation, for current and previous financial years. The Guidance Note specifies that health and safety training can include general safety training, training on specific work-related hazards, hazardous activities, hazardous situations, and mental health. Skill upgradation training can include both internal courses and funding support for external training or education.

What this reveals: The gender breakdown within training coverage reveals whether human capital investment is equitable. Gender disparities in training access — particularly in skill upgradation coverage — are among the patterns worth examining closely when reviewing this indicator. The board should look for gender parity in training access and for the trajectory of overall coverage across years.

Essential 9 — Performance and career development reviews

Details of reviews for employees and workers separately, by male, female, and total: total, number reviewed, and percentage reviewed, for current and previous financial years. The Guidance Note defines a regular performance and career development review as one based on criteria known to the employee or worker and their superior, and undertaken with the knowledge of the employee.

What this reveals: Coverage below 100% for permanent employees warrants explanation. The Guidance Note's criteria — transparency (criteria known to the employee) and consent (undertaken with the employee's knowledge) — are minimum standards for a fair performance system.

Essential 10 — Health and safety management system

Four sub-questions: (a) Whether an occupational health and safety management system has been implemented and its coverage. (b) Processes to identify work-related hazards and assess risks on routine and non-routine basis. (c) Whether processes exist for workers to report work-related hazards and to remove themselves from such risks. (d) Whether employees and workers have access to non-occupational medical and healthcare services. The Guidance Note defines occupational health and safety risk as the combination of the likelihood of occurrence of a work-related hazardous situation or exposure, and the severity of injury or ill health that can be caused by the situation or exposure. Work-related hazards are defined as a source or situation with the potential to cause injury or ill health.

What this reveals: Sub-question (c) is the most governance-significant: whether workers have the right to remove themselves from hazardous situations without reprisal is a fundamental safety culture indicator. A No means no formal mechanism exists for workers to exercise this right — a serious gap for high-hazard industries.

Essential 11 — Safety incidents

For employees and workers separately, for current and previous financial years: Lost Time Injury Frequency Rate (LTIFR) per one million person-hours worked; total recordable work-related injuries; number of fatalities; and high consequence work-related injury or ill-health excluding fatalities. LTIFR formula: $(\text{Number of lost time injuries in the financial year} \times 1,000,000) / (\text{Total hours worked by all staff in the same financial year})$. Recordable injury results in any of: death, days away from work, restricted work or transfer to another job, medical treatment beyond first aid, or loss of consciousness. Where the same employee or worker is injured in separate incidents, each is counted separately. High consequence injury results in an injury from which the employee or worker cannot, or is not expected to, recover fully to their previous health status; this excludes fatalities.

What this reveals: LTIFR is the single most comparable safety metric in the BRSR — expressed per one million person-hours, it is directly comparable across companies of different sizes and across years regardless of workforce changes. A rising LTIFR trend, even without fatalities, indicates a deteriorating safety culture. The separation between employee and worker figures is significant: where worker roles involve higher physical hazard exposure than employee roles, the two figures will diverge — and that divergence is itself a governance data point worth tracking across years.

Essential 12 — Measures for a safe and healthy workplace

Description of measures taken to ensure a safe and healthy workplace. The Guidance Note specifies that the entity should report measures to prevent or mitigate significant negative health and safety impacts directly linked to its operations, products, or services, and should indicate whether measures apply to specific activities, employees, workers, or facilities.

What this reveals: A qualitative indicator that should be read against the quantitative safety data in Indicator 11. A rich description of safety measures combined with rising LTIFR or fatalities is a credibility inconsistency the board must resolve before approving the BRSR.

Essential 13 — Complaints on working conditions and health and safety

Number of complaints on working conditions and on health and safety made by employees and workers, for current and previous financial years: complaints filed during the year, complaints pending resolution at end of year, and remarks.

What this reveals: The ratio of pending to filed is the governance signal, not the complaint volume alone. A high pending-to-filed ratio indicates a mechanism that receives but does not resolve. Zero complaints from a large workforce in hazardous conditions may indicate a culture where complaints are not surfaced, rather than a culture where none arise.

Essential 14 — Assessments of health and safety and working conditions

Percentage of plants and offices assessed — by the entity, statutory authorities, or third parties — for health and safety practices and for working conditions.

What this reveals: Statutory assessments are mandatory in many sectors and their percentage should be 100% for applicable facilities. Third-party assessments are voluntary and represent a higher accountability standard. A company reporting 100% coverage through internal assessment only, with no statutory or third-party assessment, has limited its accountability to self-reporting.

Essential 15 — Corrective actions for safety incidents and assessment findings

Details of corrective action taken or underway to address safety-related incidents and significant risks or concerns arising from assessments of health and safety practices and working conditions.

What this reveals: The accountability follow-through for Indicators 11 and 14. A company with safety incidents or assessment findings but no corrective action disclosure has an incomplete Principle 3 response.

The POSH Act Intersection — A Board-Level Obligation

Principle 3's Essential Indicator 13 covers complaints on working conditions and health and safety. However, a directly connected statutory disclosure sits alongside BRSR Principle 3 reporting: under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013, every employer with ten or more employees is required to constitute an Internal Complaints Committee.

The Companies Act 2013, under Section 134(3), as amended, requires companies to include in their Board of Directors' Report a statement confirming compliance with the provisions relating to the constitution of the Internal Complaints Committee under the POSH Act. The Companies (Accounts) Rules, amended effective July 2018 and further updated effective July 2025, require disclosure of the number of sexual harassment complaints received, disposed of, and pending beyond 90 days, along with confirmation that a compliant Internal Committee has been constituted.

The POSH Act itself, under Section 21, requires the Internal Committee to submit an annual report each calendar year to the employer and to the District Officer. Under Section 22, the employer is required to include in the organisation's annual report the number of cases filed and their disposal under the POSH Act.

Non-compliance with the POSH Act disclosure requirements under the Companies Act can result in penalties. Under Section 134(8) of the

Companies Act 2013, a company in default is liable to a penalty, and every officer of the company in default is separately liable to a penalty.

For boards reading the BRSR, the governance question is: does the POSH compliance picture disclosed in the Board's Report — complaint numbers, Internal Committee constitution, awareness programme data — sit consistently with the well-being and training disclosures in Principle 3? A company with zero POSH complaints disclosed in the Board's Report, but no evidence of POSH awareness training in Indicator 8 and no formal grievance mechanism for workers in Indicator 6, has a disclosure consistency gap that the board should resolve before both documents are approved.

Leadership Indicators

Leadership 1 — Life insurance and compensatory package on death

Whether the entity extends any life insurance or compensatory package in the event of death of employees (Yes/No) and of workers (Yes/No). A Yes for employees but No for workers reveals where the entity draws the line on discretionary well-being investment beyond statutory requirements.

Leadership 2 — Value chain statutory dues compliance

Measures undertaken by the entity to ensure that statutory dues have been deducted and deposited by value chain partners. The supply chain extension of Essential Indicator 2's retirement benefits compliance check.

Leadership 3 — Rehabilitation of injured employees and workers

Number of employees and workers who suffered high consequence work-related injury, ill-health, or fatalities (as reported in Essential Indicator 11), who have been rehabilitated and placed in suitable employment, or whose family members have been placed in suitable employment, for current and previous financial years. The Guidance Note defines rehabilitation as a process aimed at enabling persons with disabilities to attain and maintain optimal physical, sensory, intellectual, psychological, environmental, or social function levels. This is the human follow-through to Indicator 11's high consequence injury data — a company with such injuries in Indicator 11 but zero rehabilitation disclosure here has left injured workers without visible institutional support.

Leadership 4 — Transition assistance programmes

Whether the entity provides transition assistance programmes to facilitate continued employability and the management of career endings resulting from retirement or termination of employment. Outplacement support, retraining, and retirement counselling reflect the entity's position on its obligations to workers whose employment ends.

Leadership 5 — Assessment of value chain partners on health and safety and working conditions

Percentage of value chain partners — by value of business done with such partners — assessed on health and safety practices and on working conditions. The supply chain extension of Essential Indicator 14.

Leadership 6 — Corrective actions for value chain partner assessment findings

Details of corrective actions taken or underway to address significant risks or concerns arising from assessments of health and safety practices and working conditions of value chain partners.

Reading Principle 3 as a Coherent Whole — The Four Threads

Principle 3's 21 indicators are not independent data points — they form an interlocking system. A board reading Principle 3 should trace four threads across the full indicator set.

Thread 1 — The Coverage Thread

Indicators 1, 2, 6, 7, 8, and 9 all ask about the percentage of the workforce covered by some form of well-being infrastructure. Reading them together reveals whether the entity's well-being framework is genuinely organisation-wide or concentrated in the permanent employee segment. Consistently high coverage for permanent employees with consistently low coverage for other-than-permanent workers is the most common Principle 3 governance pattern — and the one most directly in tension with the principle's commitment to value chain workers.

Thread 2 — The Safety Thread

Indicators 10, 11, 12, 13, 14, and 15 form the health and safety system. Indicator 10 is the architecture; Indicator 11 is the outcome; Indicator 12 is the narrative; Indicator 13 is the complaint signal; Indicator 14 is the audit coverage; and Indicator 15 is the corrective action. A company with a comprehensive OHS management system (Indicator 10) but rising LTIFR (Indicator 11) and no corrective actions (Indicator 15) has a governance failure somewhere in the chain.

Thread 3 — The Equity Thread

Indicators 5 (parental leave return and retention), 8 (training, gender-disaggregated), and 9 (career reviews, gender-disaggregated) together show whether human capital investment is equitable across gender. Read alongside the Board and KMP gender representation data in Section A Part IV, they build a complete picture of whether gender equity is embedded in the organisation's people practices or exists only at the governance level.

Thread 4 — The Statutory Compliance Thread

Indicators 2 (retirement benefits deposited), 3 and 4 (RPWD Act compliance) represent statutory obligations tracked in the BRSR. These should be 100% compliant. Any shortfall is a legal compliance gap, not a governance aspiration gap. The board approving a BRSR disclosing incomplete statutory retirement benefit deposits or non-compliance with RPWD Act accessibility requirements is approving a document that discloses legal non-compliance.

The Five Governance Questions — Applied to Principle 3

Is this report honest? — Are the LTIFR figures consistent with what the safety team has reported to the board through the year? Are the POSH complaint numbers in the Board's Report consistent with what the Internal Committee has reported to management? Are training coverage percentages consistent with HR records?

Is this report consistent? — Is the grievance mechanism described in Indicator 6 the mechanism the board approved? Are retirement benefit deposit percentages consistent with payroll and treasury records? Is the parental leave return-to-work rate consistent with HR attrition data?

Is this report improving? — Is LTIFR declining year on year? Are well-being coverage percentages rising for other-than-permanent employees and workers? Is training coverage, particularly for skill upgradation, improving across genders? Is the complaint pending ratio in Indicator 13 declining?

Is this report comparable? — LTIFR is the most directly comparable indicator in Principle 3 — its formula is standardised. Parental leave return-to-work and retention rate formulas are also standardised. These three enable meaningful peer comparison within sector.

Is this report complete? — All 15 Essential Indicators are mandatory. Safety incident data in Indicator 11 — LTIFR, fatalities, high consequence injuries — is a core ESG attribute under BRSR Core for entities within the glide path. Every blank in the safety metrics table requires an explanation, not a silence.

Session 06

Principles 4 & 5 — Stakeholders, Human Rights, and the DPDPA Intersection

Stakeholder identification · wage equity · POSH disclosures in Section C · employee data rights

What This Session Does

Principle 4 is the shortest principle in Section C — two Essential and three Leadership Indicators. Its brevity is deceptive. The quality of stakeholder identification and engagement disclosed in Principle 4 sets the credibility baseline for almost every other principle that follows.

Principle 5 has 11 Essential and 5 Leadership Indicators. It covers human rights training, minimum wages, remuneration parity, human rights grievances, POSH Act complaints within Section C, child labour and forced labour assessments, and discrimination. It also intersects with the Digital Personal Data Protection Act, 2023.

Principle 4 — Businesses should respect the interests of and be responsive to all its stakeholders

2 Essential Indicators · 3 Leadership Indicators

Essential Indicators

Essential 1 — Stakeholder identification process

Describe the processes for identifying key stakeholder groups of the entity. The Guidance Note specifies that the entity should disclose the basis for determining stakeholders and the basis for determining which groups to engage with and which groups not to engage with.

What this reveals: The Guidance Note's explicit inclusion of 'determining groups with whom not to engage' is significant. The BRSR is asking for a principled account of why certain groups are included in formal engagement and why others are excluded. A company that lists all conceivable stakeholder groups without explaining how it differentiates between them has not answered the question the Guidance Note is asking.

Essential 2 — Stakeholder engagement table

List of key stakeholder groups with frequency of engagement. The table requires five columns: whether the group is identified as Vulnerable and Marginalized (Yes/No); channels of communication (the BRSR gives illustrative examples: email, SMS, newspaper, pamphlets, advertisement, community meetings, notice board, website, and others); frequency of engagement (annually, half yearly, quarterly, or others); and purpose and scope of engagement including key topics and concerns raised. The Guidance Note specifies that the entity should indicate whether relevant information is available in regional or local languages.

What this reveals: Does the 'purpose and scope' column contain substantive engagement records — actual topics raised and responses given — or formulaic descriptions of communication channels? Substantive engagement data is the signal that engagement actually happened. Formulaic channel descriptions may indicate communication infrastructure exists but genuine dialogue does not.

The Guidance Note defines Vulnerable and Marginalized Groups as individuals who are unable to realise their rights or enjoy opportunities due to adverse physical, mental, social, economic, cultural, political, geographic, or health circumstances. The Guidance Note provides a non-exhaustive list of criteria for identifying such groups in India, including: gender and transgender; age (children and elderly); descent, identity, and ethnicity including caste, religion, scheduled castes, and scheduled tribes; occupation including displaced persons, landless small or marginal farmers, and migrant workers; persons with disability; and political or religious beliefs. This definition is sourced from the National Guidelines for Responsible Business Conduct.

Leadership Indicators

Leadership 1 — Board consultation processes

Describe the processes for consultation between stakeholders and the Board on economic, environmental, and social topics, or if consultation is delegated, how feedback from such consultations is provided to the Board. Stakeholder engagement at management level without a clear mechanism for material concerns to reach the Board is engagement that stops before it can influence governance decisions.

Leadership 2 — Stakeholder consultation used to manage environmental and social topics

Whether stakeholder consultation is used to support the identification and management of environmental and social topics. If yes, details of instances where stakeholder inputs were incorporated into policies and activities. The Guidance Note specifies that the entity should disclose the key concerns raised, how the organisation responded, and which stakeholder group raised each concern.

Leadership 3 — Engagement with vulnerable and marginalized groups

Details of instances of engagement with and actions taken to address the concerns of vulnerable and marginalized stakeholder groups. The Guidance Note specifies that the entity should disclose key concerns raised through such engagement and how the organisation responded, including through changes or modifications in its policies or activities.

Principle 5 — Businesses should respect and promote human rights

11 Essential Indicators · 5 Leadership Indicators

Essential Indicators

Essential 1 — Human rights training for employees and workers

Employees and workers provided training on human rights issues and policies, for permanent and other-than-permanent categories, for current and previous financial years. For each category: total, number covered, and percentage covered. The Guidance Note specifies that training could include aspects of human rights relevant to operations, including the applicability of human rights policies or procedures to the work done by employees and workers.

What this reveals: Human rights training coverage is a leading indicator. Low coverage among other-than-permanent workers is a structural gap: if the workers most exposed to potential human rights issues receive no training, the entity's human rights framework is not reaching the people it most needs to reach.

Essential 2 — Minimum wages

Details of minimum wages paid to employees and workers, for permanent and other-than-permanent categories, broken down by male and female, for current and previous financial years. The table shows total number, number and percentage paid equal to minimum wage, and number and percentage paid more than minimum wage.

What this reveals: The structure — distinguishing between equal to and more than minimum wage — shows whether the entity is paying the legal minimum or exceeding it. The gender breakdown is significant: a pattern where female workers are more concentrated at the equal-to-minimum category than male workers reveals a wage equity issue within the workforce.

Essential 3 — Remuneration and gross wages paid to females

Two parts. (a) Median remuneration, salary, and wages for male and female across four categories: Board of Directors, Key Managerial Personnel, employees other than Board and KMP, and workers. (b) Gross wages paid to females as a percentage of total wages paid by the entity, for current and previous financial years.

The Guidance Note provides three statutory definitions:

Remuneration: As per Section 2(78) of the Companies Act 2013, means any money or its equivalent given or passed to any person for services rendered, including perquisites as defined under the Income Tax Act, 1961.

Salary: As per the Income Tax Act, 1961, includes wages, any annuity or pension, any gratuity, any fees, commissions, perquisites or profits in lieu of or in addition to salary or wages, any advance of salary, and other specified components.

Wages: As per Section 2(y) of the Code on Wages, 2019, means all remuneration whether by way of salaries, allowances or otherwise, expressed in terms of money or capable of being so expressed which would, if terms of employment were fulfilled, be payable to a person employed in respect of their employment or work done, and includes basic pay, dearness allowance, and retaining allowance, but does not include overtime allowances, house rent allowance, conveyance allowances, and several other components.

What this reveals: Gross wages paid to females as a percentage of total wages is one of the BRSR Core KPIs identified for assessment or assurance. A low percentage may reflect either a small female workforce, a low female pay rate relative to total, or both. Read alongside the workforce data in Section A Part IV and the minimum wage data in Indicator 2, it enables triangulation of the entity's wage equity position.

Essential 4 — Focal point for human rights

Whether a focal point — individual or committee — is responsible for addressing human rights impacts or issues caused or contributed to by the business.

What this reveals: A Yes with a named committee or individual means human rights has an accountable owner. A No means there is no designated responsible party — a gap that connects directly to the policy and governance disclosures in Section B.

Essential 5 — Internal grievance mechanism for human rights

Description of the internal mechanisms in place to redress grievances related to human rights issues.

What this reveals: Read alongside Principle 3 Essential Indicator 6, this indicator asks specifically about human rights grievances — whether the grievance architecture includes a pathway for human rights-specific concerns.

Essential 6 — Complaints on human rights issues

Number of complaints on the following made by employees and workers, for current and previous financial years: sexual harassment, discrimination at workplace, child labour, forced or involuntary labour, wages, and other human rights related issues. Columns: filed during the year, pending resolution at end of year, and remarks.

The Guidance Note provides four definitions:

Sexual harassment: Includes any one or more of the following unwelcome acts or behaviour — whether directly or by implication: physical contact and advances; a demand or request for sexual favours; making sexually coloured remarks; showing pornography; any other unwelcome physical, verbal, or non-verbal conduct of sexual nature.

Discrimination: Unjust or prejudicial treatment of people, especially on grounds of, but not limited to, caste, creed, sex, race, ethnicity, age, colour, religion, disability, socio-economic status, or sexual orientation.

Child labour: As per Section 2(ii) of the Child Labour (Prohibition and Regulation) Act, 1986, as amended, a child means a person who has not completed their 14th year of age. The Act prohibits employment of adolescents aged 14 to 18 years in hazardous occupations and processes, and regulates their working conditions where not prohibited.

Forced labour / Involuntary labour: All work or service extracted under the menace of penalty. Includes bonded labour and modern slavery, and any labour for which the worker receives less than the government-stipulated minimum wage.

What this reveals: Zero complaints in the sexual harassment row in Indicator 6, when cross-referenced with the dedicated POSH Act indicator in Essential Indicator 7, should be consistent. A discrepancy between the two rows is a disclosure consistency issue the board should resolve before approving the BRSR.

Essential 7 — POSH Act complaints

Complaints filed under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013, for current and previous financial years. Three rows: total complaints reported, complaints as a percentage of female employees and workers, and complaints upheld.

What this reveals: The 'complaints upheld' row shows what proportion of complaints led to findings. A pattern of zero complaints upheld despite complaints being filed may reflect a genuine absence of substantiated harassment, or may reflect an Internal Committee that is not functioning effectively. The board has a governance responsibility to test which interpretation is accurate.

Essential 8 — Protection from adverse consequences

Mechanisms to prevent adverse consequences to the complainant in discrimination and harassment cases.

What this reveals: The existence of formal protection mechanisms for complainants is an indicator of whether the grievance culture is safe. An organisation with no disclosed mechanism for protecting complainants from retaliation may have a formal complaint process that employees in practice do not trust.

Essential 9 — Human rights in business agreements

Whether human rights requirements form part of the entity's business agreements and contracts.

What this reveals: A Yes connects to Leadership Indicator 2 (human rights due diligence scope) and to Principles 2 and 3's value chain disclosures. Embedding human rights requirements in contracts is the legal mechanism through which the entity extends its human rights commitment to its supply chain. A No means commercial relationships operate without human rights obligations on counterparties.

Essential 10 — Assessments for human rights issues

Percentage of plants and offices assessed — by the entity, statutory authorities, or third parties — for child labour, forced and involuntary labour, sexual harassment, discrimination at workplace, and wages.

What this reveals: Assessment coverage by issue category reveals where the entity's human rights audit programme is concentrated. A company with high coverage for sexual harassment but low coverage for wages and forced labour has an uneven human rights risk management programme.

Essential 11 — Corrective actions from human rights assessments

Details of corrective actions taken or underway to address significant risks or concerns arising from the assessments at Essential Indicator 10.

The DPDPA Intersection — Employee Data Rights as a Human Rights Matter

Principle 5's human rights framing encompasses the right to dignity, fair treatment, and non-exploitation in the workplace. The Digital Personal Data Protection Act, 2023 — enacted in August 2023, with the Digital Personal Data Protection Rules 2025 notified on 13 November 2025 — introduces a dimension of employee rights that boards reading Principle 5 should be aware of.

The DPDPA imposes obligations on employers as data fiduciaries regarding the collection, processing, and safeguarding of employee personal data. Employees are data principals under the Act — they have rights including the right to obtain information about processing of their data, the right to seek correction and erasure of personal data, and the right to grievance redressal. For employment-related processing, the DPDPA provides that an organisation is not required to obtain the consent of its employees for processing personal data for the purposes of employment — but this does not eliminate the employer's obligations on security, breach notification, and data principal rights.

The BRSR does not yet include a dedicated DPDPA compliance indicator. However, the governance question for boards is: does the entity's treatment of employee personal data reflect the values of respect and dignity that Principle 5 requires? This is a cross-reference boards should make proactively.

Leadership Indicators

Leadership 1 — Business process changes from human rights grievances

Details of any business process modified or introduced as a result of addressing human rights grievances or complaints. This is the accountability follow-through for Essential Indicators 5 and 6 — where grievances led to systemic change, not just case resolution.

Leadership 2 — Scope of human rights due diligence

Details of the scope and coverage of any human rights due diligence conducted. This indicator asks whether the entity has gone beyond complaint response to proactive identification of human rights risks across its operations and value chain.

Leadership 3 — Accessibility of premises to differently abled visitors

Whether the premises and offices of the entity are accessible to differently abled visitors, as per the requirements of the Rights of Persons with Disabilities Act, 2016. Note the distinction from Principle 3 Essential Indicator 3, which asks about accessibility for differently abled employees and workers. This Leadership Indicator extends the question to visitors — the public, business partners, customers, and community members.

Leadership 4 — Value chain partner assessments

Percentage of value chain partners — by value of business done with such partners — assessed for child labour, forced and involuntary labour, sexual harassment, discrimination at workplace, wages, and others. The supply chain extension of Essential Indicator 10.

Leadership 5 — Corrective actions for value chain assessment findings

Details of corrective actions taken or underway to address significant risks or concerns arising from value chain partner assessments at Leadership Indicator 4.

The Connection Between Principles 4 and 5 for Board Reading

Principles 4 and 5 are not independent. Stakeholder identification in Principle 4 determines who is in scope for human rights due diligence in Principle 5. If Principle 4's stakeholder mapping excludes migrant workers, contract workers, or community members in high-risk geographies, those groups are also likely to be absent from Principle 5's human rights assessments and value chain disclosures.

The cross-reading test: does the organisation's view of who its stakeholders are, disclosed in Principle 4, align with the breadth of its human rights obligations and assessments in Principle 5? A narrow stakeholder map combined with narrow human rights due diligence is coherent but requires the board to consciously accept the exposure that comes with that narrowness.

The Five Governance Questions — Applied to Principles 4 and 5

Is this report honest? — For Principle 4: does the stakeholder engagement described reflect what actually happens, or is it a description of infrastructure without evidence of dialogue? For Principle 5: is the POSH complaint count consistent between Essential Indicator 6, Essential Indicator 7, and the Board's Report? Are the minimum wage percentages consistent with payroll records?

Is this report consistent? — Are stakeholder groups identified in Principle 4 the same groups whose concerns appear in Principle 8 CSR disclosures? Are the human rights complaints in Indicator 6 consistent with the disciplinary action data in Principle 1 Essential Indicator 5?

Is this report improving? — Is human rights training coverage rising across all workforce categories? Is the proportion of workers paid above minimum wage growing? Is the POSH

complaint-to-upheld ratio changing in a way that suggests the Internal Committee is functioning effectively?

Is this report comparable? — Gross wages paid to females as a percentage of total wages is a BRSR Core KPI — its formula is standardised, enabling direct peer comparison. Minimum wage compliance percentages are also standardised and comparable.

Is this report complete? — All 11 Essential Indicators of Principle 5 are mandatory. Essential Indicator 7 — the POSH Act complaint table — is particularly significant. A blank or missing POSH Act complaint table is a disclosure gap with direct legal context given the Companies Act and POSH Act reporting obligations.

Session 07

Principle 6 — Environment

13 Essential · 8 Leadership · GHG scopes · water · waste · Green Credits (new FY 2024-25)

What This Session Does

Principle 6 is the **environment principle** and the largest single principle in **Section C** by indicator count. It has **13 Essential Indicators** and **8 Leadership Indicators** — **21 in total**.

SEBI Circular **SEBI/HO/CFD/CFD-PoD-1/P/CIR/2025/42** dated **28 March 2025** added a new eighth Leadership Indicator on Green Credits, making Principle 6 the only principle expanded since the original BRSR format was established.

Principle 6 is also the principle most heavily covered by BRSR Core. The GHG footprint, water footprint, energy footprint, and waste management attributes of BRSR Core all draw their data from Principle 6 Essential Indicators. For entities within the assessment or assurance glide path, the quality, methodology, and consistency of Principle 6 data carries the highest scrutiny of any section in the BRSR.

Principle 6 — Businesses should respect and make efforts to protect and restore the environment

13 Essential Indicators · 8 Leadership Indicators

Essential Indicators

Essential 1 — Total energy consumption and energy intensity

Total energy consumption in Joules or multiples for current and previous financial years. The table covers: total electricity consumption, total fuel consumption, and energy consumption through other sources, summed as total energy consumption (A+B+C). Energy intensity per rupee of turnover is calculated as total energy consumed divided by total turnover in rupees. An optional intensity row based on an alternative metric of the entity's choice is also provided. The Guidance Note specifies that energy may be purchased externally or self-generated. Where an entity generates electricity from a fuel source and then consumes that electricity, the energy shall be counted only once. All data must be reported in Joules or multiples such as Giga Joules. Entities must consistently apply conversion factors when converting fuel consumption to Joules. Alternative voluntary intensity metrics include units of product, production volume, floor space in square metres, or number of full-time employees.

What this reveals: The mandatory intensity denominator — turnover in rupees — creates an intensity figure that varies with revenue as well as with actual consumption. Boards should look at both absolute consumption and intensity. Consistency of conversion factors between years is a methodology test — changing factors can shift reported figures without any change in actual consumption.

Essential 2 — PAT Scheme designated consumers

Whether the entity has any sites or facilities identified as designated consumers under the Perform Achieve and Trade Scheme of the Government of India. If yes, whether targets set under the PAT scheme have been achieved, and if not, the remedial action taken. The Guidance Note describes the Perform Achieve and Trade Scheme as launched by the Bureau of Energy Efficiency under the National Mission for Enhanced Energy Efficiency. Under the scheme, certain sites or facilities are identified as designated consumers and targets are set for such entities related to energy consumption.

What this reveals: PAT applicability is sector-specific — covering energy-intensive industries designated by the Bureau of Energy Efficiency, including sectors such as aluminium, cement, chlor-alkali, fertilisers, iron and steel, paper and pulp, textiles, and thermal power plants. Where PAT targets have not been met, the remedial action column is the governance accountability mechanism.

Essential 3 — Water withdrawal, consumption, and intensity

Water withdrawn by source in kilolitres — surface water, groundwater, third-party water, seawater or desalinated water, and others — with total withdrawal, total consumption, and water intensity per rupee of turnover (water consumed divided by total turnover in rupees). An optional alternative intensity metric may be disclosed.

The Guidance Note defines each water source:

Surface water: Water that occurs naturally on the Earth's surface in ice sheets, ice caps, glaciers, icebergs, bogs, ponds, lakes, rivers, and streams.

Groundwater: Water that is being held in, and can be recovered from, an underground formation.

Third-party water: Municipal water and other private suppliers of water.

Seawater or desalinated water: Water in a sea or ocean.

The Guidance Note defines total water consumption as a measure of water used by an organisation that is no longer available for use by the ecosystem or local community — including water incorporated into products, water that has evaporated, or water polluted to the point of being unusable — and therefore not released back to surface water, groundwater, seawater, or a third party. It also includes water stored during the reporting period for use in a subsequent period. Where direct measurement is not possible, total water consumption may be calculated as: total water withdrawal minus total water discharge.

What this reveals: The source breakdown of water withdrawal matters for water risk assessment. Groundwater withdrawal in over-exploited aquifer regions carries a different risk profile than municipal water. The consumption formula — withdrawal minus discharge — provides the board with an internal consistency check.

Essential 4 — Water discharge

Water discharged by destination and level of treatment — to surface water, groundwater, seawater, sent to third parties, and others — distinguishing between no treatment and with treatment (with level of treatment specified), in kilolitres.

What this reveals: Untreated discharge to surface water or groundwater is an environmental and regulatory risk. A company that discloses zero untreated discharge in Indicator 4 but shows water-related non-compliances in Essential Indicator 13 has a disclosure inconsistency the board must address before the BRSR is approved.

Essential 5 — Zero Liquid Discharge

Whether the entity has implemented a mechanism for Zero Liquid Discharge, with details of coverage and implementation if yes. The Guidance Note defines a zero liquid discharge system as involving advanced wastewater treatment technologies to recycle, recover, and re-use treated wastewater, ensuring there is no discharge of wastewater to the environment.

Essential 6 — Air emissions (other than GHG)

Air emissions other than greenhouse gases — NO_x, SO_x, Particulate matter (PM), Persistent organic pollutants (POP), Volatile organic compounds (VOC), Hazardous air pollutants (HAP), and others — with units specified by the entity, for current and previous financial years.

What this reveals: These pollutants are regulated under the Air (Prevention and Control of Pollution) Act, relevant to Indicator 13's compliance check. High or rising NO_x, SO_x, and PM figures for industrial entities warrant cross-referencing with pollution control board compliance data. The unit specification requirement is important — entities must use consistent units between years for comparability to be meaningful.

Essential 7 — GHG emissions (Scope 1 and Scope 2) and intensity

Scope 1 and Scope 2 greenhouse gas emissions in metric tonnes of CO₂ equivalent, total Scope 1 and Scope 2 emissions per rupee of turnover, and an optional alternative intensity metric.

The Guidance Note defines the seven greenhouse gases covered: carbon dioxide (CO₂), methane (CH₄), nitrous oxide (N₂O), hydrofluorocarbons (HFCs), perfluorocarbons (PFCs), sulphur hexafluoride (SF₆), and nitrogen trifluoride (NF₃).

Scope 1: Direct GHG emissions from sources owned or controlled by the entity. Source refers to any physical unit or process that releases GHG into the atmosphere. Unintentional releases including equipment leakages and methane emissions from coal mines are also included.

Scope 2: Energy indirect emissions that result from the generation of purchased or acquired electricity, heating, cooling, and steam consumed by the entity.

The unit for all GHG disclosures is metric tonnes of CO₂ equivalent. GHG trades — purchase, sale, or transfer of GHG emissions — must be excluded from the calculation of Scope 1 and Scope 2 emissions. Entities must disclose the standards, methodologies, assumptions, and calculation tools used, including sources of global warming potential rates and emission factors. Scope 1 and Scope 2 emission intensity per rupee of turnover is calculated as total Scope 1 and Scope 2 emissions divided by total turnover in rupees.

What this reveals: GHG emissions are the most scrutinised indicators in BRSR Core assessment and assurance. The requirement to disclose global warming potential sources and emission factors means the methodology is auditable. A company that changes emission factors between years without disclosure creates a comparability break. The exclusion of GHG trades means reported figures reflect actual emissions, not net positions after offsets.

Essential 8 — GHG reduction projects

Whether the entity has any project related to reducing greenhouse gas emissions. If yes, details of the project.

Essential 9 — Waste management

Total waste generated in metric tonnes, with breakdown into eight categories: plastic waste, e-waste, bio-medical waste, construction and demolition waste, battery waste, radioactive waste, other hazardous waste, and other non-hazardous waste. Total = **A+B+C+D+E+F+G+H**. The table also shows waste intensity per rupee of turnover (total waste divided by revenue from operations), waste intensity adjusted for Purchasing Power Parity, and waste intensity in terms of physical output. For each category: waste recovered (recycled, re-used, or other recovery operations) and waste disposed (incineration, landfilling, or other disposal).

The Guidance Note defines recovery and disposal terms:

Preparation for re-use: Checking, cleaning, or repairing operations by which products or components of products that have become waste are prepared to be put to use for the same purpose for which they were conceived.

Recycling: Reprocessing of products or components of products that have become waste, to make new materials.

Incineration: Controlled burning of waste at high temperatures.

Landfilling: Depositing of waste in sanitary landfills, and excludes uncontrolled waste disposal such as open burning and dumping.

What this reveals: The eight waste categories align with those in the Waste Management Rules issued by the Ministry of Environment, Forests and Climate Change — not generic descriptors. The recovery versus disposal breakdown is the circularity indicator: the ratio of waste recovered to waste disposed shows whether the entity is moving toward circular practices or continuing to rely on landfill and incineration.

Essential 10 — Waste management practices

Description of waste management practices adopted and strategy to reduce usage of hazardous and toxic chemicals. The Guidance Note identifies actions the entity may consider describing: improving materials selection and product design; using recycled, re-used, or renewable materials; and substituting inputs with hazardous characteristics with non-hazardous alternatives.

Essential 11 — Ecologically sensitive areas

If the entity has operations or offices in or around ecologically sensitive areas — such as national parks, wildlife sanctuaries, biosphere reserves, wetlands, biodiversity hotspots, forests, and coastal regulation zones — where environmental approvals or clearances are required: location, type of operations, and whether conditions of environmental approval or clearance are being complied with. If not, the reasons and corrective action taken.

Essential 12 — Environmental Impact Assessments

Details of Environmental Impact Assessments of projects undertaken based on applicable laws in the current financial year: EIA notification number, date, whether conducted by an independent external agency, whether results communicated in the public domain, and web link. The Guidance Note specifies this disclosure is required only where the entity has undertaken EIA in compliance with applicable environmental laws.

Essential 13 — Environmental law compliance

Whether the entity is compliant with applicable environmental law, regulations, and guidelines in India — citing specifically the Water (Prevention and Control of Pollution) Act, the Air (Prevention and Control of Pollution) Act, and the Environment Protection Act and rules thereunder. If not, details including the law not complied with, non-compliance details, fines or penalties imposed by regulatory agencies such as pollution control boards or courts, and corrective action taken.

What this reveals: Indicator 13 is the legal accountability anchor for Principle 6. A company with significant air emissions (Indicator 6), untreated water discharge (Indicator 4), or waste disposal issues (Indicator 9) that shows no non-compliances here is either genuinely compliant or has not connected the operational data to the legal compliance picture. Boards should verify that the non-compliance table reflects actual regulatory interactions — show cause notices, consent violations, pollution control board orders.

Leadership Indicators

Leadership 1 — Water data for water-stressed areas

For each facility or plant in an area of water stress: name of the area, nature of operations, and a complete water disclosure table — withdrawal by source, consumption, water intensity, and discharge breakdown — in kilolitres. The Guidance Note defines areas of water stress as those where there is an inability to meet human and ecological demand for water, referring to the availability, quality, or accessibility of water. Areas classified as over-exploited or critical by the Central Groundwater Board fall under areas of water stress.

Leadership 2 — Scope 3 emissions and intensity

Total Scope 3 GHG emissions in metric tonnes of CO₂ equivalent, Scope 3 emissions per rupee of turnover, and an optional alternative intensity metric. The Guidance Note defines Scope 3 emissions as indirect GHG emissions not included in Scope 2, occurring outside the organisation, including both upstream and downstream emissions. Upstream categories can include purchased goods and services, capital goods, upstream transportation and distribution, and business travel. Downstream categories can include downstream transportation and distribution, processing of sold products, and end-of-life treatment of sold products. GHG trades must be excluded. Entities must consistently apply global warming potential rates and disclose their sources. Scope 3 emission intensity per rupee of turnover is calculated as total Scope 3 emissions divided by total turnover in rupees.

Leadership 3 — Biodiversity impact in ecologically sensitive areas

For ecologically sensitive areas reported in Essential Indicator 11, details of significant direct and indirect impact of the entity on biodiversity, along with prevention and remediation activities.

Leadership 4 — Resource efficiency initiatives

Specific initiatives undertaken or innovative technologies used to improve resource efficiency or reduce impact from emissions, effluent discharge, or waste generation — with initiative details, web link if available, and the outcome of each initiative.

Leadership 5 — Business continuity and disaster management plan

Whether the entity has a business continuity and disaster management plan, with details or a web link in approximately 100 words.

Leadership 6 — Adverse environmental impacts from value chain

Significant adverse environmental impacts arising from the entity's value chain, and the mitigation or adaptation measures taken.

Leadership 7 — Value chain partner assessment for environmental impacts

Percentage of value chain partners — by value of business done with such partners — assessed for environmental impacts.

Leadership 8 — Green Credits — generated or procured [NEW — FY 2024-25]

Added as the eighth Leadership Indicator under Principle 6 by SEBI Circular **SEBI/HO/CFD/CFD-PoD-1/P/CIR/2025/42** dated 28 March 2025, effective for BRSR reporting from FY 2024-25 onwards. This indicator asks how many Green Credits have been generated or procured by the listed entity and by its top 10 value chain partners by purchase and sales value. The Green Credit Programme was introduced under the Environment Protection Act by the Ministry of Environment, Forest and Climate Change through a notification in February 2024. Green Credits can be generated through activities such as tree plantation on waste or degraded lands and river catchment areas.

Leadership Indicator 8 is the only indicator added to the BRSR format by the March 2025 circular. For BRSR filings from FY 2024-25 onwards, a blank or missing Leadership Indicator 8 is an incomplete disclosure. The requirement extends to the top 10 value chain partners — meaning the entity must have made enquiries of its supply chain about green credit activity, not only reported its own.

Reading Principle 6 — The Environmental Data Coherence Test

Principle 6's 21 indicators form an interlocking environmental data system. A board should apply four coherence checks.

Check 1 — Internal consistency

Does total water withdrawal minus total water discharge equal total water consumption (Indicators 3 and 4)? Does total waste generated equal the sum of waste recovered plus waste disposed (Indicator 9)? These are mathematical identities that should hold. Where they do not, the methodology section should explain why.

Check 2 — Cross-indicator consistency

Do the air emission figures (Indicator 6) and GHG figures (Indicator 7) align with the environmental compliance picture (Indicator 13)? A company with high NO_x or SO_x emissions in a regulated sector should have had pollution control board interactions. Where it has not, the board should understand why.

Check 3 — Year-on-year methodology consistency

Have conversion factors, emission factors, and global warming potential rates been applied consistently between years? The Guidance Notes for Indicators 1 and 7 and Leadership Indicator 2 all require disclosure of methodology. A change without disclosure creates a false comparability impression.

Check 4 — ISF Industry Standards alignment

For entities within the BRSR Core glide path, the ISF Industry Standards published on 20 December 2024 provide guidance on intensity calculations — including that the manufacturing sector denominator for physical intensity is total production, and the services sector denominator is full-time equivalent employees. Where an entity uses the optional alternative intensity row, the methodology should align with ISF guidance.

The Five Governance Questions — Applied to Principle 6

Is this report honest? — Are the GHG emission figures consistent with what the entity's energy management team has reported internally? Does the compliance picture in Essential Indicator 13 reflect actual regulatory interactions, or is it a default blank?

Is this report consistent? — Is the energy consumption figure consistent with fuel procurement data in the financial statements? Is the water consumption figure arithmetically consistent with withdrawal and discharge?

Is this report improving? — Are absolute energy, water, and GHG figures declining? Is waste intensity improving? Is the ratio of waste recovered to waste disposed improving toward circularity?

Is this report comparable? — The mandatory intensity denominators — turnover in rupees for energy, water, and GHG — are standardised. Entities using optional alternative intensity metrics provide richer sector-level comparability.

Is this report complete? — All 13 Essential Indicators are mandatory. Leadership Indicator 8 on Green Credits is mandatory for BRSR filings from FY 2024-25 onwards. For entities in scope for BRSR Core assessment or assurance, the ISF Industry Standards require traceability of environmental data to primary source records.

Session 08

Principles 7, 8 & 9 — Policy Engagement, Inclusive Growth, and Consumer Responsibility

Completing Section C — policy advocacy · community impact · MSME sourcing · data breaches · the final board reading test

What This Session Does

This session covers the final three principles of Section C. Principle 7 has the fewest indicators of any principle — 2 Essential and 1 Leadership. Principle 8 has 5 Essential and 6 Leadership. Principle 9 has 7 Essential and 4 Leadership. Together they bring Section C to its close and return the board's reading to the governance questions that began in Session 00.

Principle 7 — Businesses, when engaging in influencing public and regulatory policy, should do so in a manner that is responsible and transparent

2 Essential Indicators · 1 Leadership Indicator

Essential Indicators

Essential 1 — Trade and industry chamber affiliations

Two parts. (a) The number of affiliations with trade and industry chambers and associations. (b) A list of the top 10 trade and industry chambers and associations the entity is a member of or affiliated to, determined based on the total members of such a body. The table requires the name of each chamber or association and its reach — state or national.

What this reveals: The 'top 10 by total members' criterion means the entity must identify and disclose its affiliations with the most influential bodies. The reach column — state or national — shows whether the entity's policy influence operates at the local or national level.

Essential 2 — Anticompetitive conduct

Details of corrective action taken or underway on any issues related to anticompetitive conduct by the entity, based on adverse orders from regulatory authorities. The table requires the name of the authority, a brief of the case, and the corrective action taken.

What this reveals: Anticompetitive conduct findings by the Competition Commission of India or other regulatory authorities represent a significant governance and reputational risk. A blank table here for a company with known competition law proceedings is a disclosure gap the board must address before the BRSR is approved.

Leadership Indicator

Leadership 1 — Public policy positions advocated

Details of public policy positions advocated by the entity. The table requires: the public policy advocated, the method used for advocacy, whether information is available in the public domain, the frequency of Board review (quarterly, half-yearly, annually, or other), and a web link if available. The Guidance Note specifies that methods disclosed should include, where relevant: affiliation with other similar business entities by forming coalitions, representing through trade chambers, social marketing, and others. Board review frequency options: quarterly, half-yearly, annually, or others with specification. An entity that actively engages in public policy but answers No to 'information available in the public domain' is conducting policy advocacy without public transparency — which is precisely what Principle 7 is designed to address.

Principle 8 — Businesses should promote inclusive growth and equitable development

5 Essential Indicators · 6 Leadership Indicators

Essential Indicators

Essential 1 — Social Impact Assessments

Details of Social Impact Assessments of projects undertaken based on applicable laws in the current financial year. The table requires: name and brief details of the project, SIA notification number, date of notification, whether conducted by an independent external agency, whether results communicated in the public domain, and a web link. The Guidance Note specifies that this disclosure shall be made only if the entity has undertaken an SIA in compliance with laws such as the Right to Fair Compensation and Transparency in Land Acquisition, Rehabilitation and Resettlement Act, 2013.

What this reveals: SIA applicability is triggered by land acquisition under the LARR Act 2013. Where an entity has undertaken land acquisition without an SIA when one is required, the absence in this table is a legal compliance gap, not just a disclosure gap.

Essential 2 — Rehabilitation and Resettlement

Details of ongoing Rehabilitation and Resettlement for projects by the entity: project name, state, district, number of Project Affected Families (PAFs), percentage of PAFs covered by R&R, and amounts paid to PAFs in the financial year in INR.

What this reveals: R&R disclosure connects to the SIA in Indicator 1. The percentage of PAFs covered and amounts paid in INR enable year-on-year tracking of whether the entity is fulfilling its resettlement commitments.

Essential 3 — Community grievance mechanism

Description of the mechanisms to receive and redress grievances of the community. The Guidance Note defines local communities as persons or groups living and/or working in any areas that are economically, socially, or environmentally impacted — positively or negatively — by an organisation's operations. The local community can range from persons living adjacent to the entity's operations to those at a distance who are still likely to be impacted.

What this reveals: A community grievance mechanism is distinct from the employee and worker grievance mechanism in Principle 3. This asks specifically about residents, farmers, and others who are not employees but are affected by the entity's operations.

Essential 4 — Input material from MSMEs and local suppliers

Percentage of input material (inputs to total inputs by value) sourced directly from MSMEs or small producers, and percentage sourced directly from within the district and neighbouring districts, for current and previous financial years. The Guidance Note defines small producers as those where the owner themselves is a worker, including informal producers such as self-help groups and home-based workers, and producer-owned entities such as cooperatives and producer companies.

The MSME definition used in the BRSR Guidance Note references thresholds as specified by the Ministry of MSME. The current MSME classification, effective 1 April 2025, defines:

Micro enterprise: Investment in Plant and Machinery or Equipment not more than Rs 2.5 crore and Annual Turnover not more than Rs 10 crore.

Small enterprise: Investment in Plant and Machinery or Equipment not more than Rs 25 crore and Annual Turnover not more than Rs 100 crore.

Medium enterprise: Investment in Plant and Machinery or Equipment not more than Rs 125 crore and Annual Turnover not more than Rs 500 crore.

What this reveals: The MSME sourcing percentage is a measure of supply chain inclusivity. Boards of companies in manufacturing or agriculture sectors should look at the trajectory of this percentage alongside their supplier development initiatives.

Essential 5 — Job creation in smaller towns

Wages paid to persons employed — including on permanent, non-permanent, or contract basis — in rural, semi-urban, urban, and metropolitan locations, expressed as a percentage of total wage cost. Locations are to be categorised as per the RBI Classification System.

What this reveals: Job creation in smaller towns is one of the specific KPIs identified for BRSR Core assessment or assurance. A company with a high percentage of wages in rural and semi-urban locations is demonstrating economic footprint in lower-income geographies.

Leadership Indicators

Leadership 1 — Mitigation of negative social impacts from SIA

Details of actions taken to mitigate any negative social impacts identified in the Social Impact Assessments in Essential Indicator 1.

Leadership 2 — CSR in aspirational districts

Details of CSR projects in designated aspirational districts as identified by government bodies, with state, aspirational district, and amount spent in INR. The Guidance Note references the Transformation of Aspirational Districts programme of the Government of India.

Leadership 3 — Preferential procurement from marginalised groups

Whether the entity has a preferential procurement policy giving preference to suppliers comprising marginalised or vulnerable groups, from which groups it procures, and the percentage of total procurement by value from such groups.

Leadership 4 — Intellectual property based on traditional knowledge

Details of intellectual properties owned or acquired based on traditional knowledge in the current financial year: whether owned or acquired, whether benefits are shared, and the basis for calculating benefit share. The Guidance Note defines traditional knowledge as any indigenous, technical, ecological, scientific, medical, or cultural knowledge which is not necessarily documented but is in use by or generally known to communities — examples include antiseptic properties of neem and turmeric. The Guidance Note specifies that the basis for calculating benefit share should be assessed against the Access to Biological Resources and Associated Knowledge and Benefits Sharing Regulations, 2014.

Leadership 5 — IP disputes involving traditional knowledge

Details of corrective actions taken or underway based on any adverse order in intellectual property disputes where usage of traditional knowledge is involved.

Leadership 6 — CSR project beneficiaries

Details of beneficiaries of CSR projects: for each project, the total number of beneficiaries and the percentage of beneficiaries from vulnerable and marginalised groups. The Guidance Note specifies that both the total beneficiary count and the percentage belonging to vulnerable and marginalised groups must be disclosed for each project.

Principle 9 — Businesses should engage with and provide value to their consumers in a responsible manner

7 Essential Indicators · 4 Leadership Indicators

Essential Indicators

Essential 1 — Consumer complaint and feedback mechanisms

Description of the mechanisms in place to receive and respond to consumer complaints and feedback.

What this reveals: A mechanism description that names the channel, the response time commitment, the escalation path, and the oversight structure is substantive. A description that says 'we have a dedicated customer care line' without further detail is not.

Essential 2 — Product labelling — environmental, social, and safety information

Turnover of products and services as a percentage of total turnover from products and services that carry information about: environmental and social parameters relevant to the product; safe and responsible usage; and recycling or safe disposal.

What this reveals: The three labelling categories map the entity's product information transparency. A company with 100% of turnover from products carrying environmental and social information but 0% carrying recycling or disposal information has an information gap that consumers and regulators may notice.

Essential 3 — Consumer complaints by category

Number of consumer complaints for: data privacy, advertising, cyber-security, delivery of essential services, restrictive trade practices, unfair trade practices, and others. For each: complaints received during the year, complaints pending resolution at end of year, and remarks, for current and previous financial years.

What this reveals: Rising data privacy complaints alongside rising data breach disclosures in Indicator 7 is a pattern requiring board attention. A high ratio of pending to received complaints in the unfair trade practices category suggests a consumer redressal mechanism that is not resolving disputes.

Essential 4 — Product recalls

Details of product recalls on account of safety issues: number and reasons, distinguishing between voluntary recalls and forced recalls.

What this reveals: The voluntary/forced distinction is the accountability signal. Forced recalls — mandated by regulatory authorities — represent a governance failure that the entity did not self-identify. Multiple forced recalls with no voluntary recalls may indicate a reactive rather than proactive product safety culture.

Essential 5 — Cybersecurity and data privacy framework

Whether the entity has a framework or policy on cybersecurity and risks related to data privacy. If available, a web link to the policy.

What this reveals: Given the DPDPA 2023's requirements on data fiduciary obligations — including security safeguards and breach notification — the existence and public accessibility of this framework is a governance signal about the entity's preparedness for the regulatory framework now in force.

Essential 6 — Corrective actions on consumer issues

Details of corrective actions taken or underway on issues relating to: advertising and delivery of essential services; cybersecurity and data privacy of customers; recurrence of product recalls; and penalties or actions by regulatory authorities on safety of products or services.

Essential 7 — Data breaches

Three sub-questions: (a) number of instances of data breaches; (b) percentage of data breaches involving personally identifiable information of customers; (c) impact of the data breaches.

What this reveals: The three sub-questions — count, PII involvement percentage, and impact — create a structured data breach disclosure. The percentage involving personally identifiable information of customers is the severity signal. Under the DPDPA 2023, data fiduciaries are required to notify the Data Protection Board and affected data principals upon discovering a breach. A company with data breach

disclosures in Indicator 7 but no corresponding governance action in Indicator 6 has an incomplete accountability record.

Leadership Indicators

Leadership 1 — Channels for product and service information

Channels or platforms where information on the entity's products and services can be accessed, with web links where available.

Leadership 2 — Consumer education on safe and responsible usage

Steps taken to inform and educate consumers about safe and responsible usage of products or services.

Leadership 3 — Mechanisms to inform consumers of service disruption risks

Mechanisms in place to inform consumers of any risk of disruption or discontinuation of essential services.

Leadership 4 — Voluntary product information and consumer satisfaction

Whether the entity displays product information over and above what is mandated by local laws, with details if yes. And whether the entity carried out any survey with regard to consumer satisfaction relating to major products or services, significant locations of operation, or the entity as a whole.

Completing Section C — The Board's Final Reading Test

With **Principles 7, 8, and 9** covered, **Section C** is complete. The final reading test is a cross-section scan — checking whether the governance claims of Section B and the performance data of Section C form a coherent whole.

For **Principle 7**: does the entity that claims a Code of Conduct policy in Section B show consistent behaviour with regulators in the Principle 1 and Principle 7 Essential Indicators?

For **Principle 8**: does the CSR obligation size disclosed in Section A Part VI correspond to the CSR project breadth and beneficiary numbers in Principle 8 Leadership Indicator 6?

For Principle 9: does the consumer complaint mechanism described in Essential Indicator 1 connect to a formal governance structure — a board committee, a named responsible officer, a response time commitment — or is it an undirected operational description?

The BRSR is not a set of independent disclosures. It is a governance document, and it should read as one.

The Five Governance Questions — Applied to Principles 7, 8, and 9

Is this report honest? — For Principle 7: does the anticompetitive conduct table reflect all actual competition law proceedings? For Principle 8: do the R&R amounts and coverage percentages reflect actual disbursements? For Principle 9: are the data breach counts consistent with what has been reported to the Data Protection Board?

Is this report consistent? — For Principle 7: are the chambers and associations in Essential Indicator 1 the same ones through which the public policy positions in Leadership Indicator 1 are advocated? For Principle 8: is the SIA disclosure consistent with the land acquisition activity visible in the capital expenditure disclosures?

Is this report improving? — For Principle 8: is the MSME sourcing percentage growing? Is the rural and semi-urban wage percentage growing? For Principle 9: is the ratio of voluntary to forced recalls improving? Is the data breach count declining?

Is this report comparable? — Job creation in smaller towns — wages as a percentage of total wage cost — is a BRSR Core KPI, expressed in standardised percentage form. MSME sourcing percentages are also standardised. Both enable meaningful peer comparison.

Is this report complete? — Principle 7 has 2 mandatory Essential Indicators. Principle 8 has 5 mandatory Essential Indicators — SIA and R&R are conditional on land acquisition activity but must be stated as not applicable if no land acquisition occurred. Principle 9 has 7 mandatory Essential Indicators — including the data breach table, which is mandatory regardless of whether breaches occurred.

Session 09

Live BRSR Analysis Practicum

Meridian Industries Limited — FY 2025-26 BRSR

Applying the five governance questions to selected BRSR extracts

How to Use This Session

This session is structured differently from Sessions 01 through 08. Instead of teaching you how to read a BRSR, it asks you to read one — or at least, selected extracts from one.

Meridian Industries Limited is a representative composite. It is a mid-sized listed Indian manufacturer in the Top 500 by market capitalisation, placing it in the BRSR Core assessment or assurance glide path for FY 2025-26. Its BRSR extracts below are realistic — drawn from the kinds of disclosures that boards actually encounter — but they are not taken from any real company.

Each extract is followed by the governance questions you should apply to it. Read the data. Form your own view. Then read the analysis.

The gaps in Meridian's BRSR are intentional teaching points — each one illustrates a specific type of governance failure that a prepared board member should catch.

The five governance questions — Is this report honest? Is it consistent? Is it improving? Is it comparable? Is it complete? — are your only tools in this session. Use them on every extract before reading the analysis.

Meridian Industries Limited — Company Profile

Listed on **NSE and BSE**. **Ranked 387** by market capitalisation as of **31 March 2026**. Primarily engaged in industrial coatings and specialty chemicals. Manufacturing operations across four states: Maharashtra, Gujarat, Rajasthan, and Tamil Nadu. Registered office: Mumbai.

Workforce: **4,840** permanent employees and **2,210** permanent workers. The company also engages approximately 1,600 contract workers across facilities. Total headcount including contract workers: approximately 8,650.

FY 2025-26 Revenue from Operations: Rs 3,840 crore. Net Profit: Rs 312 crore. CSR obligation under Section 135 of the Companies Act 2013 for FY 2025-26: Rs 6.24 crore (2% of average net profits of preceding three years).

BRSR Core requirement: as a Top 500 entity, Meridian is required to obtain third-party assessment or assurance on **BRSR Core KPIs for FY 2025-26**.

Note: All figures, names, and disclosures in this session are constructed for teaching purposes. They represent realistic patterns across Indian listed entities, not disclosures from any specific company.

Extract 1 — Principle 6, Essential Indicator 1: Energy Consumption and Intensity

The following is taken from Meridian's Principle 6 disclosure, Essential Indicator 1 — Total energy consumption and energy intensity.

Parameter	FY 2025-26 (Current)	FY 2024-25 (Previous)
Total electricity consumption (A) — GJ	1,84,200	1,71,400
Total fuel consumption (B) — GJ	2,96,800	2,68,500
Energy from other sources (C) — GJ	12,600	11,800
Total energy consumption (A+B+C) — GJ	4,93,600	4,51,700
Energy intensity per rupee of turnover (GJ/Rs crore)	128.5	134.2
Energy intensity — per metric tonne of output (GJ/MT) [optional]	Not disclosed	Not disclosed

Independent assessment or assurance carried out: Yes — by M/s GreenVerify Assurance LLP.

Note in BRSR: 'Meridian has achieved a 4.3% improvement in energy intensity per rupee of turnover compared to the previous year, demonstrating strong progress in energy efficiency.'

Apply the governance questions to Extract 1 before reading further.

Analysis — Extract 1

The narrative note claims a 4.3% improvement in energy intensity. The numbers confirm it — intensity fell from 134.2 to 128.5 GJ per rupee of turnover. That is arithmetically correct.

But the question the board must ask is not whether the intensity improved. It is why it improved — and whether that improvement represents genuine energy efficiency or a statistical artefact.

Is this report honest? — Intensity improved but absolute consumption rose sharply.

Total energy consumption rose from 4,51,700 GJ to 4,93,600 GJ — an increase of 41,900 GJ, or 9.3%. Revenue from operations also grew — from approximately Rs 3,365 crore to Rs 3,840 crore, an increase of approximately 14.1%. Because revenue grew faster than energy consumption, intensity per rupee of turnover improved. The narrative note claims this as 'strong progress in energy efficiency.' A board member should test whether this is accurate — or whether Meridian simply had a strong revenue year while consuming significantly more energy in absolute terms. Genuine energy efficiency would show flat or declining absolute consumption. A 9.3% absolute rise is not an efficiency story. The narrative is technically accurate but materially misleading.

Is this report comparable? — Optional physical intensity not disclosed.

The Guidance Note allows entities to optionally disclose energy intensity per unit of physical output — for a chemicals manufacturer, this would typically be GJ per metric tonne of

product. Meridian has not disclosed this. Physical intensity is the only metric that isolates genuine operational efficiency from revenue effects. Without it, peer comparison within the specialty chemicals sector is not possible on a meaningful basis. The board should ask why this was not disclosed — particularly given that Meridian is in the BRSR Core assurance glide path, where methodology rigour is expected.

Board action: Ask management to present absolute energy consumption alongside the intensity figure in the board BRSR review. Require disclosure of physical intensity in next year's filing.

Extract 2 — Principle 3, Essential Indicator 11: Safety Incidents

The following is taken from Meridian's Principle 3 disclosure, Essential Indicator 11 — Safety incidents.

Parameter	Category	FY 25-26	FY 24-25	FY 23-24
Lost Time Injury Frequency Rate (LTIFR) per one million person-hours	Employees	0.82	0.71	0.64
	Workers	1.94	1.68	1.41
Total recordable work-related injuries	Employees	12	10	9
	Workers	31	26	21
Number of fatalities	Employees	0	0	0
	Workers	1	0	0
High consequence injuries (excl. fatalities)	Employees	1	0	0
	Workers	3	2	1

Narrative in Meridian's BRSR: 'Meridian is deeply committed to the health and safety of our workforce.

Our **robust Occupational Health and Safety Management System**, certified to **ISO 45001**, covers **100%** of our manufacturing facilities.

In **FY 2025-26**, we conducted over **3,200** safety training hours across the organisation and recorded zero employee fatalities for the third consecutive year.'

Apply the governance questions to Extract 2 before reading further.

Analysis — Extract 2

This is the most important extract in the practicum. It illustrates the most dangerous type of BRSR disclosure failure — not a missing number, but a narrative that is technically true and materially misleading at the same time.

🚩 Is this report honest? — The narrative conceals a three-year deteriorating trend.

Every safety metric for workers is worsening across three consecutive years. Worker LTIFR has risen from 1.41 to 1.68 to 1.94 — a 37.6% deterioration over three years. Total recordable worker injuries have risen from 21 to 26 to 31. A worker fatality occurred in FY 2025-26 — the first in three years. Three workers suffered high consequence injuries. The narrative says zero employee fatalities for three consecutive years. This is true — and it is a selective truth. It says nothing about workers. The safety system that generated this data is not improving. It is failing the workforce segment most exposed to physical hazard — contract and permanent workers in manufacturing roles. A board that approves this BRSR without requiring the narrative to address worker safety outcomes is approving a document that misleads its readers.

🚩 Is this report improving? — No. Every worker metric has deteriorated for three years.

LTIFR is the standardised safety trajectory metric — expressed per one million person-hours, it removes workforce size variation. Worker LTIFR has risen every year for three years. There is no ambiguity in this trend. ISO 45001 certification and 3,200 training hours are inputs. A rising LTIFR is an outcome. The board funds the inputs. It must hold management accountable for the outcomes. The board should require the next year's BRSR to explain why — not simply describe the certification and training programme that has demonstrably not reversed the trend.

🚩 Is this report consistent? — Corrective actions in Indicator 15 must address this.

Principle 3 Essential Indicator 15 requires corrective actions for safety incidents and assessment findings. A board reading Indicator 11 must cross-check Indicator 15. If Indicator 15 shows no meaningful corrective action in response to a fatality, three high consequence injuries, and a rising LTIFR — the report has an internal consistency failure. The board must not approve the BRSR until this is resolved.

Board action: This BRSR should not be approved in its current form without a revised narrative that accurately describes worker safety outcomes. The board should require management to present a root cause analysis of the worker fatality and the rising LTIFR before the next board meeting.

Extract 3 — Principle 5, Essential Indicator 7: POSH Complaints

The following is taken from two places in Meridian's annual report: Principle 5 Essential Indicator 7 in the BRSR, and the Board Report's POSH compliance statement.

From the BRSR — Principle 5, Essential Indicator 7:

	FY 2025-26	FY 2024-25
Total complaints reported under POSH Act, 2013	3	2
Complaints on POSH as % of female employees/workers	0.21%	0.15%
Complaints on POSH upheld	1	1

From the Board Report — POSH compliance statement:

'During the financial year 2025-26, the Company received 2 complaints under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013. Both complaints were disposed of within the prescribed time period. No complaints are pending as at 31 March 2026. The Company has constituted an Internal Complaints Committee in compliance with the provisions of the POSH Act.'

Apply the governance questions to Extract 3 before reading further.

Analysis — Extract 3

🚩 Is this report consistent? — The BRSR and the Board Report contradict each other.

The BRSR Principle 5 Essential Indicator 7 discloses 3 POSH complaints for FY 2025-26. The Board Report discloses 2 complaints for the same year. These two disclosures are in the same annual report. They cannot both be correct. This is not an ambiguous difference in definition — the BRSR uses the POSH Act, 2013 as its reference, and the Board Report cites the same Act. One figure is wrong. Either the Internal Complaints Committee reported 3 complaints to the Board and the Board Report understated the count, or the BRSR preparer used a different count than the ICC report. Either way, the board that signs off on both documents is approving contradictory public disclosures about a legally governed matter.

🚩 Is this report honest? — 'Both complaints disposed of' vs 1 upheld and 1 not accounted for.

The Board Report says both complaints were disposed of. The BRSR says 1 was upheld. That is consistent only if the other complaint was not upheld — which means it was either dismissed, settled, or otherwise closed without a finding. But if there were actually 3

complaints (per the BRSR), the Board Report's statement that 'both complaints were disposed of' is incomplete — it accounts for only 2. The board cannot approve either document without resolving this discrepancy. Under Section 134(3) of the Companies Act 2013, the Board Report is a statutory document. Its accuracy is the board's direct legal responsibility.

Board action: Before signing the Board Report and approving the BRSR, the board must obtain the ICC's annual report under Section 21 of the POSH Act and reconcile it against both documents. The discrepancy must be corrected before publication.

Extract 4 — Principle 6, Leadership Indicator 8: Green Credits

The following is the complete Principle 6 Leadership Indicator 8 disclosure from Meridian's BRSR.

Indicator	Disclosure
8. How many Green Credits have been generated or procured by the entity and its top 10 value chain partners (by purchase and sales value)?	—

Apply the governance questions to Extract 4 before reading further.

Analysis — Extract 4

🚩 **Is this report complete? — Leadership Indicator 8 is mandatory from FY 2024-25.**

SEBI Circular SEBI/HO/CFD/CFD-PoD-1/P/CIR/2025/42 dated 28 March 2025 added Green Credits as the eighth Leadership Indicator under Principle 6, effective for BRSR reporting from FY 2024-25 onwards. Meridian is filing its BRSR for FY 2025-26 — the second year for which this indicator is required. A dash is not a disclosure. It is an absence. A company may genuinely have zero Green Credits generated or procured — but that zero must be stated explicitly, not left blank. Blank is ambiguous: it may mean zero, or it may mean the indicator was overlooked entirely.

🚩 **Is this report complete? — The value chain enquiry is also missing.**

The indicator requires disclosure not only for the listed entity but for its top 10 value chain partners by purchase and sales value. Even if Meridian has no Green Credits itself, it must have made enquiries of its top 10 partners and disclosed the result. A blank in this field suggests the enquiry was never made — which is itself a governance gap in value chain management.

Board action: The BRSR should not be finalised with a blank Leadership Indicator 8. Management must either disclose the actual Green Credit position (including a nil figure if appropriate) or explain why the indicator was not completed. The board should confirm the value chain enquiry was conducted.

Extract 5 — Principle 8, Essential Indicator 4: MSME and Local Sourcing

The following is taken from Meridian's Principle 8 disclosure, Essential Indicator 4 — input material sourcing.

Category	FY 2025-26	FY 2024-25
Directly sourced from MSMEs/small producers (% of total inputs by value)	34%	Not available
Sourced directly from within the district and neighbouring districts (% of total inputs by value)	18%	Not available

Narrative note in BRSR: 'Meridian actively supports the MSME ecosystem by sourcing 34% of its inputs by value from MSME suppliers, contributing to inclusive growth and supply chain resilience.'

Apply the governance questions to Extract 5 before reading further.

Analysis — Extract 5

Is this report improving? — Cannot be answered. Previous year data is missing.

The BRSR is a comparative disclosure. Every Essential Indicator table requires current year and previous year data. Meridian has disclosed 34% for FY 2025-26 and 'Not available' for FY 2024-25. This makes it impossible to assess trajectory. Is 34% an improvement from 28%? A decline from 41%? A stable position from 34%? The narrative says Meridian 'actively supports the MSME ecosystem' — but without a prior year figure, there is no evidence of what active support has produced over time. This is the second year of MSME sourcing disclosure in the BRSR format. 'Not available' for the previous year in the second year of disclosure is not acceptable.

Is this report comparable? — The MSME threshold used must be stated.

The MSME classification was revised with effect from 1 April 2025, raising investment and turnover thresholds significantly. A supplier classified as a Small enterprise under the previous thresholds may or may not be classified as a Micro enterprise under the new thresholds. Meridian's BRSR does not state which MSME classification it has used to determine its 34% figure. If it used pre-April 2025 thresholds for some suppliers and post-April 2025 thresholds for others — or if it has not updated its supplier classification at all — the figure is methodologically inconsistent with what the current BRSR format requires. The board should ask: has procurement updated its MSME supplier classification to reflect the 1 April 2025 revised thresholds?

Board action: Require management to provide the previous year MSME sourcing figure, even if retrospectively calculated, for inclusion in next year's BRSR. Confirm that the 34% figure is based on supplier classifications updated for the 1 April 2025 revised MSME thresholds.

What Meridian's BRSR Teaches

Five extracts. Five different types of governance failure. Each one a pattern that appears — in some form — across real BRSR filings every year.

Extract	Governance Question Violated	Pattern	Board's Responsibility
1 — Energy	Is this report honest?	Intensity improved but absolute consumption rose 9.3%	Require absolute + physical intensity disclosure
2 — LTIFR	Is this report honest? Is it improving?	Selective narrative omits 3-year worker safety deterioration and one worker fatality	Reject narrative. Require revised disclosure and root cause analysis
3 — POSH	Is this report consistent?	BRSR says 3 complaints. Board Report says 2. Same annual report	Reconcile with ICC report. Correct before publication
4 — Green Credits	Is this report complete?	Mandatory indicator blank for second consecutive eligible year	Require nil disclosure or actual figure. Confirm VCP enquiry
5 — MSME	Is this report improving? Comparable?	No prior year data. MSME threshold methodology not stated	Require retrospective FY24-25 figure. Confirm April 2025 thresholds applied

Notice that Extracts 2 and 3 — the worker safety trend and the POSH inconsistency — are the two that the board cannot simply fix with a comment or a request for next year. They are errors and omissions in a document the board is about to sign. The board's fiduciary responsibility means those two must be corrected before the BRSR is approved and the annual report is published.

Extracts 1, 4, and 5 are disclosure quality issues. They make the BRSR weaker and less useful — but they do not expose the board to the same level of legal and governance risk as Extracts 2 and 3.

A prepared board member distinguishes between these two categories on every BRSR they read.

The Board Member's BRSR Reading Checklist

Before any board approves a BRSR, these questions should have answers — not assumptions.

- Have I reviewed the trend, not just the current year number, for every quantitative indicator?
- Does the narrative describe what the data actually shows — or what management wants to be seen?
- Are the BRSR disclosures consistent with the Board Report, the Directors' Report, and the financial statements?
- Have all mandatory indicators been completed — including Leadership Indicator 8 on Green Credits?
- Where 'Not available' appears in a comparative column, has management explained why — and committed to providing the figure next year?
- Has the BRSR Core assessment or assurance report been reviewed — and do its findings align with what the BRSR discloses?
- Are the safety metrics — LTIFR, fatalities, high consequence injuries — discussed separately for employees and for workers?
- Has the company applied the updated MSME thresholds effective 1 April 2025 to its supplier base?

A board that works through this checklist — using the five governance questions — before approving a BRSR is doing exactly what the BRSR framework was designed to make boards do: govern. Not just sign.

The Five Governance Questions — One Final Time

These are the questions with which this module began in Session 00. They are the questions with which it ends.

Is this report honest? — Does the disclosure, taken as a whole, give an accurate picture — or does it use technically true statements to create a misleading impression?

Is this report consistent? — Do the numbers, narratives, and cross-references within the BRSR, and between the BRSR and other sections of the annual report, align?

Is this report improving? — Does the trajectory of quantitative data show genuine progress — or is the story told in the narrative disconnected from what the numbers reveal?

Is this report comparable? — Are the methodologies, formulas, and intensity denominators consistent with the BRSR format and with industry practice, enabling meaningful peer comparison?

Is this report complete? — Have all mandatory indicators been completed? Have conditional indicators been addressed — either with data or with an explicit not applicable statement?

Reading Session 10

Module Wrap-Up

What changes next year · What you now know · What you do with it

What This Session Does

This session closes the Advanced BRSR Module. It does three things: it maps the regulatory changes coming in FY that every board member of a listed entity must understand now; it consolidates the governance threads across all nine **BRSR** principles into a single reference; and it restates the five governance questions — not as a checklist to be completed, but as a posture to be carried.

Sessions 01 through 09 taught you how to read a BRSR.

This session tells you what to do with that knowledge when you are sitting in the boardroom.

The Regulatory Horizon — What Changes in next FY

The BRSR framework is not static.

FY 2026-27 brings a significant escalation of requirements that boards of listed entities should understand and prepare for now — not when the filing window opens.

FY	Entities Covered	What Becomes Mandatory
FY 2023-24	Top 150 by market cap	BRSR Core assessment or assurance (voluntary phase)
FY 2024-25	Top 250 by market cap	BRSR Core assessment or assurance. Value chain disclosure (voluntary). Green Credits L8 required.
FY 2025-26	Top 500 by market cap	BRSR Core assessment or assurance. Value chain disclosure voluntary. ← Current year
FY 2026-27	Top 1,000 by market cap	BRSR Core assessment or assurance for Top 1,000. Value chain disclosure mandatory and subject to assessment or assurance for Top 250. MSME and local sourcing data comparative requirements strengthened.

The Value Chain Obligation — What Boards Need to Know Now

The value chain disclosure requirement — deferred from FY 2025-26 — becomes mandatory for the Top 250 from FY 2026-27 and subject to assessment or assurance. The scope: value chain partners who individually account for 2% or more of the listed entity's total purchases or total sales by value. The listed entity may cap its disclosures at partners collectively accounting for 75% of purchases or sales.

What this means in practice: boards of Top 250 entities should be asking management now — not in March 2027 — which suppliers and customers cross the 2% threshold, whether those partners have been informed of the coming disclosure requirement, and whether the entity's supplier data systems can generate the required ESG KPI data for those partners. Assessment or assurance cannot begin without data, and data collection from third parties takes time.

A board that waits until FY 2026-27 to begin the value chain disclosure exercise is a board that will be disclosing data it has not verified — which is exactly the pattern BRSR Core assessment is designed to expose.

The BRSR Core Glide Path — Where Every Top 1,000 Entity Stands

From FY 2026-27, the BRSR Core assessment or assurance obligation extends to all Top 1,000 listed entities. This means that every company currently filing a voluntary BRSR — or filing a mandatory BRSR without BRSR Core obligations — will face third-party scrutiny of its KPI data within one year.

The BRSR Core KPIs are not the entire BRSR. They are the subset of Essential Indicator data points that SEBI has identified as the most governance-significant: energy, water, GHG emissions, waste, accounts payable days, openness of business, job creation in smaller towns, LTIFR, and related party transactions among them. These are the data points that assessors will test for methodology, consistency, and traceability.

A board that has been approving BRSR data without scrutinising the methodology behind those KPI figures has one year to change that practice before an independent assessor does it instead.

The Nine Principles — Governance Threads

Each of the nine BRSR principles addresses a different dimension of responsible business. But they are not independent. They share a common governance thread — the connection between what the board has committed to in Section B and what the entity has delivered in Section C.

The table below maps each principle to its core governance question for the board.

	Principle	The Governance Thread for the Board
P1	Ethics, Transparency, Accountability	Does the fines/penalties table reflect what regulators and courts have actually found? Does the accounts payable trajectory show ethical supplier treatment?
P2	Sustainable and Safe Products	Are R&D and capex investments shifting toward sustainability, or is the percentage declining? Does EPR compliance match the entity's product footprint?
P3	Employee Well-being	Is the LTIFR improving for workers — not just employees? Is there wage parity between genders at the same level? Are 'zero employee fatalities' narratives telling the whole story?
P4	Stakeholder Responsiveness	Does the entity know who its material stakeholders are, and is there evidence of systematic engagement? Or is Section C blank for this principle?
P5	Human Rights	Has the entity conducted human rights due diligence on its value chain — or only on its own operations? Does the POSH complaint count align across the BRSR and the Board Report?
P6	Environment	Does absolute energy consumption tell the same story as intensity? Are GHG scope 3 emissions disclosed, and if not, is there a credible reason? Is Green Credits L8 complete?
P7	Policy Advocacy	Are the chambers and associations listed in E1 the same ones used for the public policy positions in L1? Is advocacy transparent or opaque?

P8	Inclusive Growth	Is MSME sourcing increasing? Are CSR beneficiary numbers consistent with the CSR obligation size in Section A Part VI? Are R&R commitments being met?
P9	Consumer Responsibility	Is the data breach disclosure consistent with any notifications made to the Data Protection Board? Do forced recall numbers reveal a reactive safety culture?

A **board reading the BRSR** systematically through the governance thread lens will find, in almost every filing, at least one place where the Section B commitment and the Section C performance data do not align.

That misalignment is the board's work. It is not the assessor's finding to surface — it should be the board's question to ask before the document is approved.

What Changes in the Boardroom

This module has covered eleven sessions across two parts. Part 1 introduced the BRSR framework — what it is, why it exists, who must file it, and what the regulatory glide path looks like. Part 2 taught board members how to read it: the methodology, the analytical tools, the indicators across all nine principles, and the practicum of applying all of it to a realistic composite filing.

The question this final session answers is: what does a board member actually do differently on Monday morning?

Before: What Most Boards Do

In most board meetings where a BRSR is presented for approval, the discussion is brief. The Sustainability Committee or the CFO presents the document. The narrative highlights are read. Board members note that the report has been prepared, that it is consistent with the previous year's format, and that it has been reviewed by an external assurance provider if one is required. The board approves.

This is not governance. This is signing.

After: What Prepared Board Members Do

A board member who has completed this module reads the BRSR before the meeting — not the summary, the document. They identify at least two specific questions to bring to the boardroom. Not general questions about whether the BRSR is complete, but specific questions about data points that either do not align, do not improve, or do not tell the full story.

Those questions might be:

1. Absolute energy consumption rose 9% this year while intensity improved. What drove the absolute increase, and is it consistent with our stated environmental commitments?

2. Worker LTIFR has risen for three consecutive years. What is the root cause analysis for the worker fatality this year, and what has changed in our safety systems?
3. The BRSR shows 3 POSH complaints and the Board Report shows 2. I need the ICC's Section 21 annual report before I can sign off on either document.
4. Green Credits L8 is blank. Has procurement confirmed whether we or any of our top 10 value chain partners have generated or procured Green Credits?
5. Our MSME sourcing figure has no prior year data. Which MSME thresholds have we used — the ones effective from April 2025, or the old ones?

These are not hostile questions. They are governance questions — the kind that protect the board, protect the entity, and protect the credibility of the disclosure. A management team that cannot answer them has a data quality problem that an external assessor will find within six months. A board that asks them in advance is doing its job.

The difference between a board that governs ESG and a board that approves ESG is the willingness to ask specific questions before signing.

What You Carry From This Module

Three things are worth carrying from this module into every BRSR review you participate in.

1. The Four Reading Tools

From Session 01: intensity versus absolute, trajectory reading, internal consistency checking, and greenwashing recognition. These four tools do not require regulatory expertise to apply. They require attention. Every number in a BRSR has a denominator, a trend, and a cross-reference. A board member who checks all three for the most material indicators is reading the document well — regardless of whether they have read every indicator in it.

2. The Governance Architecture Test

From Session 03: the twelve questions of Section B describe the governance structures the entity has built. The board approving those disclosures should be able to verify, from their own board experience, that what is described matches what actually happens. A Section B that describes a Board ESG Committee that no board member has experience of sitting in is describing something that does not exist. The board's signature on Section B is a statement that it does exist.

3. The Two Categories of Problem

From Session 09: every governance gap in a BRSR falls into one of two categories. The first category is disclosure quality issues — things that make the report less useful or less comparable, but that do not expose the board to legal or ethical risk. The second category is errors and omissions in statutory documents — things that cannot be fixed with a note for next year, because the board's signature goes on the document as it stands today.

Knowing the difference between these two categories is what allows a prepared board member to respond proportionately — to push back hard on the second category and constructively on the first, without treating every disclosure gap as equally serious or equally urgent.

The Five Governance Questions — Final Restatement

These questions were introduced in Session 00.

They have been applied to every principle across Sessions 02 through 09. They are restated here for the last time — not as a summary, but as the posture with which every BRSR review should begin.

Is this report honest?

A report can be technically accurate and materially misleading at the same time. Intensity figures that improve because revenue grew, not because consumption fell. Safety narratives that cite zero employee fatalities while worker fatalities go unmentioned. A board reading for honesty does not ask whether the numbers are correct — it asks whether the numbers tell the full story. The narrative and the data must be consistent with each other. When they are not, the narrative must be corrected before the board approves the document.

Is this report consistent?

The BRSR is one section of an annual report that contains many other sections. The POSH complaint count in Section C Principle 5 must match the Board Report. The headcount in Section A Part IV must be consistent with the workforce denominators used in Section C calculations. The CSR obligation size in Section A Part VI must be consistent with the project breadth and beneficiary numbers in Principle 8. A prepared board member does not read the BRSR in isolation — they read it as a document that must cohere with everything else the entity has published.

Is this report improving?

Trajectory is the most important dimension of ESG data. A single year's figure tells you where the entity is. Two or three years of data tell you where it is going. The board's job is not to approve a snapshot — it is to ask whether the direction of travel is consistent with the entity's stated commitments. Rising LTIFR against a safety policy. Flat MSME sourcing against an inclusive growth narrative. Declining R&D sustainability percentage against a green transition commitment. The trajectory is the accountability mechanism.

Is this report comparable?

BRSR Core assessment and assurance works because the format is standardised. The same indicators, the same formulas, the same denominators — applied consistently across entities — allow investors, regulators, and boards to compare. A company that changes its intensity denominator without restating prior year data, or that applies old MSME thresholds to a MSME sourcing percentage, or that uses a non-standard unit for an environmental metric, has produced a figure that cannot be meaningfully compared with anything. The board should ask, for every key metric: is this figure calculated on the same basis as last year, and on the same basis as the industry standard?

Is this report complete?

Every Essential Indicator is mandatory. A blank field without a 'not applicable' explanation is a missing disclosure. A Leadership Indicator that is blank because the entity has not engaged with the question — rather than because it is not applicable — is a governance signal about ambition. And a new mandatory indicator that has been overlooked entirely — Green Credits L8 from FY 2024-25 — is a completeness failure that BRSR Core assessment will find. Completeness is the simplest question to ask, and often the one that produces the most useful pre-approval conversations with management.

These five questions are not a compliance checklist. They are a governance posture. A board member who asks them — every year, on every BRSR — is fulfilling the purpose for which this framework was designed. Govern. Not just sign.

Beyond This Module — Four Topics for the Prepared Board Member

This module has been a board reading module — not a preparation module. It has taught how to read and govern BRSR disclosures. The four subjects described below are the natural next step. They are not covered in this module because each one deserves its own structured treatment — but a board member who understands what they involve is better positioned to ask the right questions of management even before a dedicated module exists.

1. Building an ESG Data Collection System

What the board needs to understand about data infrastructure, traceability, and methodology

A BRSR disclosure is only as reliable as the data behind it. For most listed entities, ESG data is scattered across multiple departments: energy data sits with facilities, workforce data with HR, supplier data with procurement, waste data with operations. No single function owns the full picture. The BRSR preparer — often a sustainability team or the CFO's office — aggregates data from all of these sources, often using spreadsheets, and produces the final disclosure.

This matters for boards because the BRSR Core assessment or assurance process is specifically designed to test whether the data in the BRSR can be traced back to source records. An assessor will not simply accept the number in the energy table — they will ask to see the meter reading logs, the utility bills, or the ERP extraction that

produced it. If those records do not exist or are inconsistent with the disclosure, the assurance cannot be issued.

The ISF Industry Standards (December 2024) go further: they specify the methodology that must be used for key BRSR Core KPIs — the PPP-adjusted revenue denominator for intensity ratios, the spend-based approach for value chain environmental footprints, the definition of physical intensity denominators by sector. A company that has been using a different methodology for two years and then adopts the ISF standard will have a prior year restatement issue.

What a well-functioning ESG data system requires

Data ownership mapping: every BRSR KPI should have a named owner — a specific person in a specific function responsible for the accuracy and timeliness of that data point. Without named ownership, data quality accountability is diffuse.

Methodology documentation: the calculation approach for each KPI should be documented and consistent year on year. Any change in methodology should be disclosed with a restatement of prior year data. The ISF Industry Standards provide the reference methodology for BRSR Core KPIs.

Traceability to source: for BRSR Core KPIs, the data must be traceable from the disclosed figure back to source records — meter readings, bills, invoices, HR payroll records. This is not optional for entities subject to assessment or assurance.

Internal review before external assessment: the board or its audit committee should require management to confirm, before the BRSR is submitted for external assessment, that all BRSR Core KPI figures have been internally reviewed for methodology consistency and source traceability.

Board question to ask: Has management prepared a data owner map for BRSR Core KPIs — identifying which function owns which figure and what the source record is? Has the methodology been documented and consistently applied from the prior year?

2. Engaging an Assurance or Assessment Provider

What boards need to know about scope, assurance types, and how to read an assurance statement

SEBI uses the phrase 'assessment or assurance' deliberately. Assessment is a lighter-touch engagement — the provider reviews the entity's processes and data for reasonableness without forming an opinion on whether the disclosures are accurate. Assurance is more rigorous — the provider tests the data against source records, evaluates the methodology, and issues a formal opinion. Assessment is faster and cheaper; assurance is more credible.

Within assurance, there are two levels. Limited assurance means the provider has performed sufficient procedures to conclude that nothing has come to their attention to suggest material misstatement — a negative conclusion. Reasonable assurance means the provider has sufficient evidence to conclude that the disclosures are materially correct — a

positive conclusion. Reasonable assurance is significantly more work and cost, but significantly more credible.

SEBI's current framework does not specify which level of assurance is required — it leaves this to the entity. Most entities in the first years of BRSR Core compliance will use limited assurance or assessment. Boards should understand what they are getting: a limited assurance statement does not mean the figures are correct. It means the provider found nothing obviously wrong.

What the assurance statement does and does not say

An assurance statement typically identifies the indicators covered, the methodology used, the level of assurance (limited or reasonable), and any material findings or limitations. What it does not say — and what many boards do not read — is the management representation letter and the findings letter, where the provider identifies issues that did not rise to the level of a material misstatement but indicate weaknesses in the data collection process.

The findings letter is more valuable to a board than the clean assurance statement. It shows where the provider had to qualify their procedures, where documentation was incomplete, and where methodological questions remain unresolved. A board that reads only the front-page assurance statement and not the findings letter is reading the least informative part of the engagement.

There is currently no **SEBI-prescribed qualification requirement for BRSR Core** assessors or assurance providers. Entities are free to engage any third party. The ISF is expected to issue further guidance on assessor qualifications. Until that guidance is published, boards should satisfy themselves that the provider has relevant sector experience and a methodology that references the ISF Industry Standards.

Board question to ask: Has the board reviewed the assurance provider's findings letter — not just the clean assurance statement? Is the level of assurance (limited or reasonable) appropriate for the entity's BRSR Core obligations, and does the provider's methodology reference the ISF Industry Standards?

3. Designing a Sustainability Strategy

Why the BRSR is a report of what has happened — and strategy is about what happens next

The BRSR is a backward-looking document. It reports what the entity did in the past financial year. A sustainability strategy is forward-looking — it sets the direction, the targets, and the investment commitments that will determine what future BRSRs will disclose. Without a strategy, the BRSR becomes an annual exercise in documenting the status quo.

The BRSR does create space for forward commitments — Section B Questions 5 and 6 ask for specific goals, targets, timelines, and performance against them. But those questions are only as meaningful as the strategy that sits behind them. A company that sets no targets in Question 5 has avoided accountability entirely. A company that sets targets but shows consistent underperformance in Question 6 without explanation has a credibility problem.

What a sustainability strategy requires

Materiality assessment: the starting point for any sustainability strategy is identifying which ESG issues are most material to the entity — material in the sense that they present the greatest risk or opportunity, and material in the sense that stakeholders

consider them most significant. Materiality in BRSR is not the same as financial materiality — the BRSR captures social and environmental impacts that may not yet appear on the balance sheet.

Science-based versus business-defined targets: companies in energy-intensive sectors (manufacturing, chemicals, cement) face increasing pressure from investors and future regulatory frameworks to align their emissions reduction targets with the pace required to limit global temperature rise. Science-based targets are more credible than internally-defined targets, but they require more rigorous baseline data and more specific operational commitments.

Integration with business strategy: the most common failure mode in corporate sustainability is a sustainability strategy that is prepared by the sustainability function and approved by the board once a year, with no connection to capital allocation decisions, product development priorities, or supply chain management. A sustainability strategy that does not affect where money is spent is not a strategy — it is a document.

Climate scenario analysis: for entities in sectors significantly exposed to climate transition risk — fossil fuel-dependent manufacturing, agriculture, real estate, financial services with large climate-exposed portfolios — scenario analysis asks what the entity's financial position would look like under different climate futures. This is not yet required by the BRSR, but it is increasingly expected by institutional investors and is the direction of travel for regulatory disclosure globally.

Board question to ask: Does the entity have a sustainability strategy that is approved by the board — not just a sustainability report? Are the commitments in Section B Question 5 connected to that strategy, and does the board review performance against them at least annually?

4. Structuring a Board ESG Committee

Where ESG governance sits, what it should do, and how to know if it is working

The BRSR Section B Question 9 asks whether the entity has a specified Committee of the Board or Director responsible for decision-making on sustainability-related issues. This question surfaces a governance architecture question that many boards have not formally resolved: should ESG oversight sit in an existing committee, or does it require a dedicated committee?

There is no single right answer. Smaller boards with simpler ESG profiles may find that an existing Audit or Risk Committee can adequately oversee BRSR data quality and sustainability commitments. Larger boards with significant ESG exposure — manufacturing companies, energy-intensive operations, companies with large workforces and complex supply chains — increasingly find that ESG issues require dedicated committee time, specialist expertise, and a formal terms of reference.

What the committee should actually do

The most common failure in **board ESG governance** is a committee that exists on paper — its composition is disclosed in Section B — but that has no formal terms of reference, meets only when prompted by the BRSR approval cycle, and receives no

structured management information between annual report time. This is governance in form, not substance.

A functioning board ESG committee should have a terms of reference that specifies: the ESG topics within its scope; the frequency of meetings; the management information it receives at each meeting; the criteria for escalating issues to the full board; and its relationship to the management ESG function. The terms of reference should be reviewed annually and updated as the regulatory environment changes.

The information pack is critical. A committee that receives only the completed BRSR for approval — without interim KPI data, without management commentary on trajectory, without early warning of data quality issues — cannot exercise meaningful oversight. The board should require management to provide quarterly or half-yearly BRSR KPI tracking against targets, with explanation of any adverse trends.

Director capability matters. An ESG committee whose members have no familiarity with the BRSR format, the ISF methodology, or the regulatory glide path cannot ask the governance questions that effective oversight requires. Board-level ESG literacy — which is what this module has been building — is the prerequisite for a functioning ESG committee, not an optional addition to it.

The relationship between the Board ESG Committee and the management ESG function should be explicit: the committee sets the oversight agenda and holds management accountable; the management function executes. Where the lines blur — where the committee is doing management's work, or where management is setting the governance agenda — the oversight function is compromised.

Board question to ask: Does the Board ESG Committee have a formal terms of reference? Does it meet between BRSR approval cycles? Does it receive quarterly KPI tracking data? And do its members have sufficient BRSR literacy to interpret what they are reviewing?

A Final Word

The four subjects above are not obstacles to board governance of ESG — they are the infrastructure that makes board governance of ESG possible. A board that reads the **BRSR well**, as this module has taught, will quickly identify where that infrastructure is weak.

Data figures that cannot be traced to source records. Assurance statements that cover a narrower scope than the disclosures they accompany.

Sustainability commitments in Section B that have no operational backing. An ESG committee that meets once a year to approve the annual report.

Identifying these gaps is governance. Asking management to close them — with a specific timeline and a specific accountability — is also governance. The BRSR has made these gaps visible in a way that no previous reporting framework did. That is its most important contribution.

The governance of ESG begins with the board understanding what it is reading. That is what this module has been for. What comes next — the data systems, the

assurance, the strategy, the committee — is how the board moves from reading to governing.

End of Advanced BRSR Module — Part 2: BRSR Reading & Analysis